Queensland Rural and Industry Development Authority

Queensland Rural Debt Survey 2019

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Queensland Government

WITH THANKS

*The **Queensland Rural and Industry Development Authority (QRIDA)** undertook the **2019 Queensland Rural Debt Survey** in collaboration with the Queensland Government Statistician's Office (QGSO) and with the support of all the major rural lending institutions in Queensland. Additional assistance was provided by agricultural industry associations and other agencies as listed below.*

ACKNOWLEDGMENTS FOR THE 2019 QUEENSLAND RURAL DEBT SURVEY

SURVEY PARTICIPANTS

Australian and New Zealand Banking Group
Bank of Queensland
Commonwealth Bank
National Australia Bank
Queensland Rural and Industry Development Authority
Rabobank
Regional Investment Corporation
Rural Bank Limited
Suncorp Group
Westpac

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Department of Natural Resources, Mines and Energy
Growcom
Nursery and Garden Industry Queensland
Queensland Dairy Farmers' Organisation
Queensland Farmers' Federation

The following information has been collated from Output Tables provided by QGSO, as reprinted from Queensland Government Statistician's Office, Queensland Treasury, Rural Debt Survey 2019, Output Tables.

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EXECUTIVE SUMMARY

Australian farm businesses rely upon debt funding as a principal source of capital. Through the December 2017 to December 2019 period, debt funding has continued to be an important source of funds for working capital, capital infrastructure and investment for Queensland primary producers.

The 2017 to 2019 period saw significant shifts in agricultural production in Queensland. The crippling drought, decreasing crop production and reduction in stock, was further amplified by the North and Far North Queensland Monsoon Trough event in early 2019 which saw losses of over 500,000 head of livestock including core breeding herds, crops and pastures inundated, and topsoil removed. The remainder of 2019 saw a recovery effort from these unprecedented events, with the return of some pasture allowing for purchases of stock from other drought ravaged states and some dry-land planting from the Monsoon Trough event. The end of 2019 saw the start of scattered showers across other areas of the state which had not seen rain events for several years. The recovery effort and prolonged drought effects continue to develop.

At the time of writing, Queensland and Australian agriculture are experiencing yet more uncertainty including rapidly changing market conditions and supply chain constraints as well as opportunity for increased domestic demand due to the COVID-19 pandemic. The impacts are yet to be fully realised and the effects of it may be seen in the 2021 survey.

Rural debt is defined as the total indebtedness of all farmers/rural enterprises throughout Queensland, where the servicing of the rural debt relies primarily on rural generated income. The **2019 Queensland Rural Debt Survey** report provides a comprehensive breakdown of the value and rating of rural debt and number of borrowers by industry and region across Queensland.

As at 31 December 2019, **total rural debt in Queensland was $19.10 billion**, up 10.75 per cent from $17.24 billion as measured in the previous 2017 survey. The **average debt per borrower was $1.05 million**, up 11.37 per cent on 2017.

The 2019 survey showed that the rating of rural debt has remained steady since the previous 2017 survey, with 93.15 per cent of the total value of rural debt rated either viable (rating A) or potentially viable long-term (rating B+), in 2017 it was 94.41 per cent.

Rural debt is defined as the total indebtedness of all farmers/rural enterprises throughout Queensland, where the servicing of the rural debt relies primarily on rural generated income.

The 2019 Queensland Rural Debt Survey was undertaken by the **Queensland Rural and Industry Development Authority (QRIDA)** in collaboration with the Queensland Government Statistician's Office (QGSO). It was compiled with the support of all major lenders in Queensland and insights from agricultural industry organisations.

The survey commenced in 1994. From 2000 to 2011, the survey was conducted biennially and resumed biennially in 2017. The debt figures are collated from de-identified data provided by the major lending institutions in Queensland at the time the survey is conducted.

The 2019 survey report includes an analysis of the movement in rural debt since the previous 2017 survey. The 2019 survey provides an overview of the agricultural industry in Queensland providing context for the 2019 Queensland Rural Debt Survey results. The 2019 survey provides an important snapshot of the financial state of Queensland's rural businesses and will help inform both government and industry.

This report recognises that agricultural business in Queensland operate in a very dynamic environment and the associated debt levels continue to be impacted by many factors including climate, natural disasters, markets, trading environments and varying production levels.

KEY RESULTS

SIZE

The 2019 Queensland Rural Debt Survey indicated that as at 31 December there was $19.10 billion of rural debt in Queensland. The results of this survey in comparison to 2017 indicate:

AMOUNT	2019	2017	MOVEMENT	% MOVEMENT
Total debt ($m)	19,096	17,243	+1,853	+10.75%
Number of borrowers	18,232	18,335	-103	-0.56%
Average debt per borrower ($m)	1.05	0.94	+0.11	+11.37%

INDUSTRY

Of the 16 industries that have been captured in the 2019 survey, the three major rural debt holding industries included beef, grain and grain/grazing which accounted for $13.15 billion or 68.86 per cent of the total debt. In 2017, the three largest industries were beef, cotton and sugar.

INDUSTRY ($M)	
Beef	10,672
Grain	1,281
Grain/Grazing	1,197

REGION

Of the eight ABARES regions in Queensland, the three major debt holding areas included the Western Downs and Central Highlands, Southern Coastal – Curtis to Moreton and Eastern Darling downs which combined captured $13.32 billion or 69.77 per cent of the total rural debt. These regions represent the same regions as the 2017 survey and are large primary production regions with a diverse range of industries. The debt levels identified are proportional to the production practices undertaken.

ABARES REGION ($M)	
Western Downs and Central Highlands	6,274
Southern Coastal - Curtis to Moreton	4,455
Eastern Darling Downs	2,594

RATING

The loan ratings have remained proportionally the same as the 2017 survey, however all areas have increased in value since 2017. While those experiencing debt servicing difficulties (B1 and B2) and non-viable (C) categories have increased by a larger percentage, by actual number of borrowers they are relatively small compared to viable (A) and potentially viable long-term (B+).

LOAN RATING[1]	2019	2017	MOVEMENT	% MOVEMENT
A ($m)	14,862	13,563	1,298	9.57%
B+ ($m)	2,926	2,716	211	7.75%
B1 ($m)	676	538	138	25.61%
B2 ($m)	233	188	45	23.71%
C ($m)	399	237	162	68.40%

[1] See Appendix V for risk category definitions

Total debt

$19.10 billion

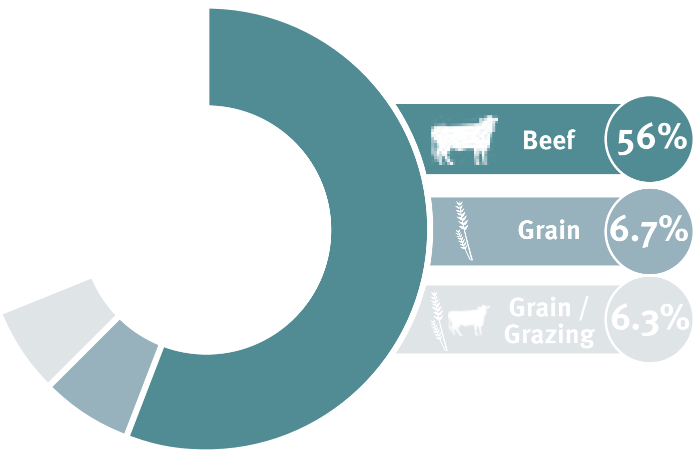
+10.75% compared to 2017 ($17.24b)

Number of borrowers

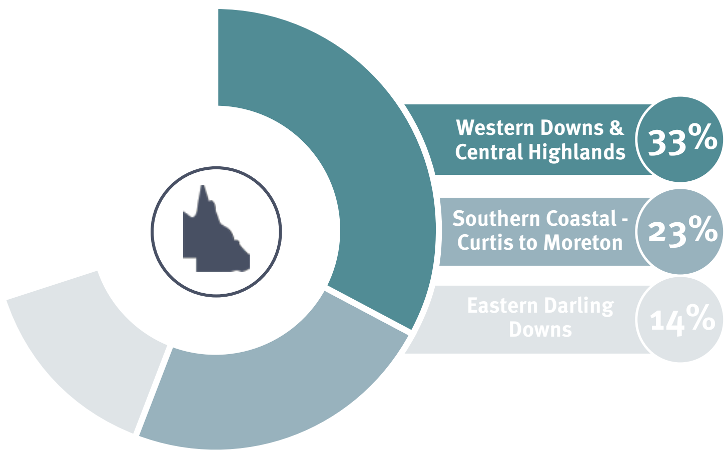
18,232

-0.56% compared to 2017 (18,335)

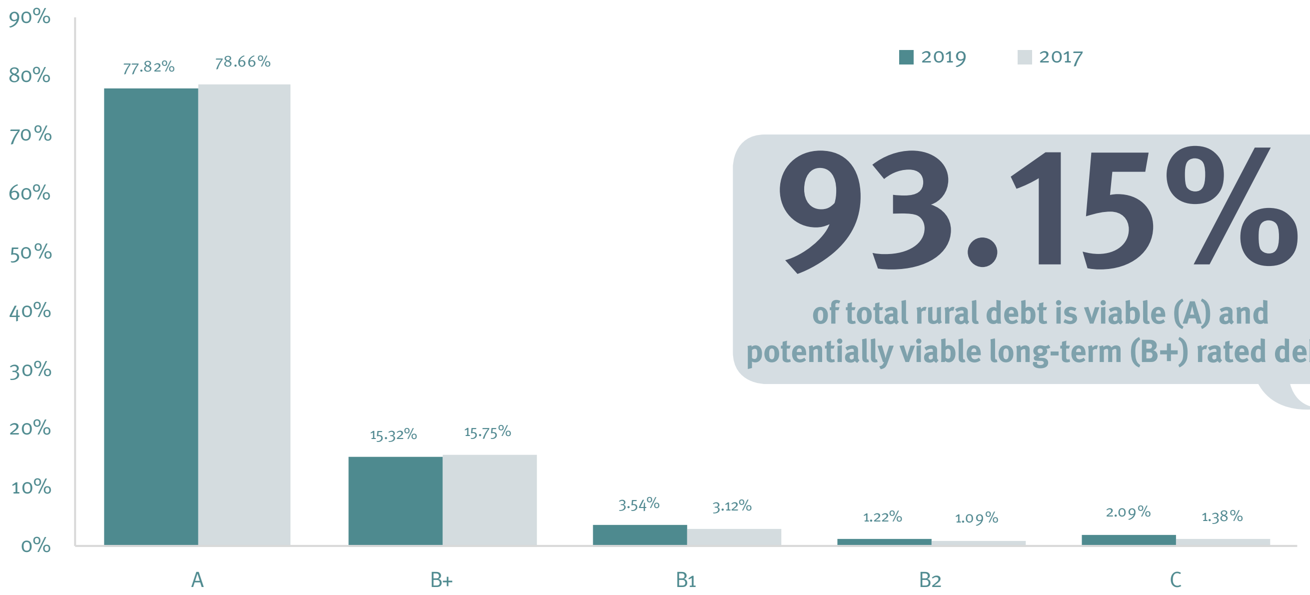
DEBT PROPORTION BY MAJOR INDUSTRY



DEBT PROPORTION BY ABARES REGION



RISK PROFILE BY VALUE



93.15%

of total rural debt is viable (A) and potentially viable long-term (B+) rated debt

INTRODUCTION

The 2019 Queensland Rural Debt Survey ascertains the extent, nature, trends and size of total rural indebtedness in Queensland as at 31 December 2019.

The survey has been conducted by the **Queensland Rural and Industry Development Authority (QRIDA)**, since 1994. Since 2017, the survey has been a legislative requirement for QRIDA under the *Rural and Regional Adjustment Act 1994 (Qld)*.

As with the previous 2017 Survey, QRIDA engaged the Queensland Government Statistician's Office (QGSO), Queensland Treasury, to conduct the 2019 Queensland Rural Debt Survey.

A total of 10 financial institutions, including the major banks and Queensland-based lending institutions participated in the 2019 survey.

The QGSO, under section 4 of the *Statistical Returns Act*, requested each financial institution to provide information including location of business, industry classification, rating and total value of each rural loan. The QGSO analysed and collated the survey results in a series of data tables that are presented in this report.

Structured into three segments, this report firstly provides a brief overview of general trends affecting the Queensland rural environment, including the global and domestic economy, weather, natural disasters and financial impacts. Secondly, it details the size and nature of the rural debt results by both industry and region. Finally, a number of rural industries are analysed further, including insights on specific industry events and trends since the 2017 survey.

Several reporting mechanisms have been utilised to assist in determining the debt level trends. The region classifications are identified by the 2016 Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES) regions for Queensland. The agricultural industry classifications used throughout refer to the Australian and New Zealand Standard Industrial Classification (ANZSIC).

The risk rating profile that has been used is consistent with previous surveys and is determined by the lending institutions. Details of survey terminology, methodology and assumptions can be found in Appendix V.

Caution must be applied when comparing 2017 and 2019 results as some variance may have occurred over this time. The best attempt has been made to ensure clarity and consistency throughout.

Please note that not all tables (columns and rows) will exactly add together in this report. This is due to utilising the most appropriate reporting information where possible.

GENERAL TRENDS

This section provides a brief overview of general trends affecting the Queensland rural environment, including the global and domestic economy, weather and natural disasters and financial impacts for the period 2017 to 2019.

ECONOMIC ENVIRONMENT

Agriculture globally continues to be challenged by volatile commodity prices, changes in climate, increasing consumer demands and scarcity of land and water resources. Australian agriculture is no different.

To summarise the economic outputs for Australian and Queensland agriculture, a snapshot of the exports, value of agriculture and employment are considered.

VALUE OF AGRICULTURAL EXPORTS

Figure 1 depicts the 2018-19 value of Australian exports by country and indicates that China, South East Asia and Japan are the three main export markets. The value of these exports was $13,094 million, $8,440 million and $5,144 million respectively in 2018-19 (ABARES, 2019a). Compared to 2017, China has seen an increase of 29.38 per cent in overall exports of $2,974 million ($10,120 million in 2016-17) (ABARES, 2017; ABARES 2019a).

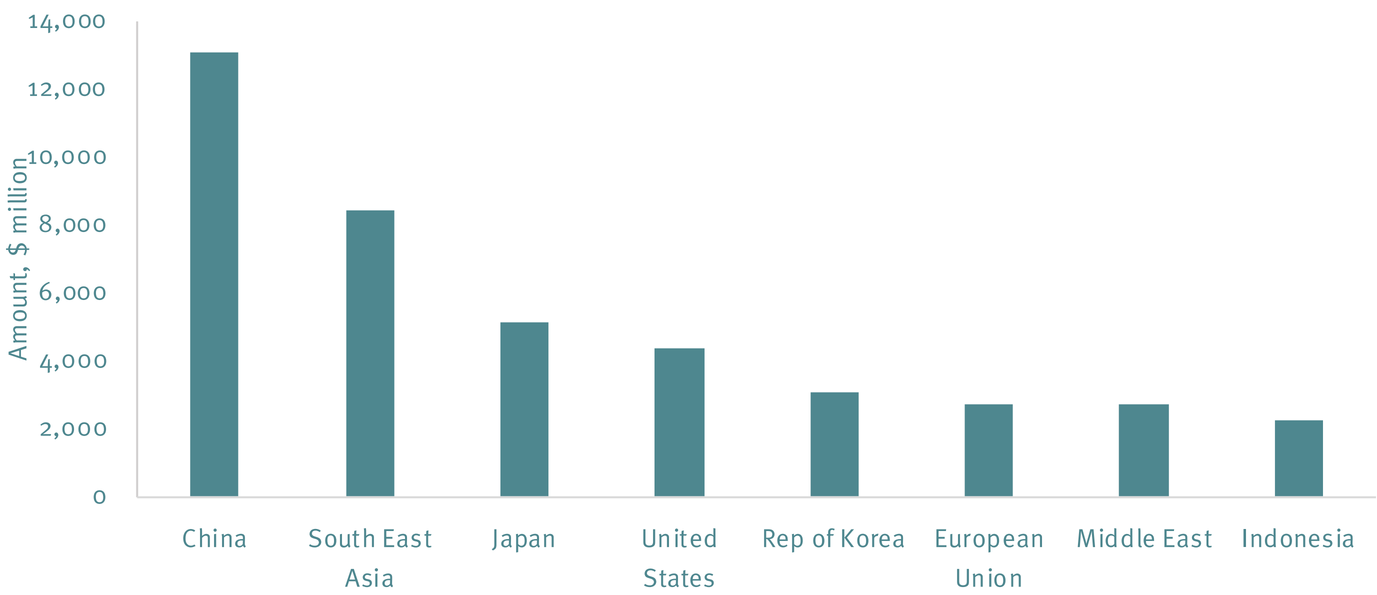


FIGURE 1: AUSTRALIAN EXPORT MARKETS 2018-19

Note. Reprinted from *Farm Sector Tables*, by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2019, retrieved from https://www.agriculture.gov.au/abares/research-topics/agricultural-commodities/agricultural-commodities-trade-data#2019

In 2018-19, total Australian farm exports were $48,729 million.

The major export industries for Australia are displayed in Figure 2. Beef and veal, wheat and other crops, and wool are the major export commodities. More than half of the agricultural product is exported in Queensland (State of Queensland, 2018, p. 8). With the major export markets including China, Japan, India, Korea, United States and Indonesia (State of Queensland, 2018, p.8).

'Queensland is Australia's largest producer and exporter of beef, with just under three-quarters of the state's $4.8 billion of beef exports going to Asian markets' (State of Queensland, 2018a, p.6).

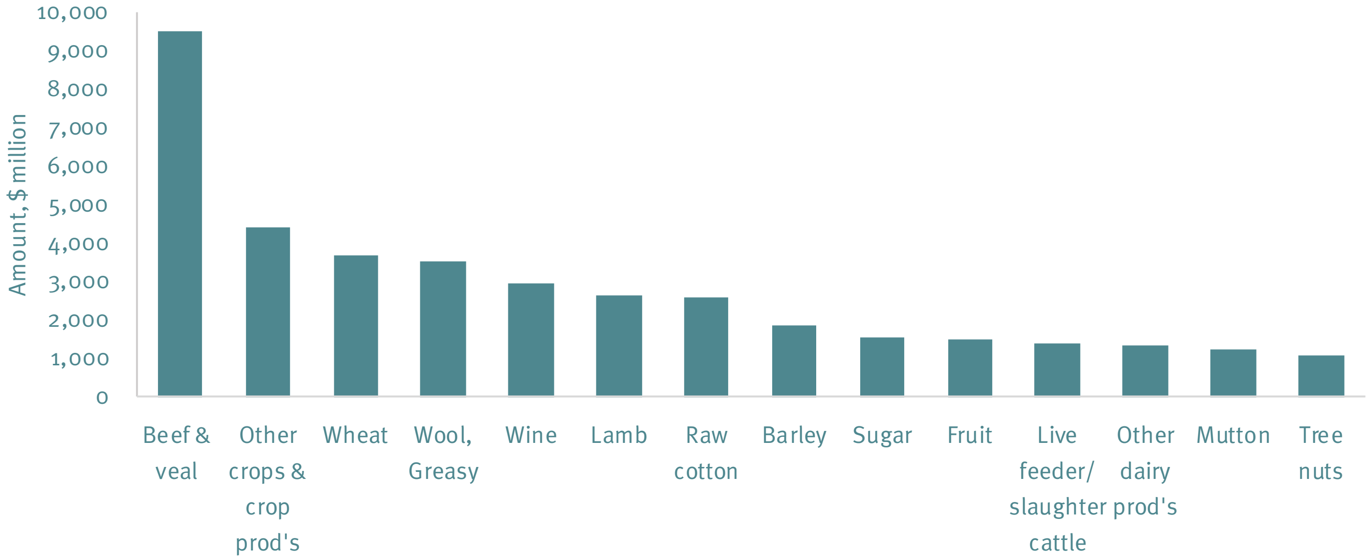


FIGURE 2: EXPORT VALUES, 2018-19 FOR AUSTRALIAN PRODUCTS

Note. Reprinted from *Farm Sector Tables,* by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2019, retrieved from https://www.agriculture.gov.au/abares/research-topics/agricultural-commodities/agricultural-commodities-trade-data#2019

Along with the exporting countries and associated commodities, Figure 3 displays the total farm export values for Australia in the last decade. This value increased to 2016-17 and has since steadied. In 2018-19, total Australian farm exports were $48,729 million.

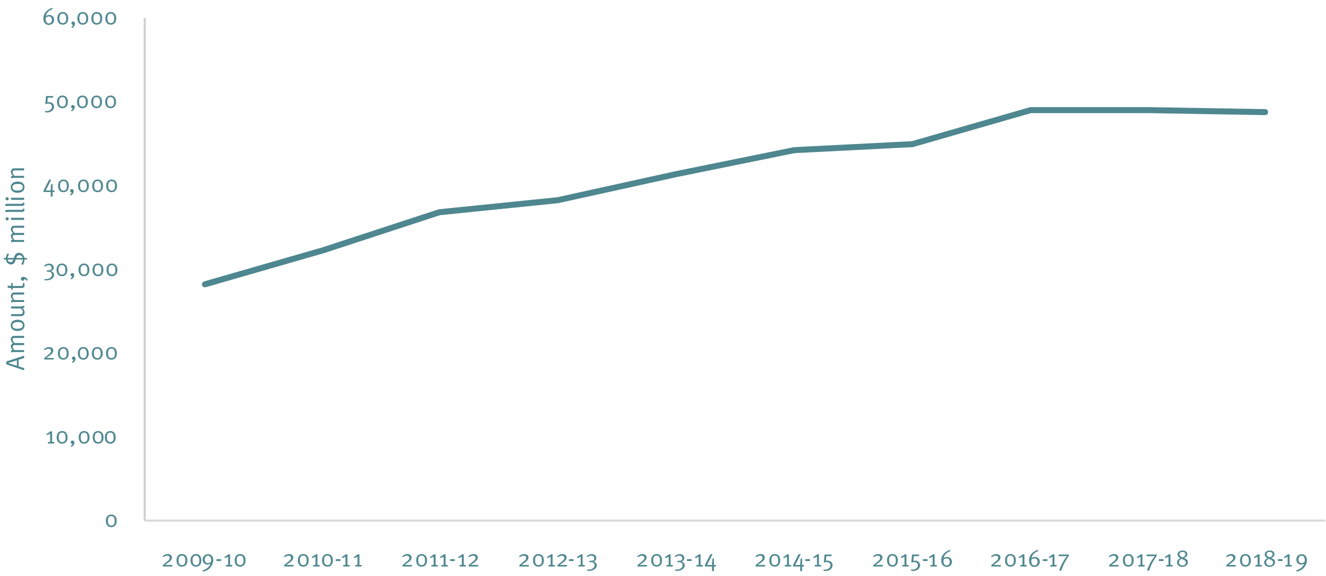


FIGURE 3: AGRICULTURAL FARM EXPORT TOTAL OVER TIME

Note. Reprinted from *Farm Sector Tables,* by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2019, retrieved from https://www.agriculture.gov.au/abares/research-topics/agricultural-commodities/agricultural-commodities-trade-data#2019

VALUE OF AGRICULTURE

According to the Australian Bureau of Statistics (ABS), in 2018-19 there were 19,017 Queensland farming businesses covering over 126 million hectares (ABS, 2020). Inclusive of mixed enterprises, 12,367 identified as cattle enterprises, 6,114 broadacre cropping and 3,266 for sugarcane (ABS, 2020).

Table 1 identifies the Gross Value Added and Gross State Product for Queensland. In 2017 the share of agriculture was 3.19 per cent and in 2019, it was 2.29 per cent (ABS, 2018, ABS, 2018a). This is not surprising as the share of agriculture to the Queensland economy has been decreasing since the 1990s (as indicated in Figure 4), with the share of agriculture in 1990 being 6.45 per cent (ABS, 2018a).

TABLE 1: GROSS VALUE OF AGRICULTURE & GROSS STATE PRODUCT

YEAR ($M)	AG, FISHING AND FORESTRY; INDUSTRY GROSS VALUE ADDED, QUEENSLAND	GROSS STATE PRODUCT ALL SECTORS, QUEENSLAND	PERCENTAGE
2017	10,538	330,231	3.19%
2019	8,475	369,578	2.29%

Note. Reprinted from *Australian National Accounts: State Accounts - Queensland Current Prices* by Australian Bureau of Statistics, 2020, retrieved from https://www.abs.gov.au/AUSSTATS/abs@.nsf/DetailsPage/5204.02018-19?OpenDocument

EMPLOYMENT

ABS data from the Labour Force Survey indicates that 2.57 million people were employed in Queensland in November 2019 (ABS, 2019b). The total agriculture, forestry and fishing sector employed 76,500 which represents approximately 2.97 per cent of the state's workforce (ABS, 2019b).

This is a return to employment previously seen around 2011. Comparatively in 2017 there were 61,900 employed in agriculture.

In 2015-16, the combined employment associated with the whole food supply chain equated to an estimated 305,000 employees. This means that 'roughly one in seven Queenslanders were either partly or entirely supported by the food sector' (State of Queensland, 2018, p.6).

Whist employment has grown since 2017, overall, employment has not reached the levels observed since the late 1990s due to technological developments reducing labour, changes in operational capacities within primary production as well as an ageing labour market. Due to the transient nature of some primary production labour markets (e.g. horticulture), it is recognised that there continues to be a shortage in reliable labour in the agricultural sector.

FIGURE 4: EMPLOYMENT AND OUTPUT FOR QUEENSLAND OVER TIME (PERCENTAGE OF TOTAL)

Output: Gross value added, current prices. This measure differs from the value of production.

Note. Reprinted from *6291.0.55.003 Labour Force, Australian, Detailed, Quarterly Australia and Queensland Employed total*, Australian Bureau of Statistics, 2019, retrieved from https://www.abs.gov.au/AUSSTATS/abs@.nsf/DetailsPage/6291.0.55.003Nov%202019?OpenDocument; *5220.0 Australian National Accounts: State Accounts, 2016-17*, Australian Bureau of Statistics, 2019, retrieved from https://www.abs.gov.au/AUSSTATS/abs@.nsf/allprimarymainfeatures/E6765105B38FFFC6CA2568A9001393ED?opendocument

WEATHER AND NATURAL DISASTERS

The 2017 to 2019 period saw climate conditions as the dominant driver of farm performance in Australia. Farm decisions relating to uncertain rainfall were apparent through reduced planting, harvesting and decreasing herd/flock numbers.

TEMPERATURE

As displayed in Figure 5, 2017, 2018 and 2019 temperatures were very much above average over most of the state. Most of Queensland experienced maximum temperatures above average in 2019. Queensland had its warmest January and December on record in 2019. For most agricultural products, an increased temperature can impact yield.

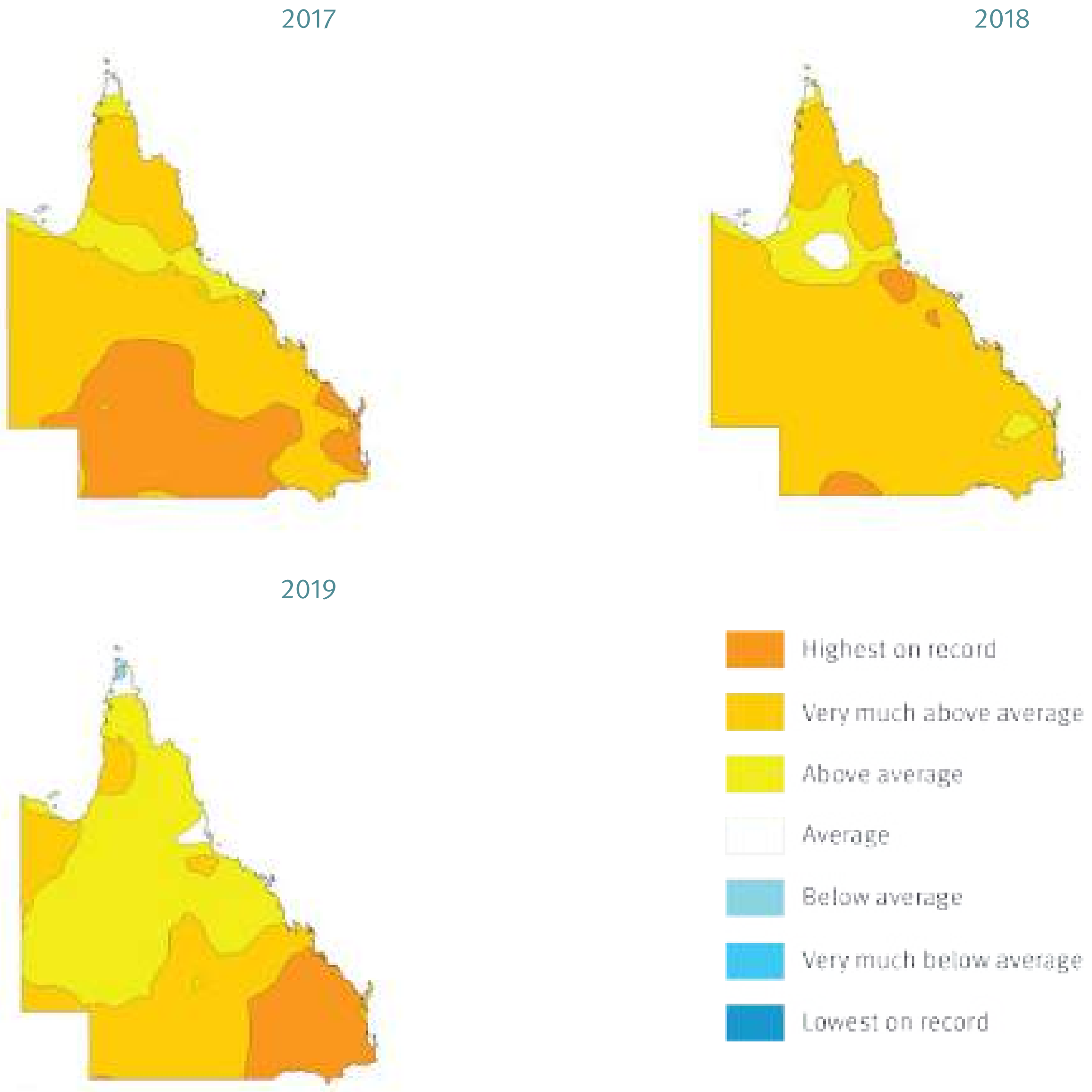


FIGURE 5: MAXIMUM TEMPERATURE DECILES

Note. Reprinted from *Queensland Maximum Temperature* by Australian Bureau of Meteorology (BOM), 2020, adapted from *Personal Communication 12 March 2020*.

RAINFALL

Overall, rainfall from 2017 to 2019 was sporadic. As depicted in Figure 6 below, 2017, 2018 and 2019 had below average rainfall.

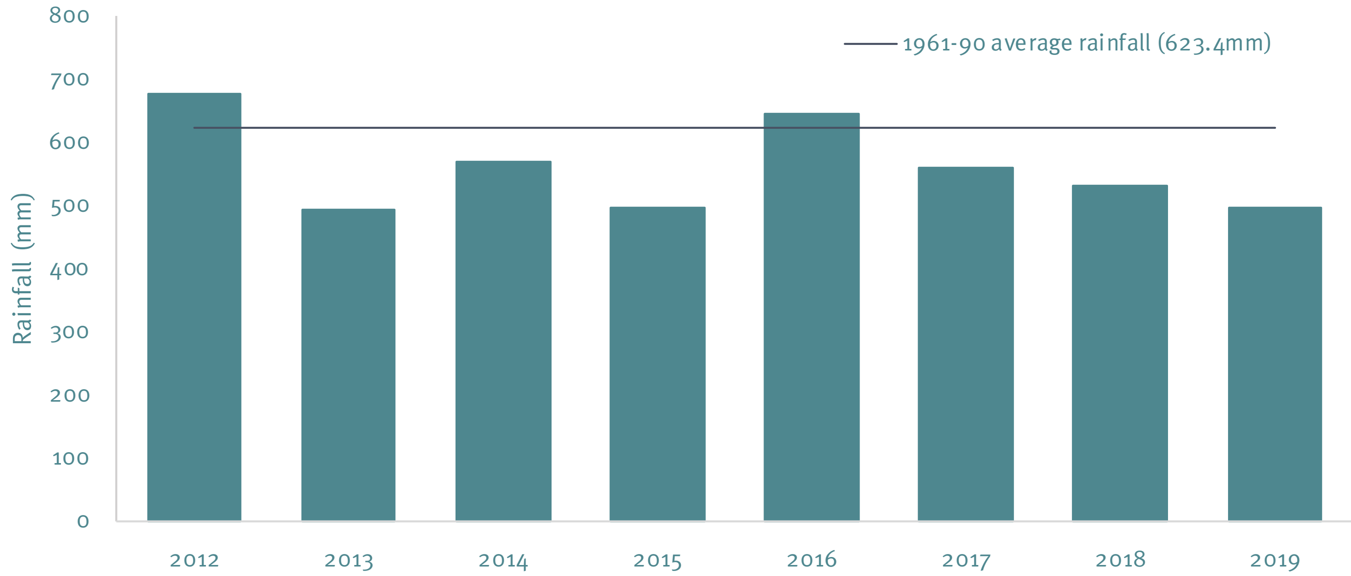
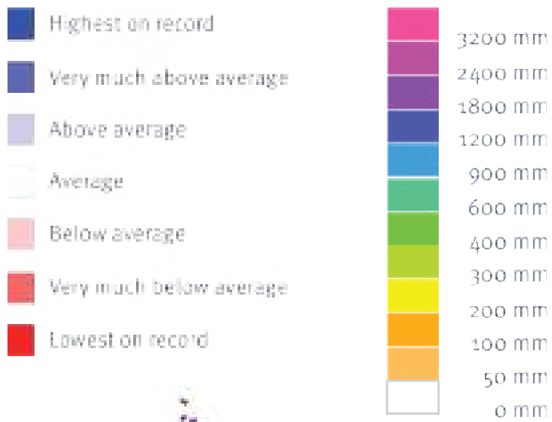


FIGURE 6: ANNUAL RAINFALL (MM) FOR QUEENSLAND

Note. Reprinted from Queensland Rainfall Totals (mm) 2012-2019 by Australian Bureau of Meteorology (BOM), 2020, Adapted from *personal communication 12 March 2020*.

As well as being very much warmer than average, much of western and central Queensland was drier than average in 2017, with some areas receiving significantly below average rainfall. Some areas, mainly near the coast, received above average rain, partly due to Tropical Cyclones Alfred and Debbie. Figure 7, 8 and 9 display the rainfall deciles.

MAP KEYS



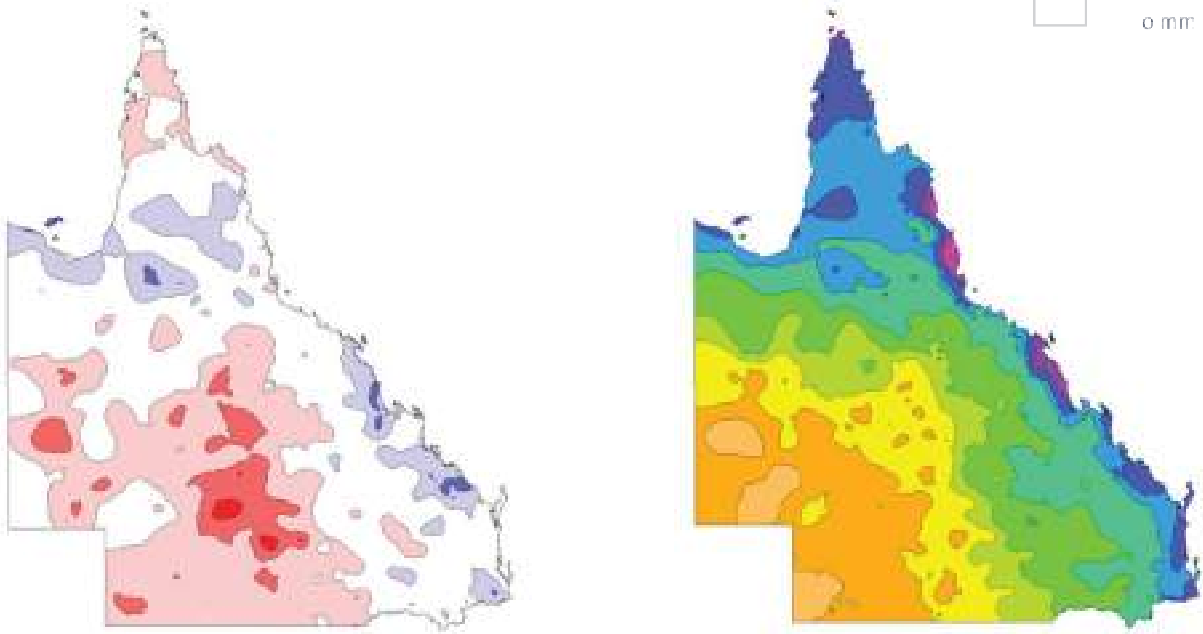


FIGURE 7: ANNUAL QUEENSLAND RAINFALL DECILES 2017

Note. Note. Reprinted from *Queensland Rainfall Deciles 1 January to 31 December 2017* by Australian Bureau of Meteorology (BOM), 2020, Adapted from *personal communication 12 March 2020*.

In 2018, southern Queensland received below average rainfall, with large areas very much below average (in the lowest 10 per cent of years). Parts of the northern interior and the Cape York Peninsula received above average rainfall thanks to heavy rain in February/March (which produced major flooding in the Tropical North Coast, the Gulf Country and some catchments in south west and southern inland Queensland). Additionally, there were Tropical Cyclones Nora, Owen and Penny.

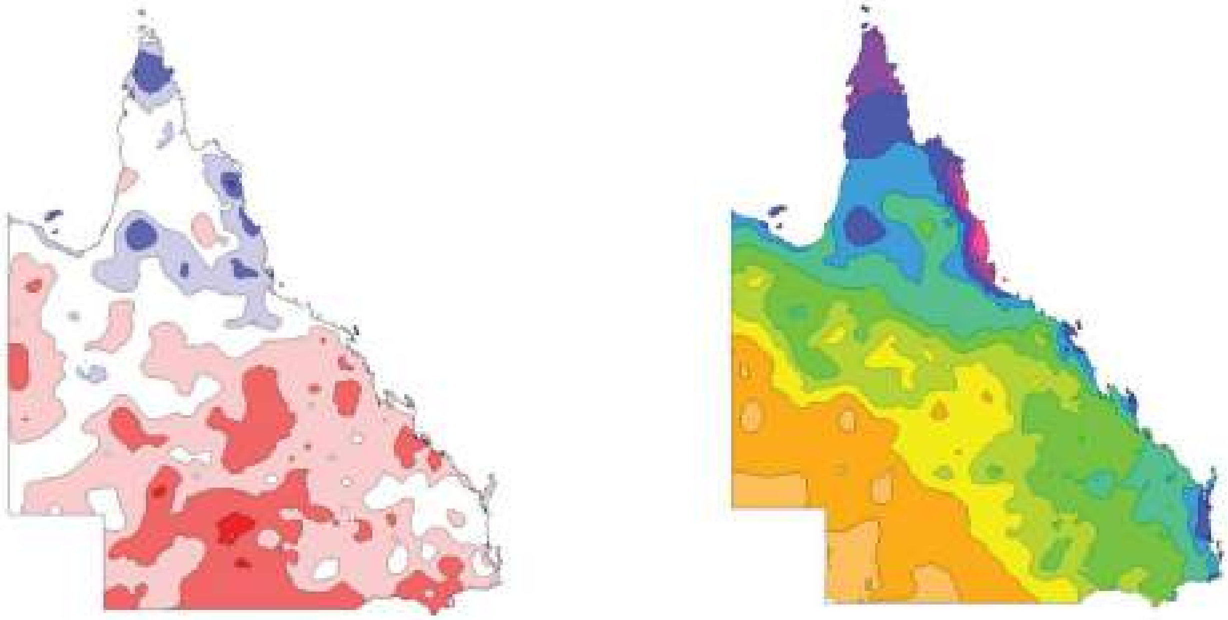


FIGURE 8: ANNUAL QUEENSLAND RAINFALL DECILES 2018

Note. Note. Reprinted from *Queensland Rainfall Deciles 1 January to 31 December 2018* by Australian Bureau of Meteorology (BOM), 2020, Adapted from *personal communication 12 March 2020*.

Rainfall in 2019 was above average in the northern tropics and north west, due to Tropical Cyclones Penny and Trevor and an active monsoon in late January/early February. Significant flooding occurred around Townsville, and also lasted from February to April in the Gulf Country and western Queensland. This widespread flooding lead to the loss of significant stock and crop reduction in an already reduced herd and production year. Rainfall was below average in the south eastern quarter of the state, and large areas of inland south east Queensland had their driest year on record.

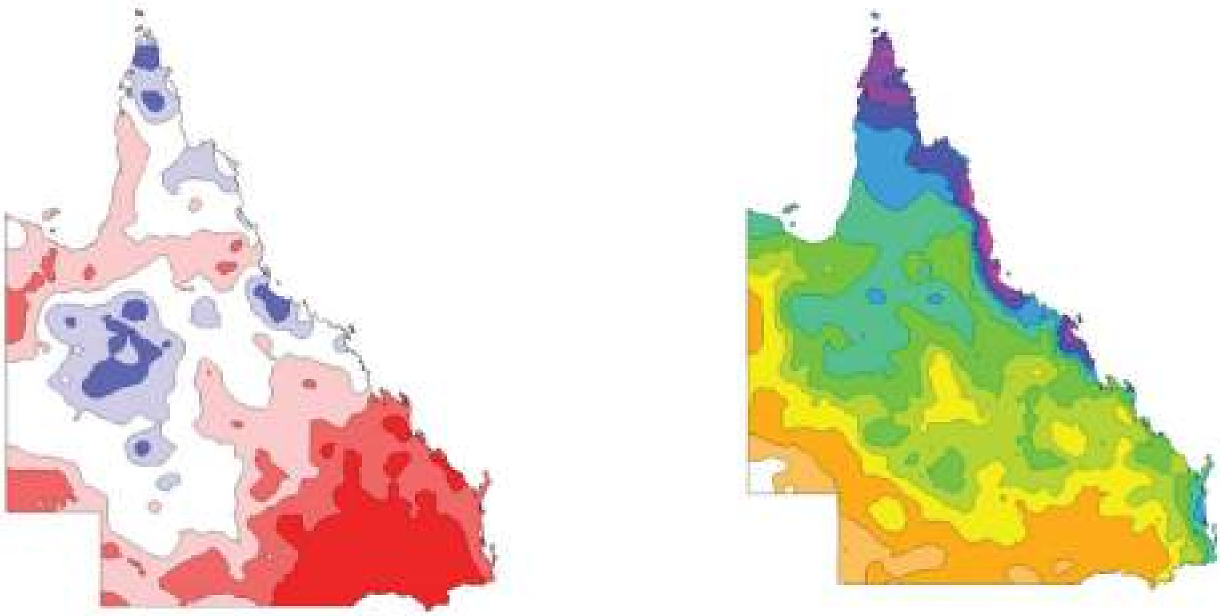


FIGURE 9: ANNUAL QUEENSLAND RAINFALL DECILES 2019

Note. Note. Reprinted from *Queensland Rainfall Deciles 1 January to 31 December 2019* by Australian Bureau of Meteorology (BOM), 2020, Adapted from *personal communication 12 March 2020*.

Note. Some of the above information is with thanks to the Australian Bureau of Meteorology, 2020, personal communication 12 March 2020.

DROUGHT DECLARATIONS

At the end of 2017, 67 per cent of the land area of the state was in drought, a reduction to 58 per cent occurred in 2018 and an increase to 68 per cent in 2019. The Drought Declarations maps, Figure 10 below, depict formally declared areas of drought in red.

As at December 2019, there was a total of 41 council and four part council areas drought declared. Additionally, there were 16 Individually Droughted Properties in a further five Local Government Areas (Long Paddock, 2020).

The continued drought, which has seen formal drought declarations since 2013, continue to impact primary production in Queensland with hardship, herd reduction, diversification and off-farm income prominent. Continued efforts to implement on-farm improvements to assist in drought proofing for the future are occurring.

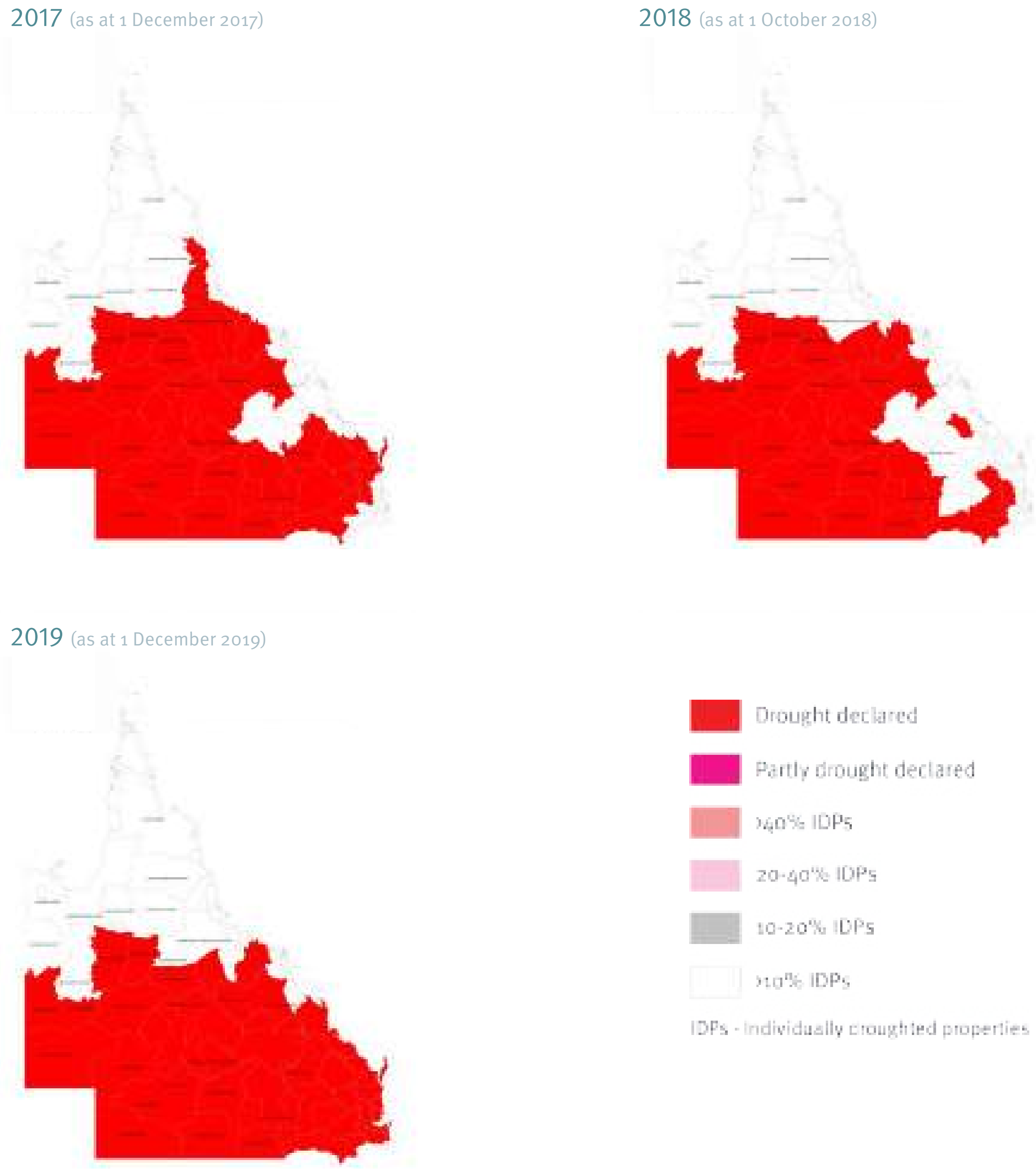


FIGURE 10: QUEENSLAND DROUGHT SITUATION 2017 – 2019

*The month of December has been utilised to capture the season as closely to the debt survey reporting period.

Note. Reprinted from *Drought Declarations Archive* by Long Paddock, retrieved from https://www.longpaddock.qld.gov.au/drought/archive/

NATURAL DISASTERS

Depicted below are the natural disaster or other notable events that have occurred since 2011 (Figure 11). This shows the wide variability that primary producers must navigate.

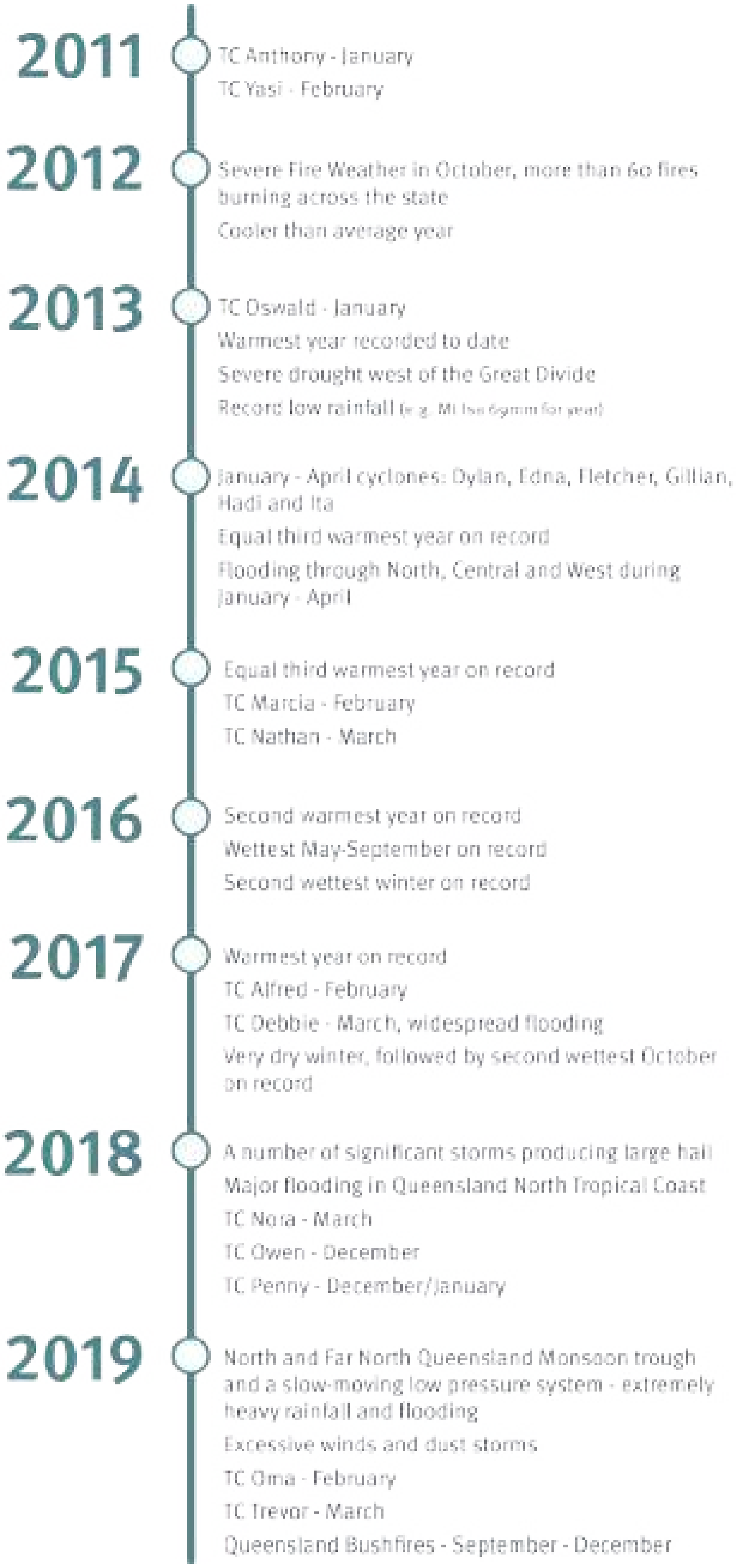


FIGURE 11: NATURAL DISASTERS FROM 2011-2019

Note. Adapted from Bureau of Meteorology, *Climate Summaries Archive*, 2020, retrieved from http://www.bom.gov.au/climate/current/statement_archives.shtml?region=qld&period=annual

DISASTER ASSISTANCE

The North and Far North Queensland Monsoon Trough – 25 January 2019 to 14 February 2019 (the Monsoon Trough) event saw heavy rainfall and major flooding across much of North and North West Queensland, approximately 100 million hectares. The Monsoon Trough imposed 'billions of dollars in direct costs to individuals, businesses, councils and government' (Deloitte, 2019).

The Department of Agriculture and Fisheries predicted that 40 per cent of north-west Queensland's grazing lands were impacted with flooding and inundation resulted from record rainfall associated with a monsoonal trough (State of Queensland, 2019, p.3). 'This flooding, wet conditions and cold weather caused the death of an estimated 457,000 head of cattle, 43,000 sheep, 710 horses and over 3,000 goats across 11.4 million ha' (State of Queensland, 2019, p.3).

Several forms of Disaster Recovery Funding Arrangements (DFRA) assistance were made available to primary producers impacted by the monsoon event. These included Special Assistance Recovery Grants, Disaster Assistance Loans, Disaster Assistance Loans (Essential Working Capital) and Exceptional Disaster Assistance Loans, which were administered by QRIDA.

Grants of up to $75,000 were offered to primary producers to immediately assist in the ongoing operation of farming enterprises. This funding was available to June 30 2020.

As at 31 December 2019; 1,968 applications had been approved for more than $106 million (QRIDA, 2020, *personal communication 9 June 2020*). Costs associated to ongoing infrastructure replacement or renewable and environmental damage are still ongoing.

In addition to the DRFA funding, the North Queensland Restocking, Replanting & On-farm Infrastructure $400,000 co-contribution grant was made available to primary producers to assist with more extensive rebuilding and restocking. As at 31 December 2019, there were 134 applications approved for $38.90 million (QRIDA, 2020, *personal communication 9 June 2020*). This grant will be available to 30 June 2021.

Deloitte estimated that the 'social and economic cost of the Monsoon Trough to North, Far North and North West Queensland will exceed $5.68 billion which is approximately 14 per cent of the annual gross regional product (GRP) in the affected Local Government Areas' (Deloitte, 2019).

FINANCIAL

EXCHANGE RATE AND OFFICIAL CASH RATE

Displayed in Figure 12, the exchange rate has steadily decreased since January 2018 with a slight recovery towards the end of 2019. As at 31 December 2019, the Australian dollar was US 0.70c (Reserve Bank of Australia, 2020). The depreciation of the Australian dollar has increased the prices received by Australian producers.

FIGURE 12: AUD/USD EXCHANGE RATE - MONTHLY JAN 2018 - DEC 2019

Note. Reprinted from *Statistical Table – Exchange Rates* by Reserve Bank of Australia,2020, retrieved from https://www.rba.gov.au/statistics/frequency/exchange-rates.html

Figure 13 indicates the change in the cash rate (the overnight money market rate), as determined by the Reserve Bank of Australia (RBA) for the 2017 to 2019 period. From August 2016 to May 2019, rates remained at 1.50 per cent. From June 2019, rates dropped incrementally and by October 2019, the rate was 0.75 per cent and remained that level through to December.

FIGURE 13: OFFICIAL CASH RATE RBA

Note. Reprinted from *Statistical Table – Official Cash Rates* by Reserve Bank of Australia, 2020, retrieved from https://www.rba.gov.au/statistics/cash-rate/

NATIONAL RURAL DEBT

National rural debt is reported each financial year by the RBA based on information supplied by lending institutions.

Table 2 identifies the yearly national debt levels for 2017 to 2019. Banks provide the largest proportion of national rural debt. In 2019 this equated to 95.41 per cent or 76,541 million which was reflective of the previous year's proportion.

Since 2017, large finance institutional debt has increased by almost $9,000 million (11.88 per cent). Of this, banks have increased by $7,984 million (11.65 per cent). An increase has also been observed in other government agencies (21.20 per cent increase) and pastoral and other finance companies (14.58 per cent increase).

TABLE 2: RURAL INDEBTEDNESS TO FINANCIAL INSTITUTIONS – AUSTRALIA

INSTITUTION - RURAL DEBT ($M)	2017	2018	2019
All banks	68,557	73,034	76,541
Other government agencies	1,160	1,293	1,406
Pastoral and other finance companies	1,987	2,096	2,277
Large finance institutional debt	**71,704**	**76,423**	**80,224**
DEPOSITS ('000)			
Farm Management Deposits	6,110,601	6,616,839	6,754,779

Note. Reprinted from *Money and Credit Statistics - Rural Debt by Lender* by Reserve Bank of Australia, 2020, retrieved from https://www.rba.gov.au/statistics/tables/; Reprinted from Farm Management Deposits by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

Total national rural debt for 2017 to 2019, as reported by the RBA, is displayed in Figure 14. Based on the June 2019 total debt figure for Australia and the December 2019 Queensland debt figure (noting the six month disparity), Queensland makes up just over 23.75 per cent of the total rural debt for Australia. By comparison to the last survey in 2017, Queensland comprised 24.05 per cent of Australia's total rural debt.

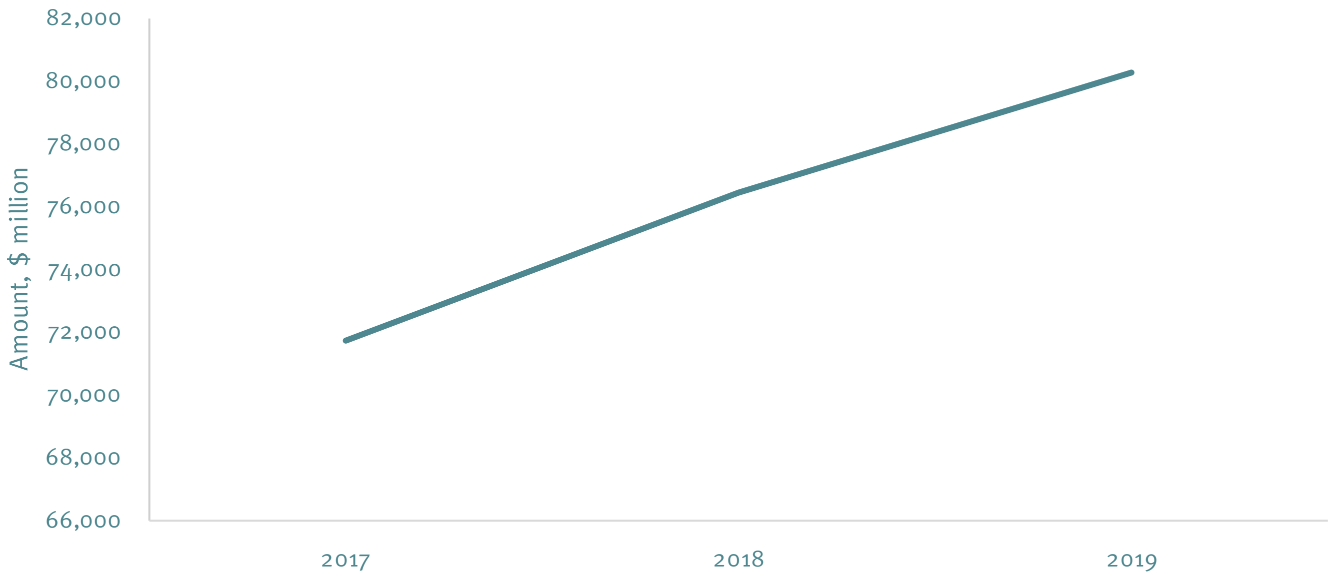


FIGURE 14: TOTAL AUSTRALIAN DEBT BY LENDER DEBT OVER TIME 2017-2019

Note. Reprinted from *Money and Credit Statistics - Rural Debt by Lender* by Reserve Bank of Australia, 2020, retrieved from https://www.rba.gov.au/statistics/tables/

FARM INCOMES

Farm cash incomes for Queensland broadacre farms by region, as reported in the ABARES Australian Agricultural and Grazing Industries Survey are displayed in Table 3 for the 2016-17 to 2018-19 financial years. There was a moderate decrease observed in all regions between 2017-18 and 2018-19 (aside from a small increase in Northern Coastal – Mackay to Cairns) due to drought. The 2016-17 year had historically high farm incomes due to record winter crop productions and the high returns in beef cattle due to the high prices observed at that time. For 2017-18, grain production was reduced and resulted in 50 per cent fall in crop receipts, and a 20 per cent decline in cattle receipts, which reflected a reduced winter crop production (down 38 per cent in 2018-19) and ongoing drought conditions in the south of the state (ABARES, 2019).

TABLE 3: AVERAGE FARM CASH INCOME IN QUEENSLAND BROADACRE FARMS

	FARM CASH INCOME ($'000)		
REGION	**2016-17**	**2017-18**	**2018-19**
Cape York and the Gulf	730	1,220	620
Central North	396	297	89
Charleville - Longreach	254	138	62
Eastern Darling Downs	96	107	97
Northern Coastal – Mackay to Cairns	131	52	59
Southern Coastal – Curtis to Moreton	94	98	80
West and South West	172	401	-18
Western Downs and Central Highlands	378	243	150

Note. Reprinted from *Farm financial performance - Queensland ABARES* by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2020, retrieved from https://www.agriculture.gov.au/abares/research-topics/surveys/farm-performance#performance-by-state-and-region

INCOME FROM OTHER SOURCES

Off-farm income has been an important contributor to farm businesses throughout the drought. The ABS indicates that, for the 2018-19 year, 78 per cent of income was from agricultural production, 16 per cent was from off-farm employment or business activities and 0.88 per cent was from grants, government transfers and relief funding (ABS, 2018). ABARES predicts that Queensland off-farm income for the owner or partner for 2017-18 was $$39,604 and for 2018-19 dropped slightly to $32,970 (ABARES, 2019).

Additionally, the use of the land's natural resources has been another source of income that some primary producers have been able to utilise, such as leasing or agisting unused land for rental income or planting a crop under specific contract agreements.

According to the Gasfields Commission Queensland Shared Landscapes Report, at the end of March 2019 there were 4,746 total Conduct and Compensation Agreements (CCA) to 1,472 individual landholders. Landholders living in the Maranoa and Western Downs Regional Council areas accounted for 72 per cent of all CCAs (Gasfields Commission Queensland, 2019, p. 49-52). In 2018-19, $78 million in compensation was paid to 'landholders for the impacts resulting from petroleum and gas development activities on their properties' (Gasfields Commission Queensland, 2019, p.52). This makes total cumulative compensation more than $506 million in Queensland (Gasfields Commission Queensland, 2019 p. 52).

FARM MANAGEMENT DEPOSITS

Farm Management Deposits (FMD) are an initiative of the Australian Government to 'assist primary producers to deal more effectively with fluctuations in cash flows' (Australian Government Department of Agriculture, Water and the Environment, 2020). FMDs are designed to increase 'the self-reliance of Australian primary producers by helping them manage their financial risk and meet their business costs in low-income years by building up cash reserves' (Australian Government Department of Agriculture, Water and the Environment, 2020). The scheme provides an avenue for primary producers to draw down on pre-tax income that has been set aside in an account in the future when it is needed, smoothing the income over several years.

Figure 15 displays FMDs since 2011 for Queensland. Heightened deposits appear at the end of each financial year with a greater increase observed in mid-2016. As of July 2016, FMD caps were increased from $400,000 to $800,000 for each eligible producer along with an early access trigger for drought and FMDs to be used to offset the interest costs on primary production business debt (Australian Government Department of Agriculture, Water and the Environment, 2020).

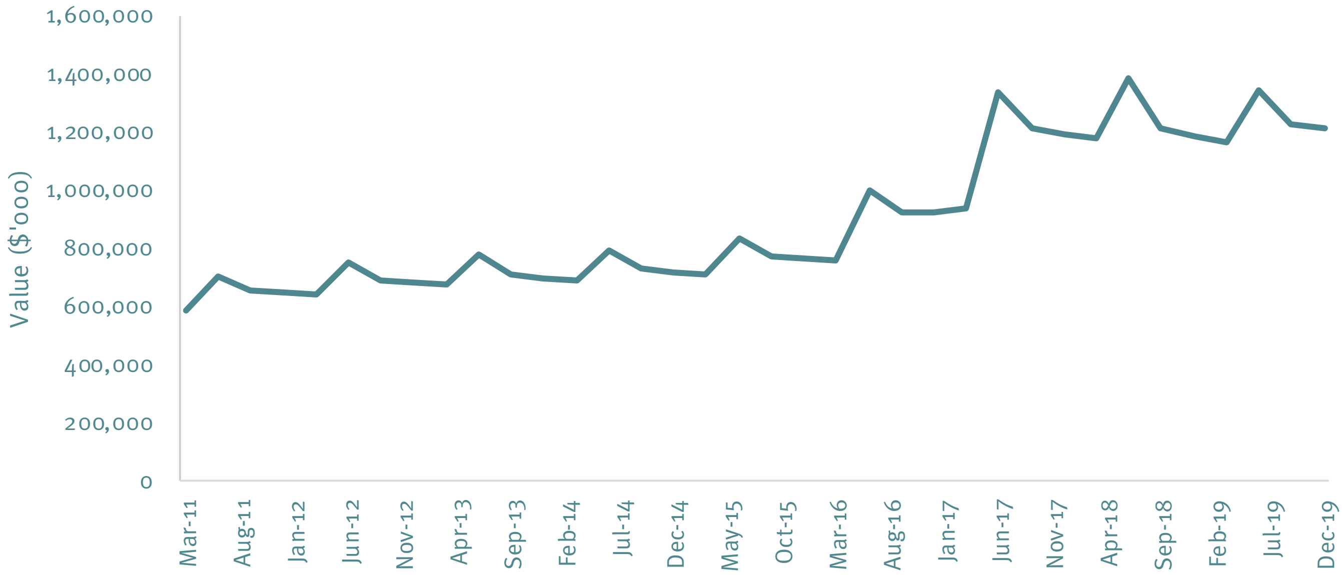


FIGURE 15: QUEENSLAND FARM MANAGEMENT DEPOSITS 2011-2019

Note. Reprinted from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

The December 2019 deposits into the FMD scheme for Queensland have increased by 2.03 per cent since December 2017.

Figure 16 displays the variation in FMDs in Queensland since the last survey in 2017. As at December 2019, there were 9,154 FMD accounts in Queensland at a value of $1,213 million. Comparatively, in December 2017, there were 10,095 accounts with a total value of FMD accounts at $1,188 million.

The total value of deposits has only marginally increased (2.03 per cent increase) and the number of accounts has decreased by over 900. It is observed that March 2019 saw the lowest deposit value at $1,167 million.

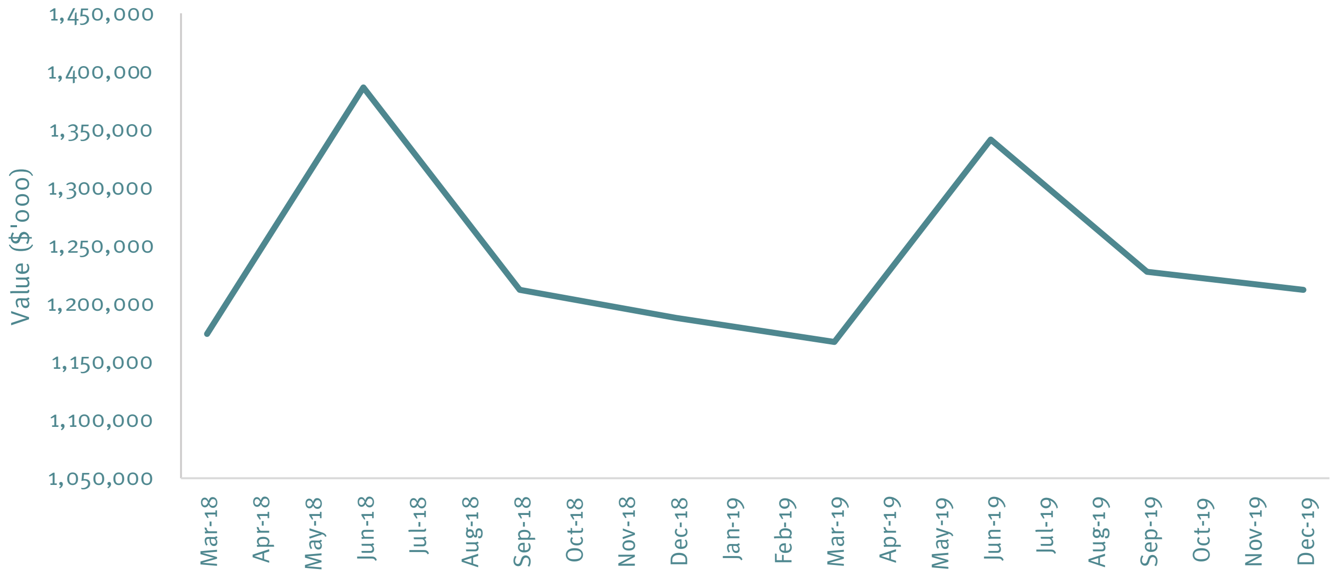


FIGURE 16: QUEENSLAND FARM MANAGEMENT DEPOSITS MARCH 2018 - DEC 2019

Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

Figure 17 shows the breakdown of FMDs in Queensland by industry as at December 2019. The beef industry had the greatest number of FMD accounts (3,073) with a value of $460 million. The sugar industry had the second highest deposit accounts with 1,319 at a total of $138 million. In 2017, these two industries also had the highest number of accounts, reflecting the significant industries that they are in Queensland. Whilst drought has significantly reduced production for both industries in Queensland, the high returns from 2016 likely assisted in the number of accounts.

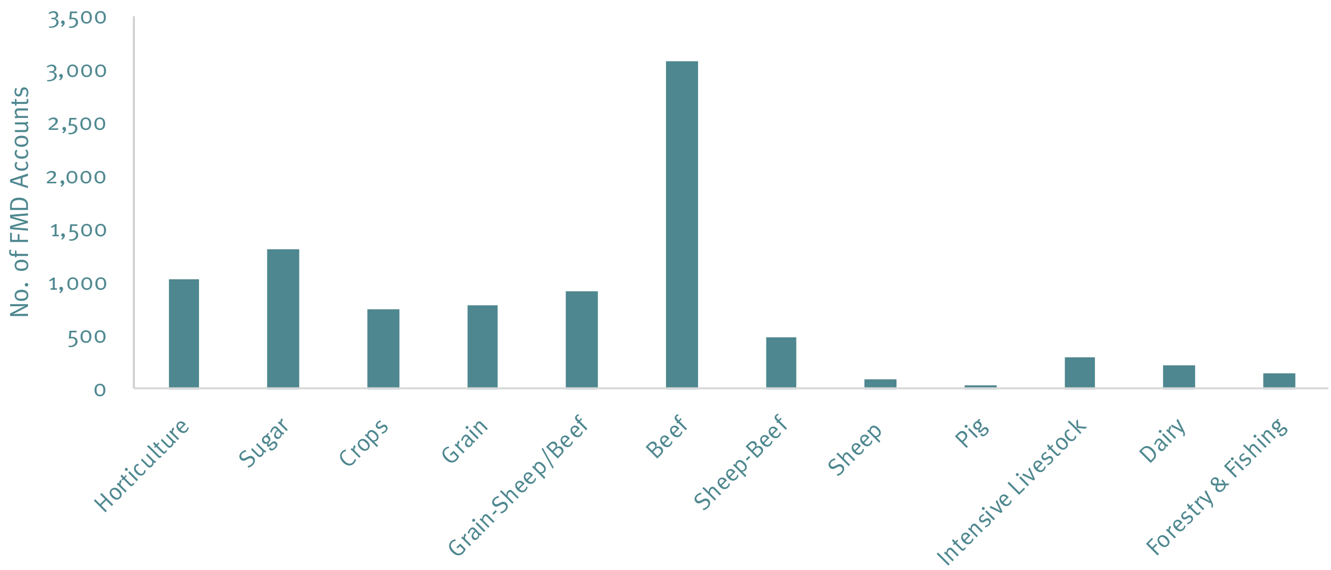


FIGURE 17: QUEENSLAND FARM MANAGEMENT DEPOSITS BY INDUSTRY

Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

RURAL PROPERTY SALES

Rural sales in terms of debt is an important consideration as each rural sales transaction has an entity entering into debt and an entity reducing debt (the nature of buying and selling). Several factors affect the pricing of rural properties, including the productivity of the land for sale, and location and proximity to other properties. Additionally, commodity prices, climate and diversification of enterprise also influence buying and selling behaviour.

Overall for Queensland in the past two years, there has been a decline in number of rural sales (which previously had been increasing) as displayed in Figure 18. There was a peak in 2017 with 2,446 rural property sales, dropping to 2,180 in 2018 and down again in 2019 to 1,729. This is a 29.31 per cent decline since 2017.

Rural property sale values have also been reduced, the peak of sales value was in 2016 at $4.97 billion (Figure 19). In 2017 this contracted to $3.42 billion, falling only slightly in 2018 at $3.18 billion and recovering slightly to $3.26 billion in 2019. From 2017 to 2019 the value of rural property sales has decreased by 4.60 per cent.

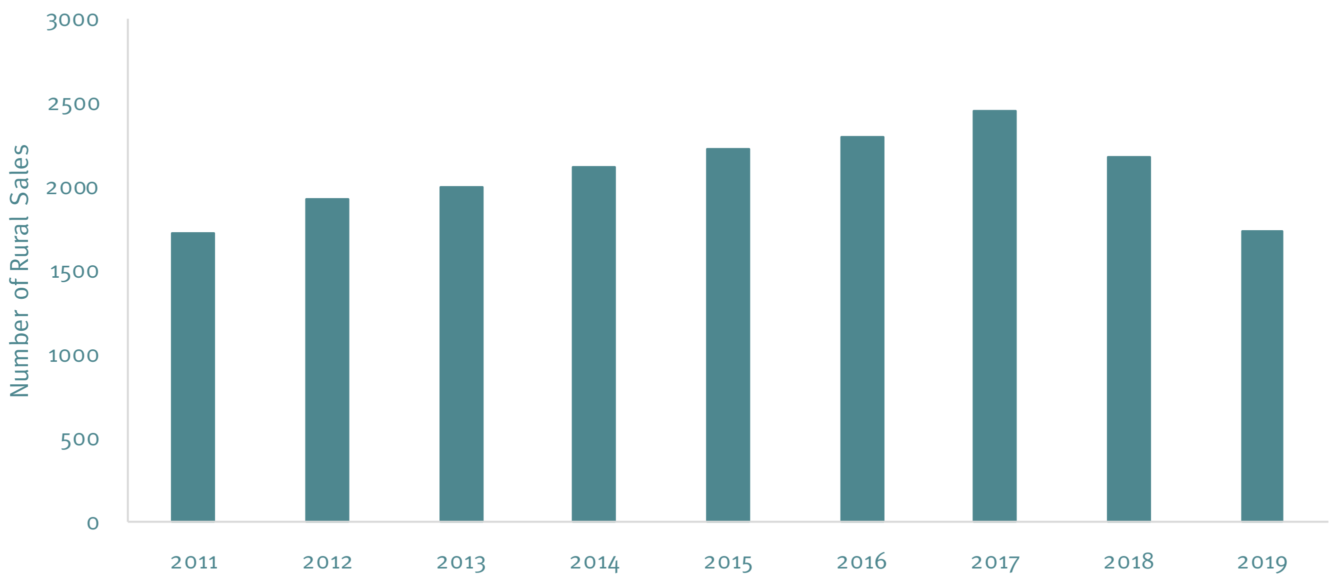


FIGURE 18: NUMBER OF RURAL SALES BY YEAR

Note. Reprinted from *Rural Sales* by Queensland Valuations and Sales System within the Queensland Department of Natural Resources, Mines and Energy, personal communication, 1 May 2020

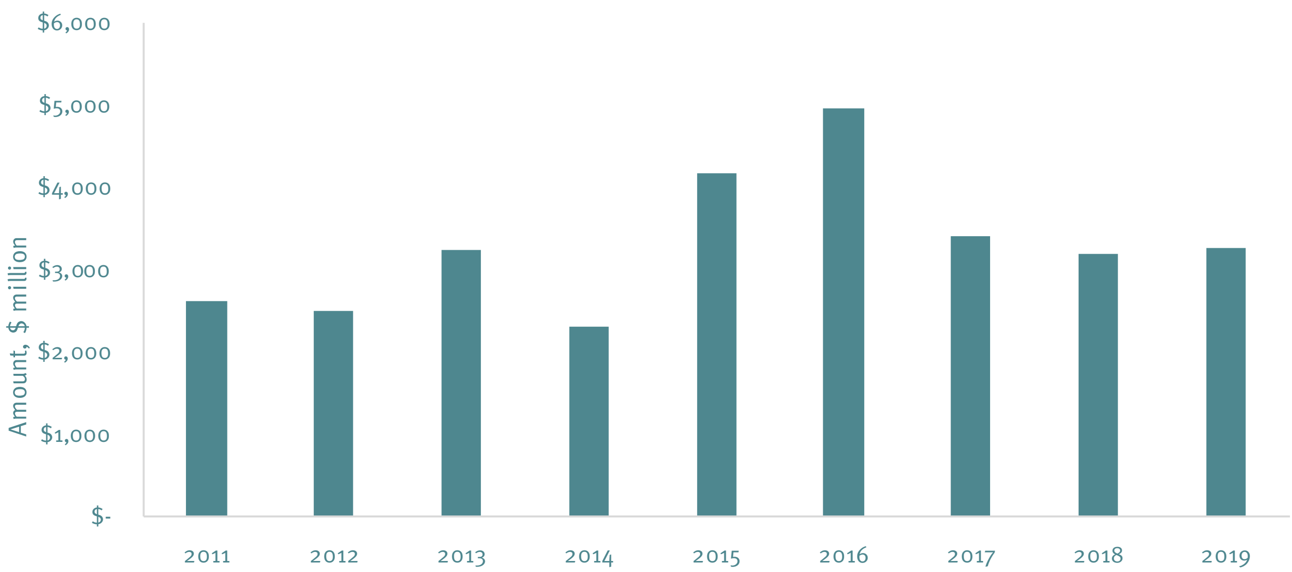
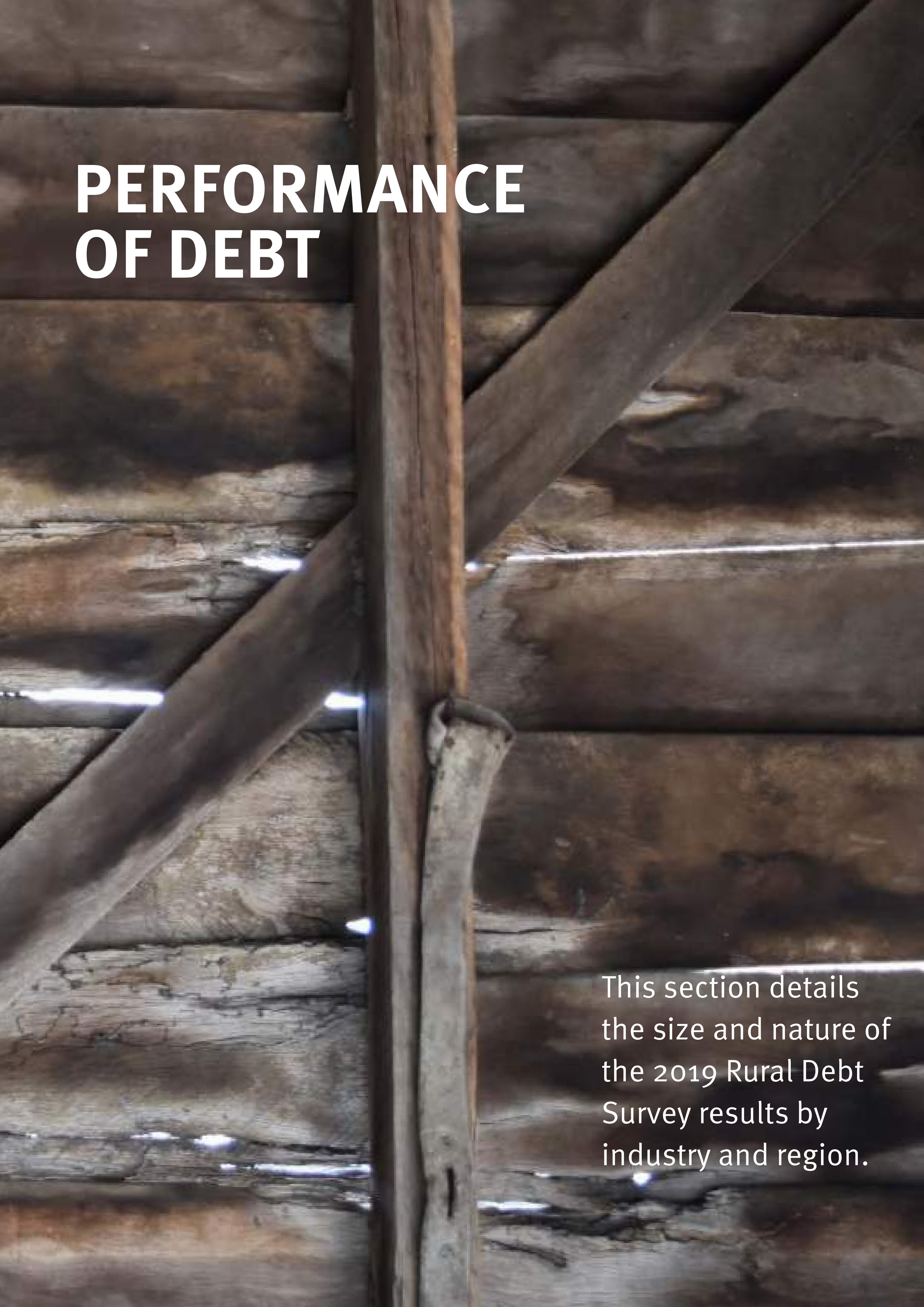


FIGURE 19: VALUE OF RURAL SALES BY YEAR

Note. Reprinted from *Rural Sales* by Queensland Valuations and Sales System within the Queensland Department of Natural Resources, Mines and Energy, personal communication, 1 May 2020



PERFORMANCE OF DEBT

This section details the size and nature of the 2019 Rural Debt Survey results by industry and region.

SIZE

As of December 2019, the level of debt had increased by 10.75 per cent compared to 2017, to $19.10 billion.

There were 18,232 borrowers with an average debt of $1.05 million.

TABLE 4: TOTAL DEBT, NUMBER OF BORROWERS AND AVERAGE DEBT PER BORROWER OVER TIME

	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($m)	19,096	17,243	1,853	10.75%
Number of borrowers	18,232	18,335	-103	-0.56%
Average $ debt per borrower ($m)	1.05	0.94	0.11	11.37%

GROSS VALUE OF PRODUCTION

- A comparison of debt to Gross Value of Production (GVP) provides another avenue to interpret the debt results (Figure 20).
- The gross value of agricultural production in Australia was just over $60,430 million in 2018-19, of which Queensland was $12,928 million or 21.39 per cent (ABS, 2020b).
- The gap between GVP and debt levels increased from 2017 to 2019. In 2017, there was a $3,229 million difference in debt and GVP. In 2019, this had increased to $6,168 million.
- This equates to a debt to GVP as 147.71 per cent for 2019. Comparatively in 2017, it was 123.04 per cent (ABS, 2020b).
- Total GVP for Queensland has decreased by 7.75 per cent since 2017 whilst debt has increased by 10.75 per cent.
- The difference between GVP and debt reflects the declining GVP and increase in total rural debt reflecting ongoing drought conditions impacting the Queensland agricultural industry.

FIGURE 20: DEBT AND QUEENSLAND GVP ANALYSIS

Note. Reprinted from *Gross Value of Production by commodity, Queensland 2005-06 to 2017-18* by Queensland Government Statistician's Office, retrieved from https://www.qgso.qld.gov.au/statistics/theme/industry-development/agriculture/value; Adapted from 2009 Rural Debt Survey, 2011 Rural Debt Survey, 2017 Rural Debt Survey

Total GVP for Queensland has decreased by 7.75 per cent since 2017 whilst debt has increased by 10.75 per cent.

BREAKDOWN OF INDUSTRY GVP BY TWO HIGHEST DEBT INDUSTRIES

Table 5 indicates the two highest debt industries' GVP in Queensland.

TABLE 5: QUEENSLAND GROSS VALUE OF PRODUCTION, BY INDUSTRY

($M)	2016-17	2017-18	2018-19
Beef	5,731.20	5,472.60	5,802.56
Grain	672.50	650.50	595.40

Note. Reprinted from *Gross Value of Production by commodity*, Queensland 2005-06 to 2017-18 by Queensland Government Statistician's Office, retrieved from https://www.qgso.qld.gov.au/statistics/theme/industry-development/agriculture/value

The below table indicates the comparative movement in debt and movement in GVP since 2017 for the beef and grain industries (Table 6).

TABLE 6: GVP AND DEBT MOVEMENT PERCENTAGES SINCE 2017

	% MOVEMENT IN DEBT	% MOVEMENT IN GVP
Beef	14.10%	1.25%
Grain	37.31%	-11.46%

Note. Reprinted from *Gross Value of Production by commodity*, Queensland 2005-06 to 2017-18 by Queensland Government Statistician's Office, retrieved from https://www.qgso.qld.gov.au/statistics/theme/industry-development/agriculture/value

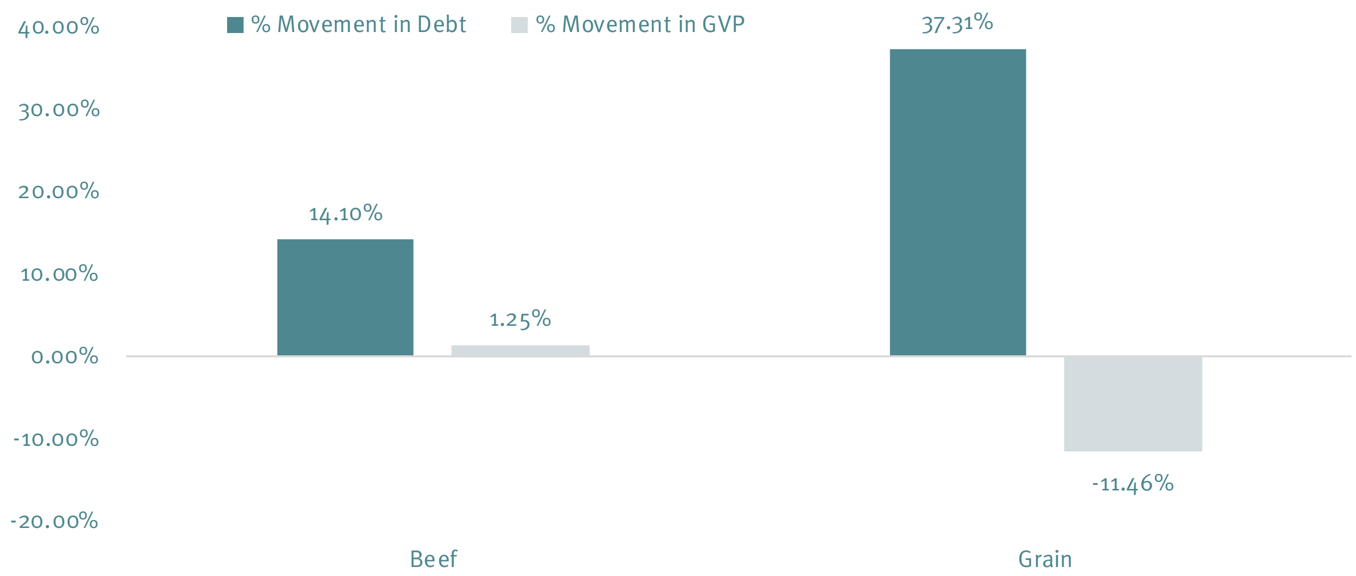


FIGURE 21: MOVEMENT OF DEBT AND GVP 2017 - 2019

Note. Reprinted from *Gross Value of Production by commodity*, Queensland 2005-06 to 2017-18 by Queensland Government Statistician's Office, retrieved from https://www.qgso.qld.gov.au/statistics/theme/industry-development/agriculture/value

Further information for each industry is identified in the 'All Industries' section of this report.

REGION

The Western Downs and Central Highlands, Southern Coastal – Curtis to Moreton and Eastern Darling Downs accounts for 70 per cent of the total Queensland rural debt by region in 2019.

This debt is driven by the larger industry debt contributors (beef, grain, grain/grazing and sugar) as well as environmental events over this time. These respective industries are also in higher concentrations in these three regions.

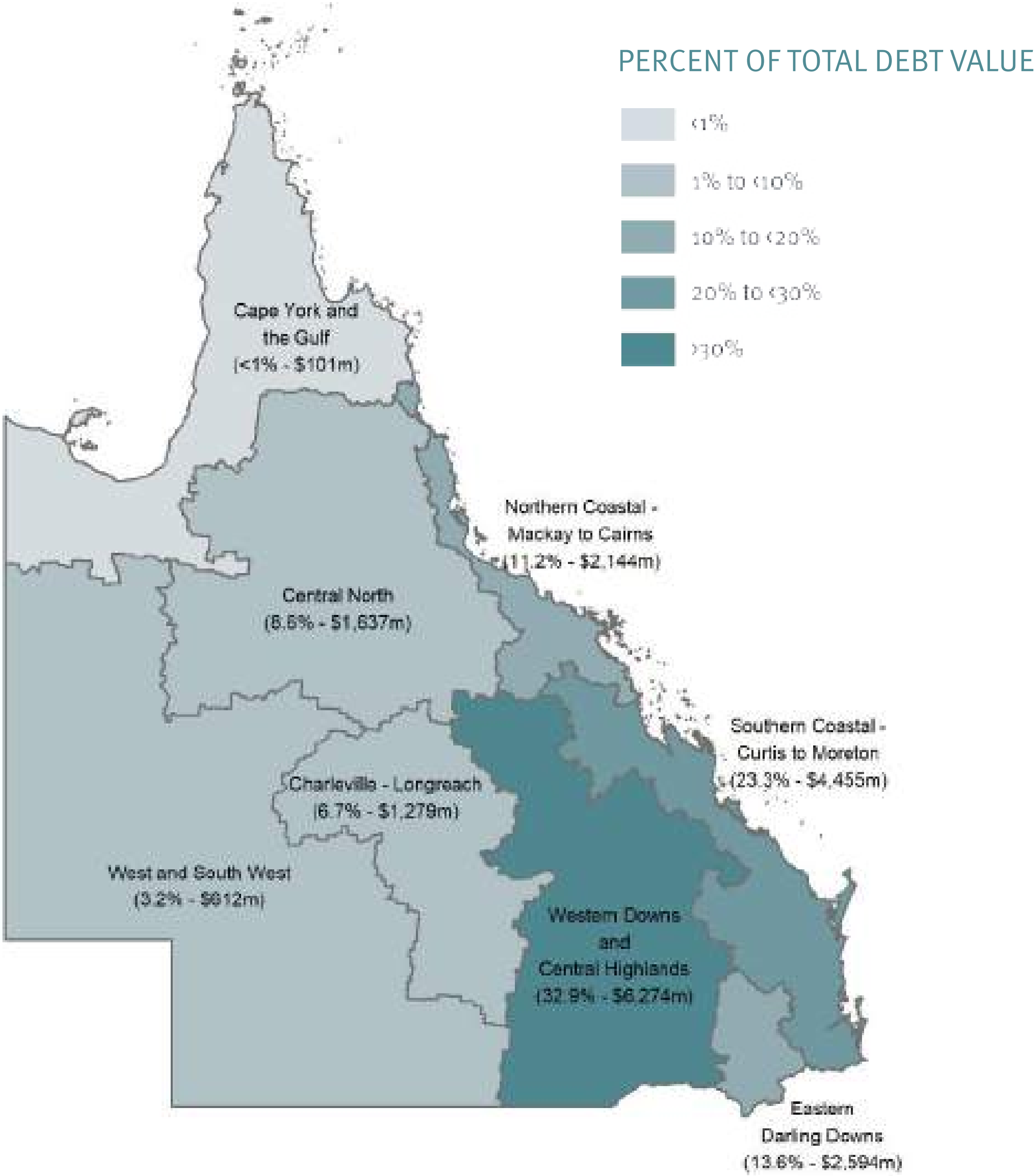


FIGURE 22: DEBT BY ABARES REGION

DEBT BY REGION

- The three highest debt regions, Western Downs and Central Highlands, Southern Coastal – Curtis to Moreton and Eastern Darling Downs, also have among the highest number of borrowers relative to other regions (Table 7), with a total of 12,535 or 68.23 per cent of the total borrowers. It is noted though that Northern Coastal – Mackay to Cairns has the third highest number of borrowers and is the fourth highest debt region by value in 2019 (Figure 23).
- The smallest debt holding region was Cape York and the Gulf which also has the smallest number of borrowers.
- Average debt per borrower is varied throughout the regions with the lowest debt per borrower recorded in the Northern Coastal – Mackay to Cairns at $605 thousand and the highest in Cape York and the Gulf at $1.77 million.

TABLE 7: DEBT BY REGION AND CHANGE SINCE 2017

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	2017 - 2019 MOVEMENT ($'000)	2017 - 2019 % CHANGE
Cape York and the Gulf	100,922	0.53%	57	1,771	32,392	68,530	211.57%
Central North	1,636,827	8.57%	1,008	1,624	1,496,216	140,611	9.40%
Charleville - Longreach	1,279,040	6.70%	770	1,661	1,040,832	238,207	22.89%
Eastern Darling Downs	2,593,842	13.58%	2,770	936	2,465,629	128,213	5.20%
Northern Coastal – Mackay to Cairns	2,144,272	11.23%	3,542	605	2,056,091	88,181	4.29%
Southern Coastal – Curtis to Moreton	4,454,940	23.33%	5,422	822	3,990,013	464,927	11.65%
West and South West	612,431	3.21%	459	1,334	686,637	-74,205	-10.81%
Western Downs and Central Highlands	6,274,059	32.85%	4,343	1,445	5,475,029	799,029	14.59%
TOTAL	**19,096,332**	**100.00%**	**18,371**		**17,242,838**	**1,853,494**	**10.75%**

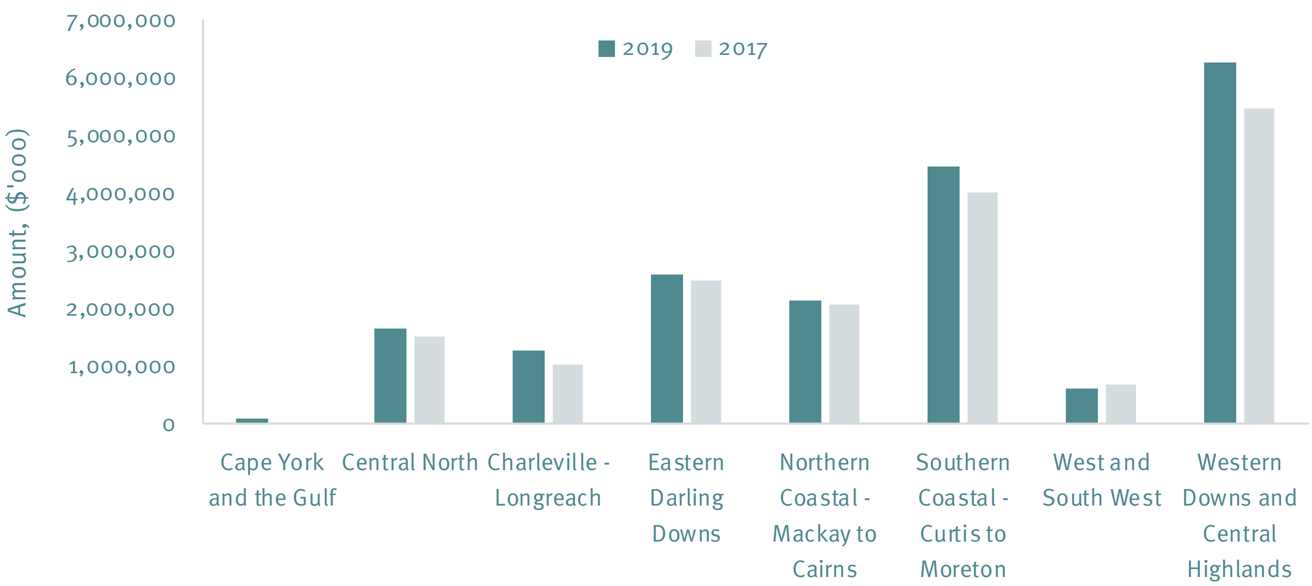


FIGURE 23: 2017 AND 2019 TOTAL DEBT BY REGION

MOVEMENT

- The movement in debt by ABARES region between 2017 and 2019 is depicted in Figure 24. A 22.89 per cent increase from 2017 to 2019 occurred in the Charleville-Longreach region.
- A 14.59 per cent increase in 2019, compared to 2017, observed in the largest debt holding area, the Western Downs and Central Highlands region.
- Small increases in debt were also observed for Central North, Eastern Darling Downs, Northern Coastal – Mackay to Cairns and Southern Coastal – Curtis to Moreton.
- A decrease in overall debt was only observed in the West and South West (10.81 per cent). There was also a 4.38 per cent decrease in the number of borrowers in the West and South West region since 2017.
- Cape York and the Gulf experienced the highest increase in debt movement. However, this equates to just 0.53 per cent of total debt. The increase in debt in this region may be due in part to the effects from the Monsoon Trough event in 2019.
- Specific regional movement for industries is depicted in the 'All Industries' section of this report.

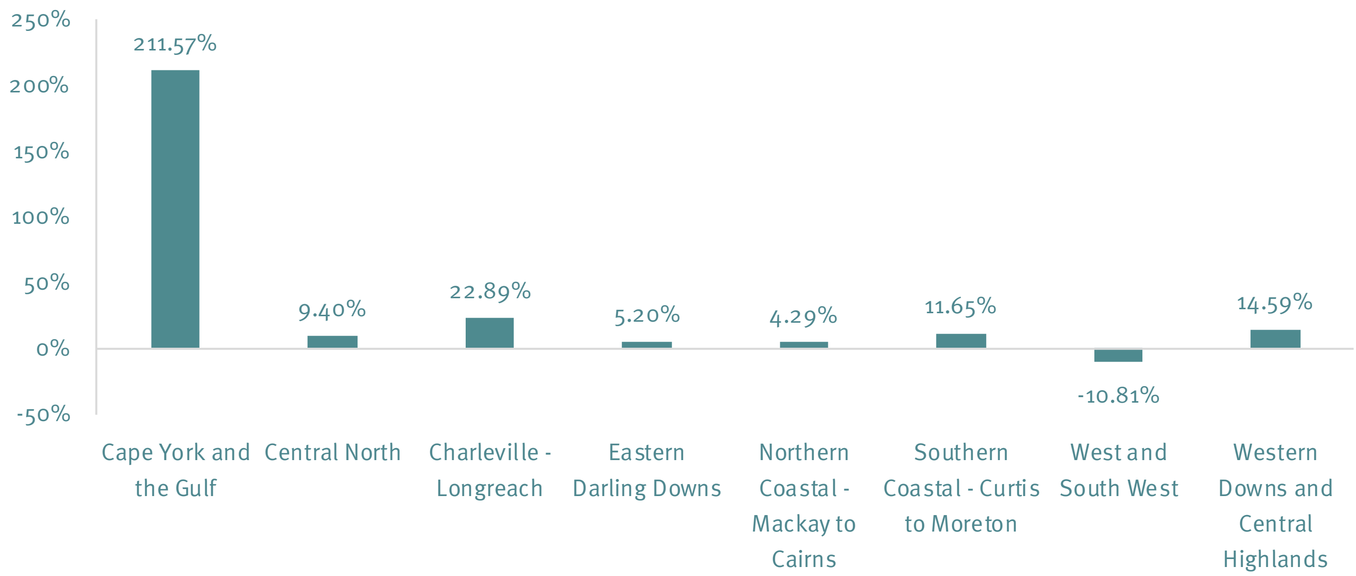


FIGURE 24: MOVEMENT OF DEBT BY REGION

COMPARISON OF REGIONAL DEBT

- Comparing the regions between 2017 and 2019, the top three regions remained the same as depicted in Table 8.
- Whilst the debt amount in each region has increased, the debt percentage in these three regions has remained steady.

TABLE 8: COMPARISON OF HIGHEST DEBT REGIONS

ABARES REGION	2019 % OF TOTAL	2017 % OF TOTAL
Western Downs and Central Highlands	32.85%	31.75%
Southern Coastal – Curtis to Moreton	23.33%	23.14%
Eastern Darling Downs	13.58%	14.30%

RISK PROFILE

The risk profile (or risk ratings) have been steady through the 2017 to 2019 period. Whilst there have been increases observed in all areas, the proportion of debt in each risk category remains constant (Table 9, 10 and Figure 25).

TABLE 9: RISK PROFILE

LOAN RATING#	AMOUNT ($'000)	BORROWERS	AVERAGE DEBT ($'000)
A	14,861,614	14,079	1,056
B+	2,926,453	2,931	998
B1	675,949	666	1,015
B2	232,927	254	917
C	399,389	340	1,175
TOTAL	**19,096,332**	**18,270**	

 # For loan rating definitions, refer to glossary.

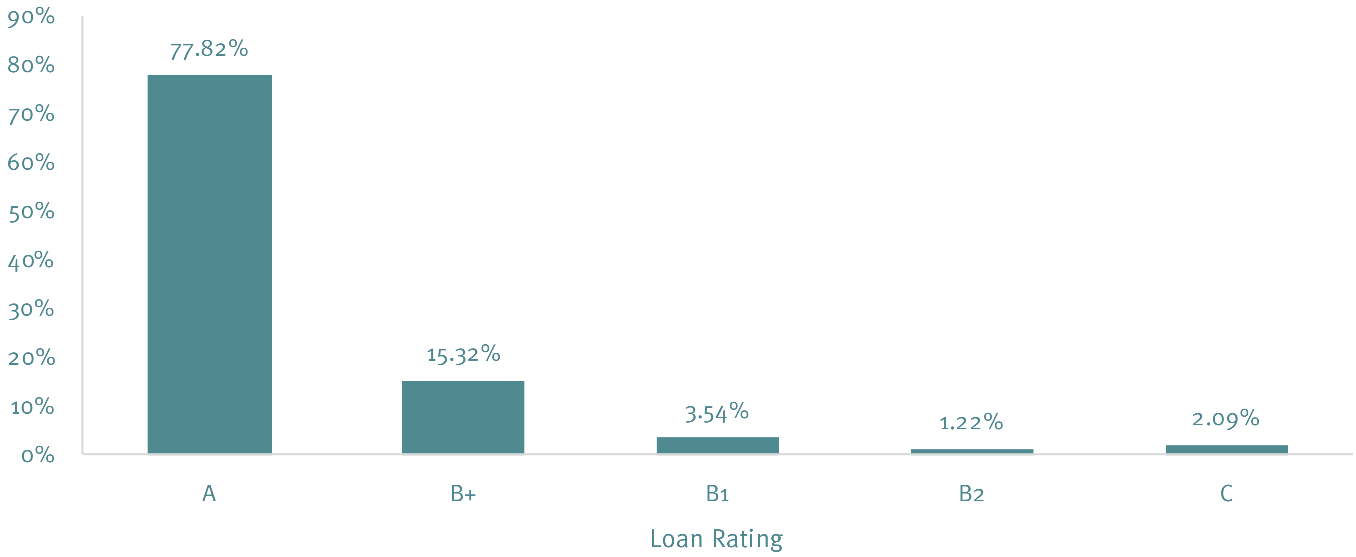


FIGURE 25: DISSECTION OF DEBT VALUE BY LOAN RATING

TABLE 10: MOVEMENT IN VALUE OF DEBT SPLIT BY LOAN RATING

LOAN RATING	2019 ($'000)	2017 ($'000)	MOVEMENT ($'000)	MOVEMENT %
A	14,861,614	13,563,361	1,298,253	9.57%
B+	2,926,453	2,715,917	210,536	7.75%
B1	675,949	538,113	137,836	25.61%
B2	232,927	188,287	44,640	23.71%
C	399,389	237,161	162,228	68.40%
TOTAL	**19,096,332**	**17,242,838**	**1,853,494**	**10.75%**

- There has been an increase in value in all loan ratings. The most significant increase has been observed in non-viable (C) rated debt which has seen an increase of 68.40 per cent. However, non-viable (C) rated debt only represents 2.09 per cent of total debt.
- The second highest increase in debt has been observed in those with debt servicing difficulties (B1) rated debt, with an increase of 25.61 per cent. However, those with debt servicing difficulties (B1) rated debt only represents 3.54 per cent of total debt.
- Viable (A) and potentially viable long-term (B+) rated debt have increased by 9.57 per cent and 7.75 per cent respectively (Figure 26 and 27). These two loan ratings hold the greatest proportion of total debt, however given they are viable or potentially viable long-term, this small increase in debt levels is not of concern.

DISSECTION OF DEBT VALUE BY LOAN RATING OVER TIME

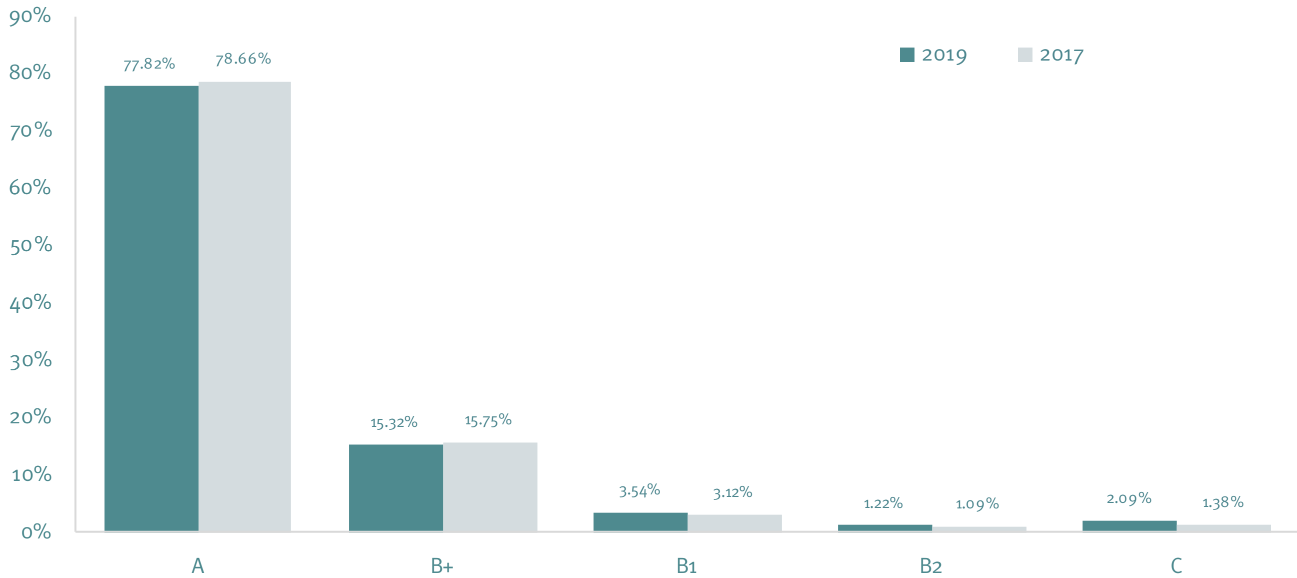


FIGURE 26: 2017 AND 2019 TOTAL DEBT BY RISK RATING

MOVEMENT IN DEBT 2017 TO 2019

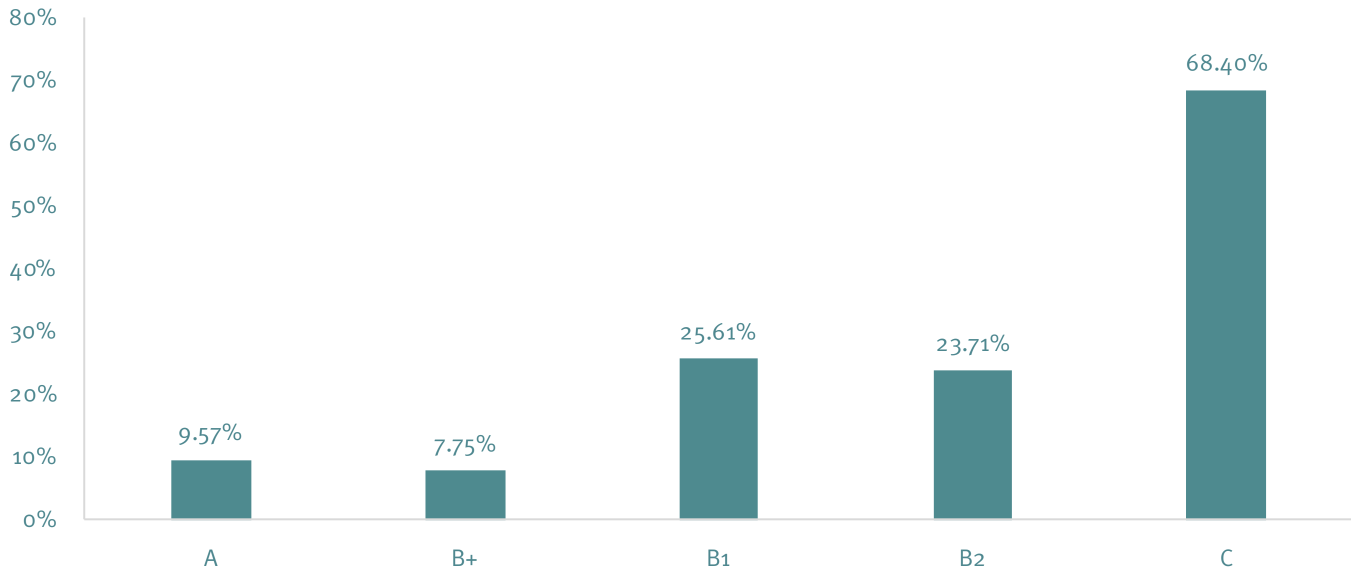


FIGURE 27: MOVEMENT OF TOTAL DEBT BY RISK RATING 2017 TO 2019

ABARES REGION BY A AND B+ DEBT RATING

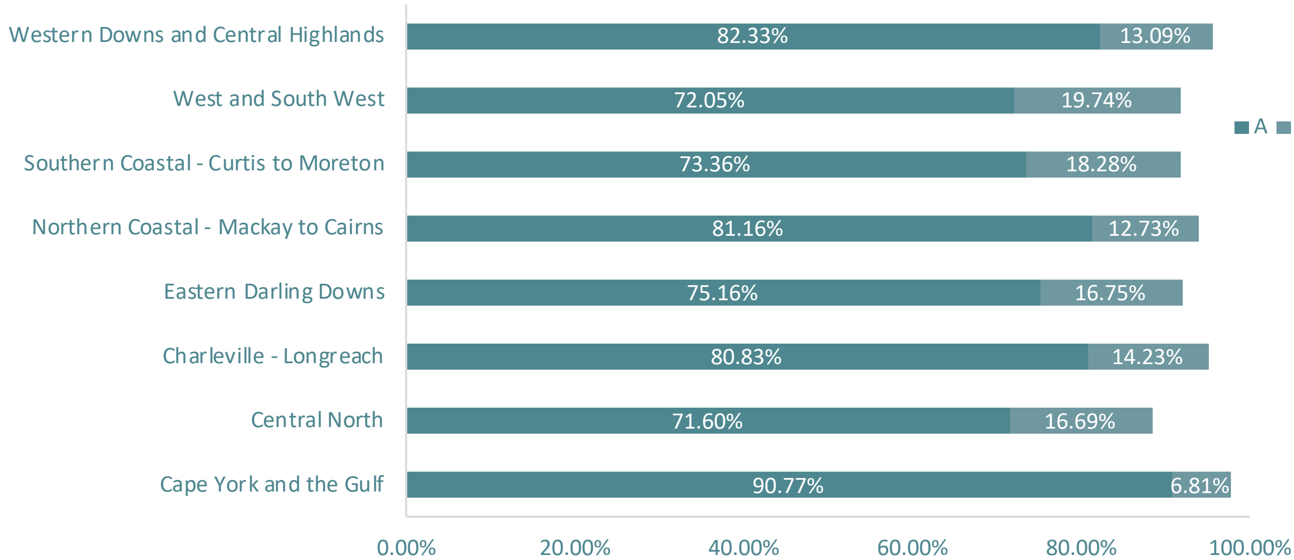


FIGURE 28: TOTAL DEBT BY REGION BY A AND B+ DEBT RATING

TABLE 11: AMOUNT, BORROWERS AND AVERAGE DEBT BY ABARES REGION

ABARES REGION		LOAN RATING A	B+	B1	B2	C	TOTAL
Cape York and the Gulf	Amount ($'000)	91,606	6,877	dw	0	dw	**100,922**
	Borrowers	41	11	dw	0	dw	**57**
	Average debt ($'000)	2,234	625	dw	0	dw	
Central North	Amount ($'000)	1,171,997	273,216	107,441	19,031	65,143	**1,636,827**
	Borrowers	784	162	31	13	20	**1,008**
	Average debt ($'000)	1,495	1,687	3,466	1,464	3,257	
Charleville - Longreach	Amount ($'000)	1,033,839	182,067	40,460	9,219	13,455	**1,279,040**
	Borrowers	556	167	29	7	12	**770**
	Average debt ($'000)	1,859	1,090	1,395	1,317	1,121	
Eastern Darling Downs	Amount ($'000)	1,949,513	434,470	106,484	40,975	62,401	**2,593,842**
	Borrowers	2,093	442	125	48	67	**2,770**
	Average debt ($'000)	931	983	852	854	931	
Northern Coastal – Mackay to Cairns	Amount ($'000)	1,740,219	272,972	65,616	24,366	41,099	**2,144,272**
	Borrowers	2,881	454	109	46	59	**3,542**
	Average debt ($'000)	604	601	602	530	697	
Southern Coastal – Curtis to Moreton	Amount ($'000)	3,267,994	814,366	174,840	59,738	138,001	**4,454,940**
	Borrowers	4,148	883	204	79	120	**5,422**
	Average debt ($'000)	788	922	857	756	1,150	
West and South West	Amount ($'000)	441,265	120,902	dw	6,088	dw	**612,431**
	Borrowers	328	97	dw	6	dw	**459**
	Average debt ($'000)	1,345	1,246	dw	1,015	dw	
Western Downs and Central Highlands	Amount ($'000)	5,165,181	821,584	140,376	73,511	73,407	**6,273,578**
	Borrowers	3,381	716	145	55	52	**4,342**
	Average debt ($'000)	1,528	1,147	968	1,337	1,412	
TOTAL	**Amount ($'000)**	**14,861,614**	**2,926,453**	**675,949**	**232,927**	**399,389**	**19,096,332**
	Borrowers	**14,079**	**2,931**	**666**	**254**	**340**	**18,270**

Note. Please note, there may be instances where some rows and columns may not sum exactly as 'total' amounts include data withheld figures, or are capturing the total reportable amount. Please see Appendix V for further information.

INDUSTRY

DEBT BY INDUSTRY

Beef, grain (summer and winter) and grain/grazing accounted for 69.03 per cent of the total debt for 2019.

TABLE 12: PERCENTAGE OF DEBT BY INDUSTRY

INDUSTRY	PERCENTAGE
Beef	55.89%
Grain (summer and winter)	6.71%
Grain/Grazing (Sheep and/or Cattle)	6.27%
Sugar	5.80%
Cotton	5.78%
Horticulture - Tree crops (mangoes, pawpaws, bananas, citrus etc.)	4.46%
Services to Agriculture	4.22%
Horticulture - Vegetables	2.81%
Intensive Livestock (pigs, poultry etc.)	2.45%
Other	2.11%
Dairy	1.40%
Marine Fishing	0.89%
Sheep/Wool	0.80%
Forestry and Logging	0.31%
Aquaculture	0.10%
Hunting and Trapping	0.02%

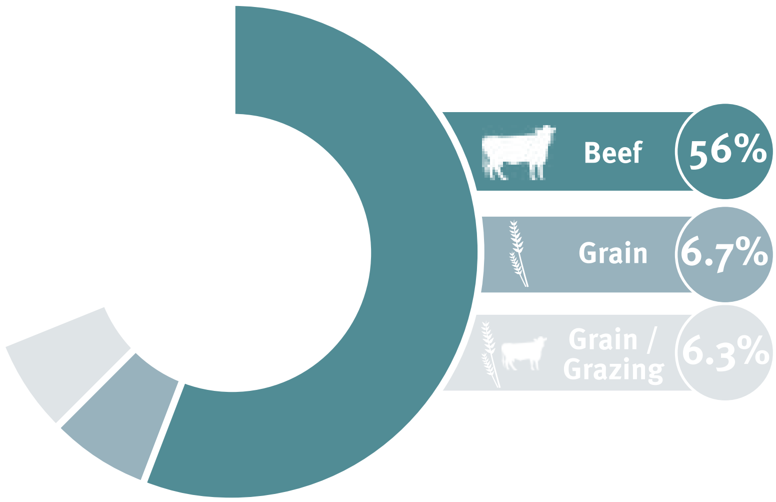


FIGURE 29: SUMMARISED DEBT BY INDUSTRY

TABLE 13: MOVEMENT IN VALUE OF DEBT BY INDUSTRY

INDUSTRY	2019 ($'000)	% OF TOTAL	BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	MOVEMENT ($'000)	MOVEMENT %
Beef	10,672,456	55.89%	7,559	1,412	9,353,614	1,318,842	14.10%
Grain	1,280,807	6.71%	956	1,340	932,788	348,019	37.31%
Grain/Grazing	1,196,809	6.27%	1,060	1,129	867,366	329,443	37.98%
Sugar	1,107,292	5.80%	1,984	558	1,038,000	69,293	6.68%
Cotton	1,102,907	5.78%	371	2,973	1,332,056	-229,149	-17.20%
Horticulture - Tree crops	851,999	4.46%	958	889	671,826	180,174	26.82%
Services to Agriculture	805,708	4.22%	2,069	389	805,968	-260	-0.03%
Horticulture - Vegetables	537,127	2.81%	558	963	523,226	13,901	2.66%
Intensive Livestock	467,383	2.45%	575	813	457,344	10,038	2.19%
Other	402,998	2.11%	1,093	369	636,912	-233,915	-36.73%
Dairy	267,116	1.40%	453	590	257,104	10,011	3.89%
Marine Fishing	170,126	0.89%	409	416	88,966	81,160	91.23%
Sheep/Wool	152,991	0.80%	246	622	131,594	21,397	16.26%
Forestry and Logging	58,273	0.31%	189	308	103,702	-45,429	-43.81%
Aquaculture	18,234	0.10%	55	332	40,124	-21,890	-54.56%
Hunting and Trapping	4,106	0.02%	32	128	2,249	1,858	82.60%
TOTAL	**19,096,332**		**18,567**		**17,242,838**	**1,853,494**	**10.75%**

MOVEMENT IN DEBT 2017 TO 2019

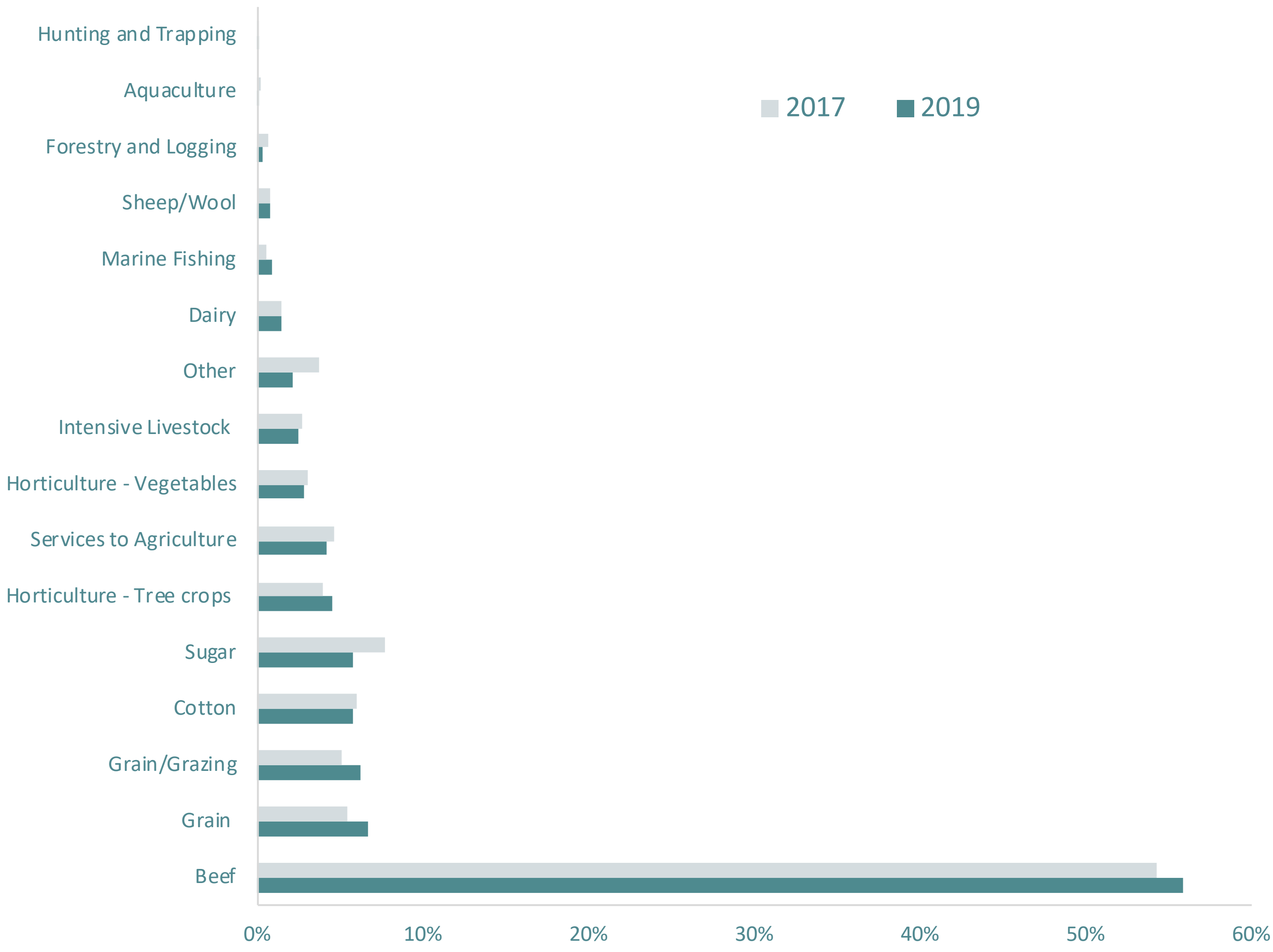


FIGURE 30: TOTAL DEBT BY INDUSTRY 2017 AND 2019

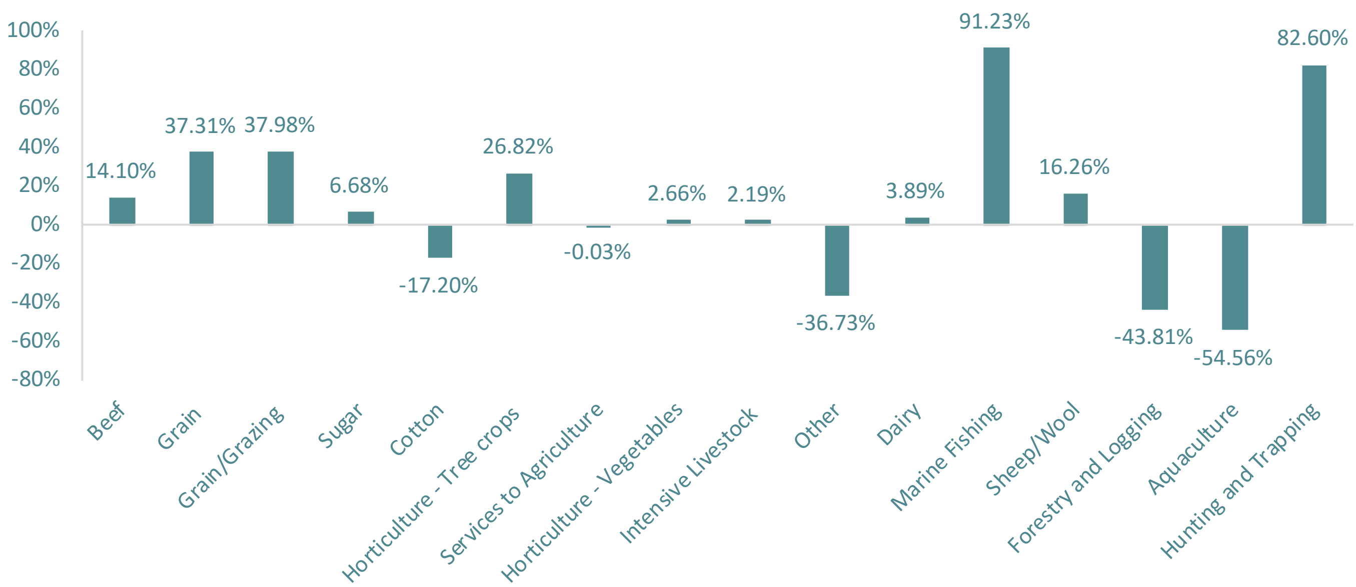


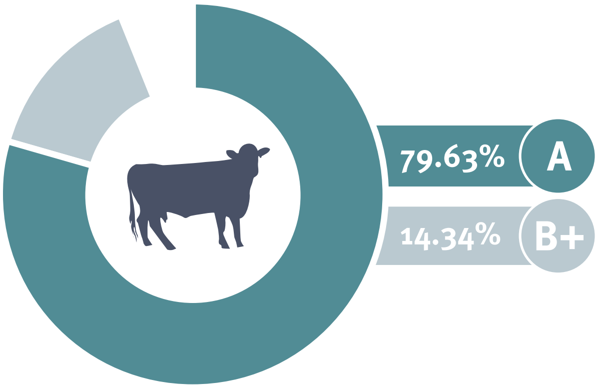
FIGURE 31: MOVEMENT OF TOTAL DEBT BY INDUSTRY 2017 AND 2019

ALL INDUSTRIES

In this section some of the industries identified in the survey are analysed further to assist with ascertaining the extent of the debt in Queensland.

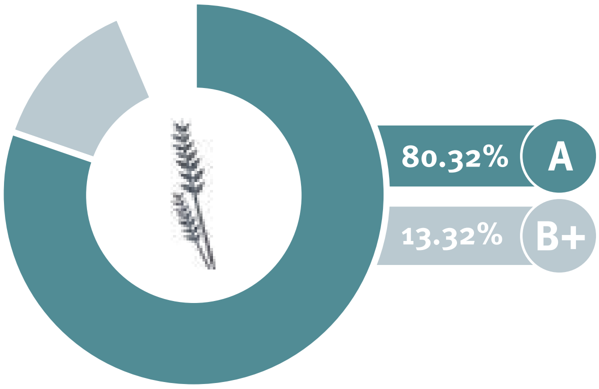
BEEF

Total debt: $10,672m
Movement*: ⬆14.10%
Borrowers: 7,559



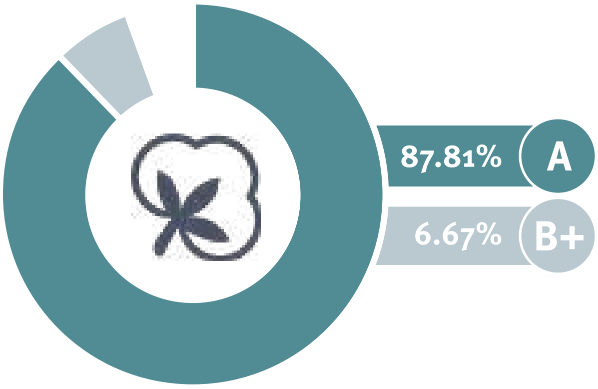
GRAIN

Total debt: $1,281m
Movement*: ⬆37.31%
Borrowers: 956



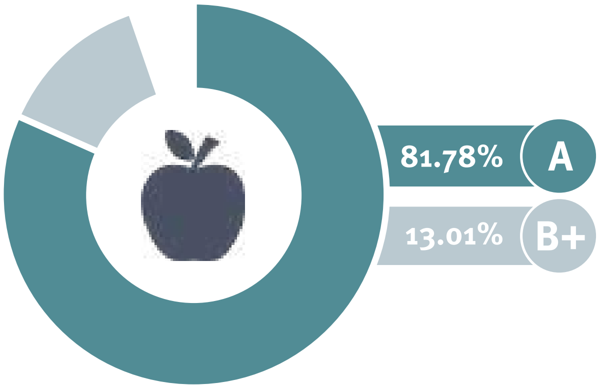
COTTON

Total debt: $1,103m
Movement*: ⬇17.20%
Borrowers: 371



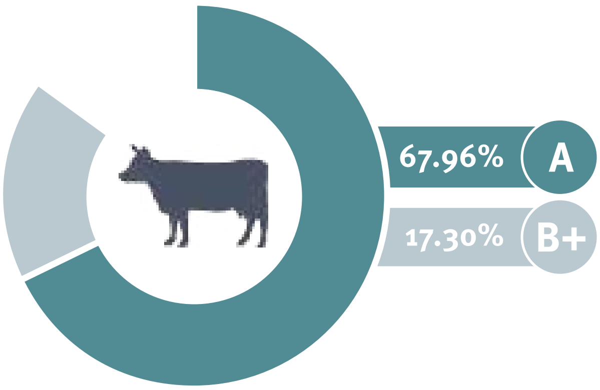
TREE CROPS

Total debt: $852m
Movement*: ⬆26.82%
Borrowers: 958



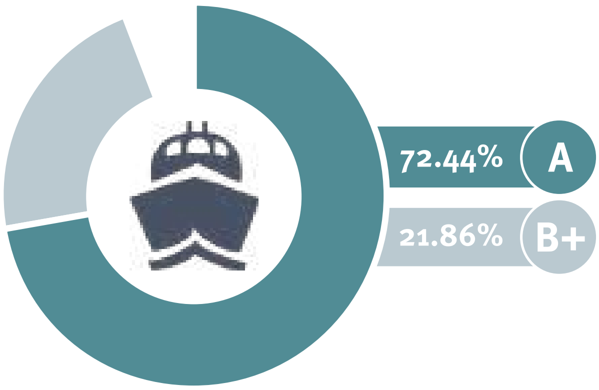
DAIRY

Total debt: $267m
Movement*: ⬆3.89%
Borrowers: 453



MARINE

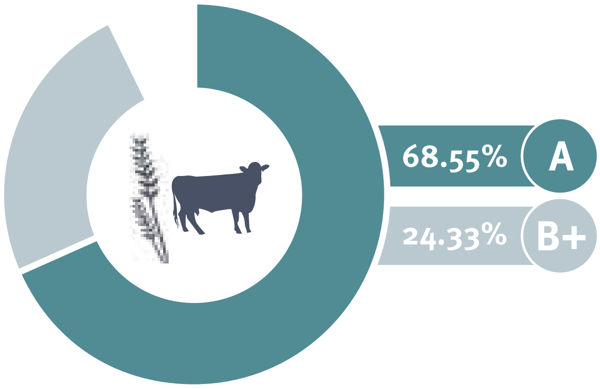
Total debt: $170m
Movement*: ⬆91.23%
Borrowers: 409



*Movement in debt 2017-2019
Please note some borrowers had debt across several industries

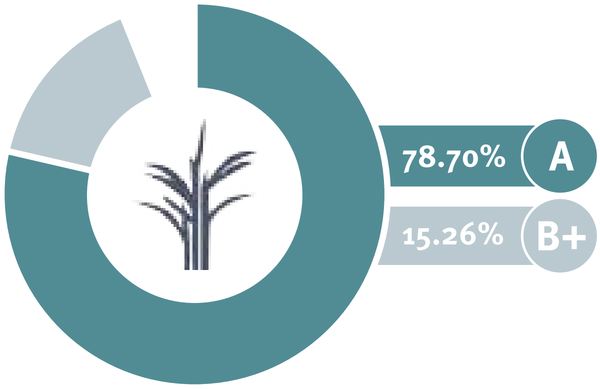
GRAIN/GRAZING

Total debt: $1,197m
Movement*: ⬆37.98%
Borrowers: 1,060



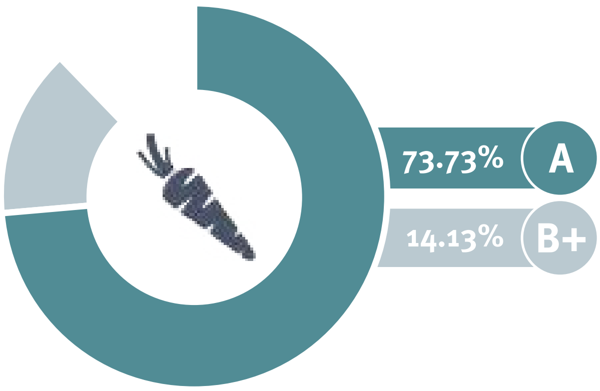
SUGAR

Total debt: $1,107m
Movement*: ⬆6.68%
Borrowers: 1,984



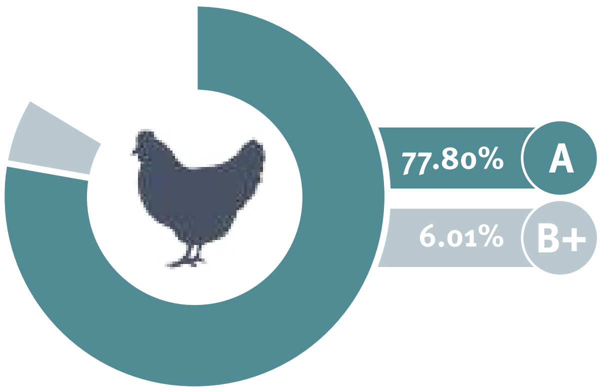
VEGETABLES

Total debt: $537m
Movement*: ⬆2.66%
Borrowers: 558



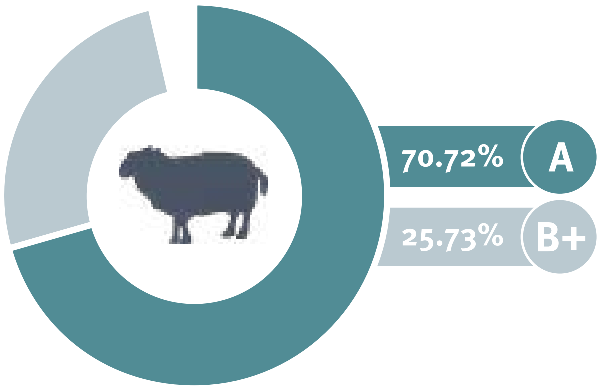
INTENSIVE LIVESTOCK

Total debt: $467m
Movement*: ⬆2.19%
Borrowers: 575



SHEEP/WOOL

Total debt: $153m
Movement*: ⬆16.26%
Borrowers: 246



VARIOUS INDUSTRIES

AQUACULTURE

Total Debt: $18m; Borrowers: 55

FORESTRY AND LOGGING

Total Debt: $58m; Borrowers: 189

SERVICES TO AGRICULTURE

Total Debt: $806m; Borrowers: 2,069

HUNTING AND TRAPPING

Total Debt: $4m; Borrowers: 32

OTHER

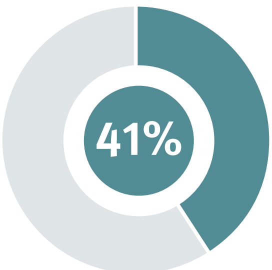
Total Debt: $403m; Borrowers:1,093

*Movement in debt 2017-2019
Please note some borrowers had debt across several industries

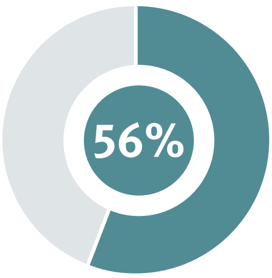
Beef represents 56 per cent of total rural debt in 2019, up $1.32 billion or 14 per cent in value from 2017.

The number of beef borrowers remained steady and the proportion of beef debt rated viable (A) increased by almost 17 per cent.

PERCENTAGE OF BORROWERS

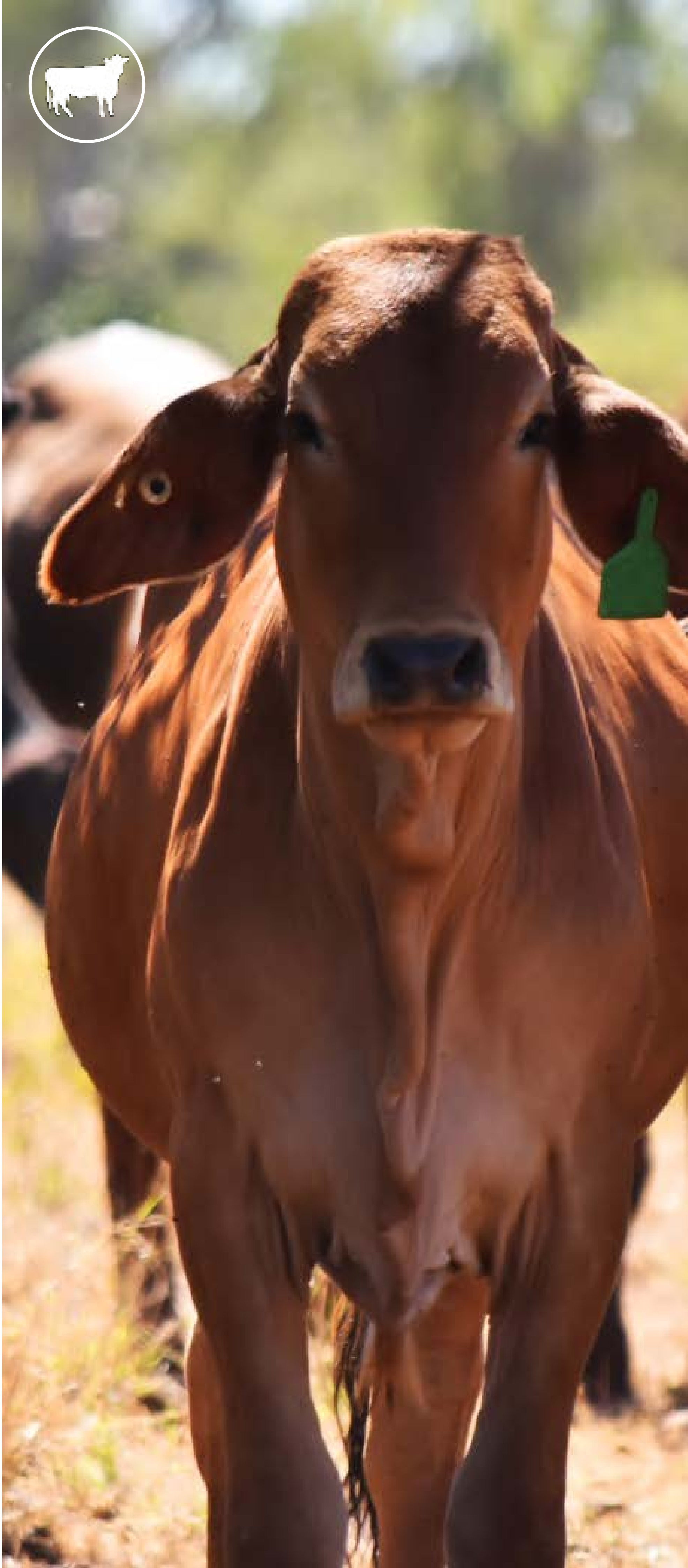


PERCENTAGE OF TOTAL DEBT



Average debt per borrower

$1.4 million



BEEF

BEEF AT A GLANCE

TABLE 14: SUMMARY OF BEEF DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	10,672,456	9,353,614	1,318,842	14.10%
Number of borrowers	7,559	7,553	6	0.08%
Average $ debt per borrower ($'000)	1,412	1,238	173	14.01%

14.10% increase in total debt

The industry classification for beef considers both beef cattle farming and feedlots and those with cattle and sheep farming.

KEY FINDINGS

- Since 2017, beef debt has increased by $1.32 billion or by 14.10 per cent.
- The number of beef borrowers has been steady, with an increase of just six borrowers.
- Average debt per borrower has increased by 14.01 per cent to $1.41 million, which is higher than the overall average debt.
- The proportion of rated debt has remained steady as indicated in Figure 33.
- The majority of borrowers are in the viable (A) or potentially viable long-term (B+) rating totaling 93.33 per cent of beef borrowers.
- The risk ratings for 2019 indicates that there has been an increase in overall viable (A) level debt by 16.66 per cent (Table 15). Potentially viable long-term debt (B+) has decreased by 2.61 per cent.
- Non-performing debt (B1 and B2) has had some movement (B1 has increased by 36.57 per cent and B2 decreased by 11.89 per cent). Non-viable (C) rated debt has had the largest increase of 44.74 per cent (Figure 34). However, this group needs to be kept in context as these 120 borrowers represent only 1.59 per cent of total beef borrowers.
- The region with the greatest level of debt was the Western Downs and Central Highlands, with 35.58 per cent of debt or $3.80 billion (Table 16).
- Cape York and the Gulf saw the largest increase in debt (239.13 per cent). However, larger increases have been previously seen, such as in 2011 at $241.33 million. This increase may be due to the significant drought and Monsoon Trough event during the 2017-2019 period. Also of note, Cape York and the Gulf makes up just 0.92 per cent of total beef debt.
- Eastern Darling Downs, Northern Coastal – Mackay to Cairns and West and South West all experienced reductions in debt by 10.01 per cent, 20.65 per cent and 15.80 per cent respectively.

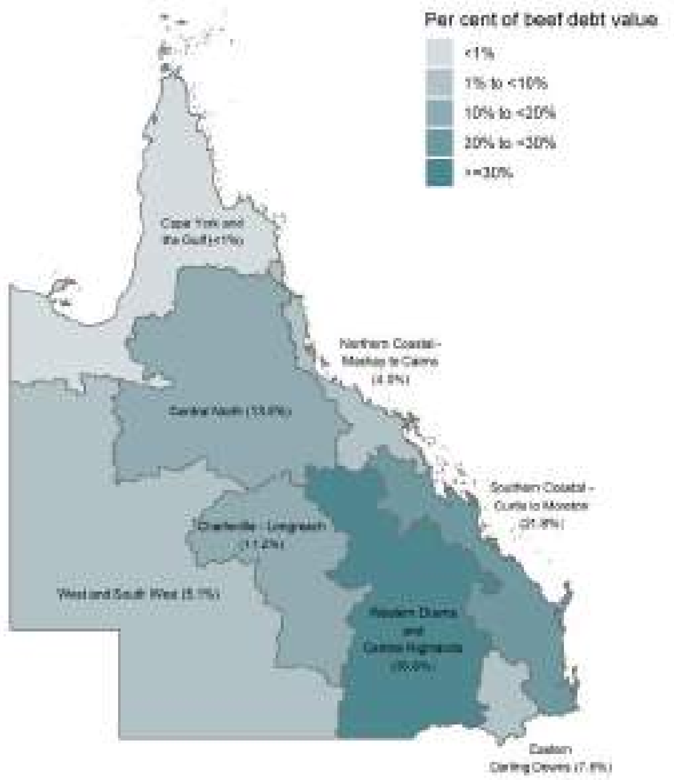


FIGURE 32: PER CENT OF BEEF DEBT VALUE BY REGION

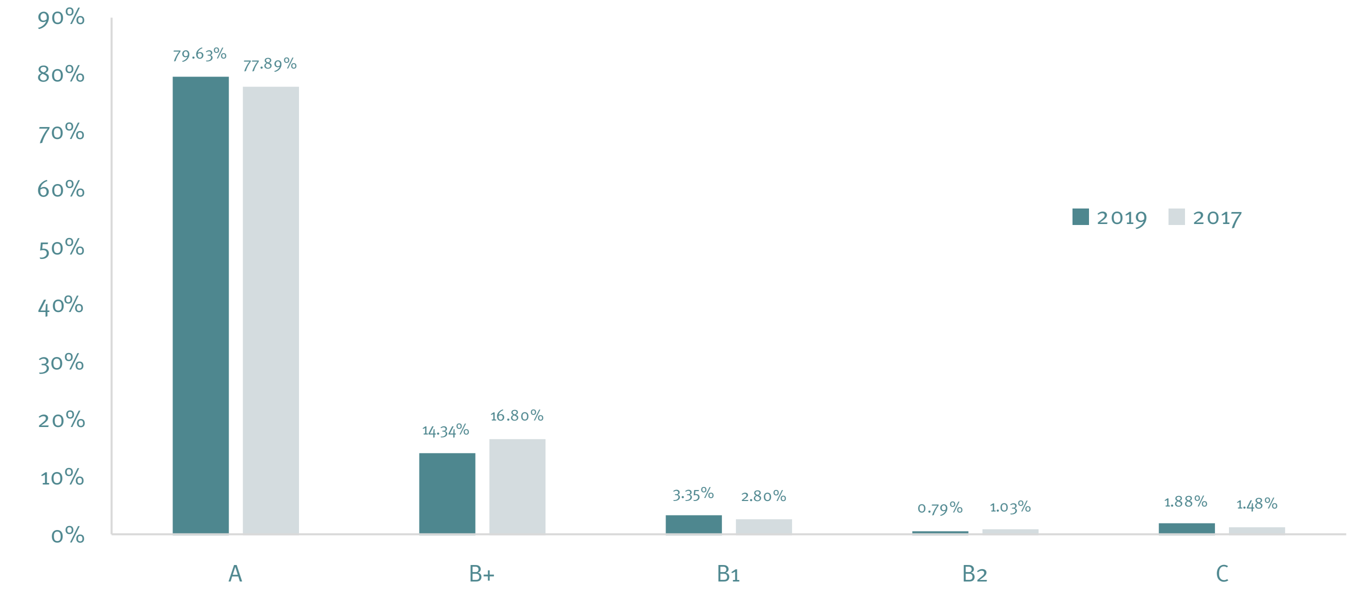


FIGURE 33: BEEF DEBT PROPORTION BY RISK RATING

TABLE 15: BEEF DEBT, NUMBER OF BORROWERS AND AVERAGE DEBT BY LOAN RATING

RATING	A	B+	B1	B2	C	TOTAL
2019 Total Debt ($'000)	8,498,455	1,530,823	357,832	84,588	200,758	10,672,456
Borrowers	5,684	1,371	293	101	120	7,559
Average debt per borrower ($'000)	1,495	1,117	1,221	838	1,673	1,412
2017 total debt ($'000)	7,285,101	1,571,802	262,014	95,999	138,698	9,353,614
$ movement ($'000)	1,213,354	-40,979	95,818	-11,410	62,060	1,318,842
% movement	16.66%	-2.61%	36.57%	-11.89%	44.74%	14.10%

Note: Borrower numbers do not sum exactly to total, due to variation in total reportable figures.

MOVEMENT OF BEEF DEBT VALUE SINCE 2017 BY RATING

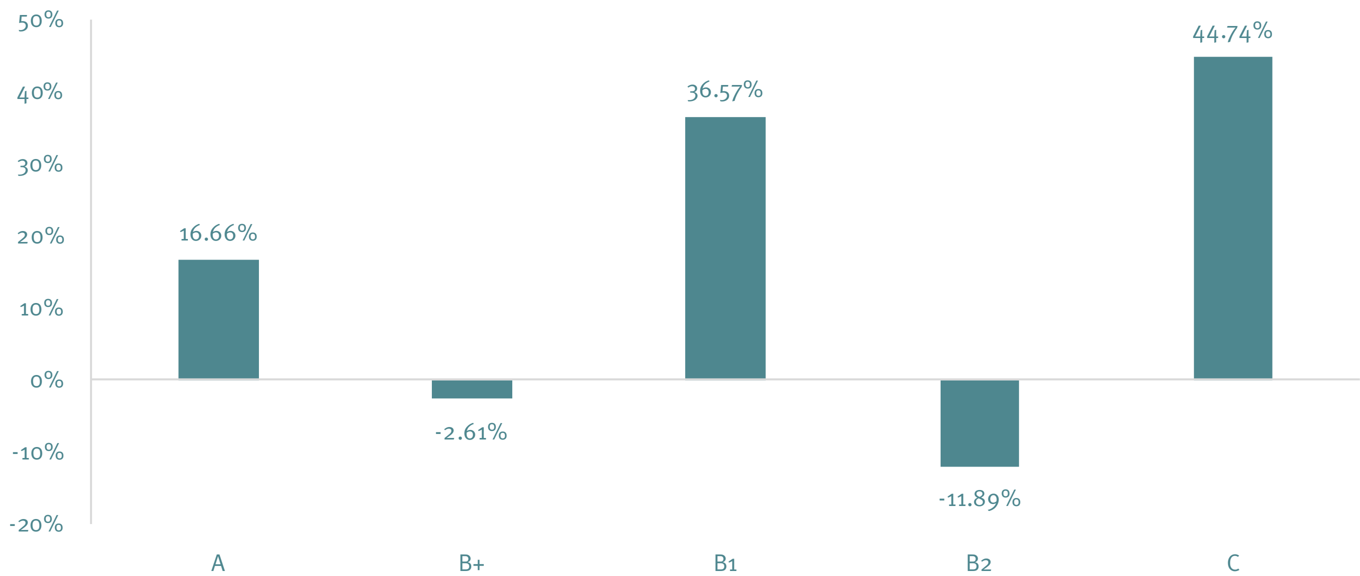


FIGURE 34: BEEF RISK RATING MOVEMENT 2017-2019

TABLE 16: DISSECTION OF BEEF DEBT BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER	2017 ($'000)	$ MOVEMENT	% MOVEMENT
Cape York and the Gulf	98,489	0.92%	38	2,592	29,041	69,448	239.13%
Central North	1,446,844	13.56%	650	2,226	1,256,474	190,370	15.15%
Charleville - Longreach	1,200,333	11.25%	616	1,949	959,186	241,147	25.14%
Eastern Darling Downs	830,946	7.79%	826	1,006	923,382	-92,436	-10.01%
Northern Coastal - Mackay to Cairns	429,070	4.02%	483	888	540,752	-111,681	-20.65%
Southern Coastal - Curtis to Moreton	2,321,716	21.75%	2,100	1,106	1,897,939	423,776	22.33%
West and South West	547,633	5.13%	338	1,620	650,375	-102,741	-15.80%
Western Downs and Central Highlands	3,797,425	35.58%	2,538	1,496	3,096,466	700,959	22.64%

INDUSTRY ENVIRONMENT

- Queensland AgTrends describes the beef industry as 'the most significant agricultural commodity for Queensland' (State of Queensland, 2018a). In 2016-17, cattle and calf sales were worth an estimated $5.7 billion (State of Queensland, 2018a). In 2018-19, cattle and calf sales GVP were worth an estimated $5,803 million (ABS, 2020b).
- The Queensland cattle and calf herd made up 45.69 per cent of the Australian total in 2018-19, equating to 11 million head (ABS, 2020b).
- Figure 35 displays the supply and use of veal based of production (numbers slaughtered). It shows that a high of 10.10 million slaughterings occurred in 2014-15, which significantly reduced to a low of 7.42 million in 2016-17 and rose again in 2018-19 to 8.70 million. This reflected the increase in prices for cattle and offloading of stock during droughted times.
- Meat and Livestock Australia (MLA), Australian Cattle Slaughter and Production, Queensland, reports that 1.36 million head of cows and heifers were slaughtered in the 2017 calendar year (MLA, 2019). This increased year on year to 1.66 million in 2018 and 1.98 million in 2019 (MLA, 2019).

FIGURE 35: AUSTRALIAN SUPPLY AND USE - BEEF AND VEAL

Note. *Commodity Trade Data - Meat beef tables*, by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2020, retrieved from *https://www.agriculture.gov.au/abares/research-topics/agricultural-commodities/agricultural-commodities-trade-data#2019*

- There has been a high global demand for red meat resulting from the African Swine Fever (ASF) outbreak in several Asian countries which has pushed up the global prices through 2019 (ABARES, 2020a).
- The Eastern Young Cattle Indicator (EYCI), Figure 36, indicates that prices have fluctuated throughout the 2017 to 2019 period. A low was observed in March 2019 at 385 c/kg carcass weight with the peak in April 2017 at 668 c/kg carcass weight.

FIGURE 36: EASTERN YOUNG CATTLE INDICATOR (EYCI)

Note. EYCI and ESTLI Market Information, Statistics Database, by Meat and Livestock Australia, 2020, retrieved from https://www.mla.com.au/prices-markets/market-reports-prices/

- The Monsoon Trough event, which was mentioned previously, had a significant impact on Queensland beef production throughout 2019. Not only on the loss of livestock, but it also had a large impact on pasture growth. Evidenced through Long Paddock mapping, commentators indicate there has been below average to average pasture growth despite (in some areas because of) the monsoon event (*personal communication, 19 May 2020*). With the lack of follow up rain after the monsoon event, there was not the pasture response anticipated, delaying the potential for recovery, particularly in the North West region. This is likely to have impacted the indebtedness in the Cape York and the Gulf as well as Central North.

> 'The flooding, wet conditions and cold weather from the Monsoon Trough event caused the death of an estimated 457,000 head of cattle, 43,000 sheep, 710 horses and over 3,000 goats across 11.4 million hectares'
> (State of Queensland, 2019, p.3).

FARM MANAGEMENT DEPOSITS

- ABARES states that 'average farm cash incomes of beef industry farms in Queensland decreased by 42 per cent to $108,000 per farm in 2018-2019' (ABARES, 2020c). Receipts for beef farms were 'down due to a reduction in cattle turn-off and costs were also down due to lower expenditure on cattle purchases' (ABARES, 2020c).
- Overall, beef 'farm cash income for 2018-19 was 10 per cent below the 10-year average to 2017-18 of $122,000 per farm' (ABARES, 2020c).
- Beef FMD accounts total 33.57 per cent of all FMD accounts. As at December 2017 there were 3,284 accounts; in December 2019 they had decreased to 3,073 accounts, which is a 6.43 per cent decrease (Figure 37).

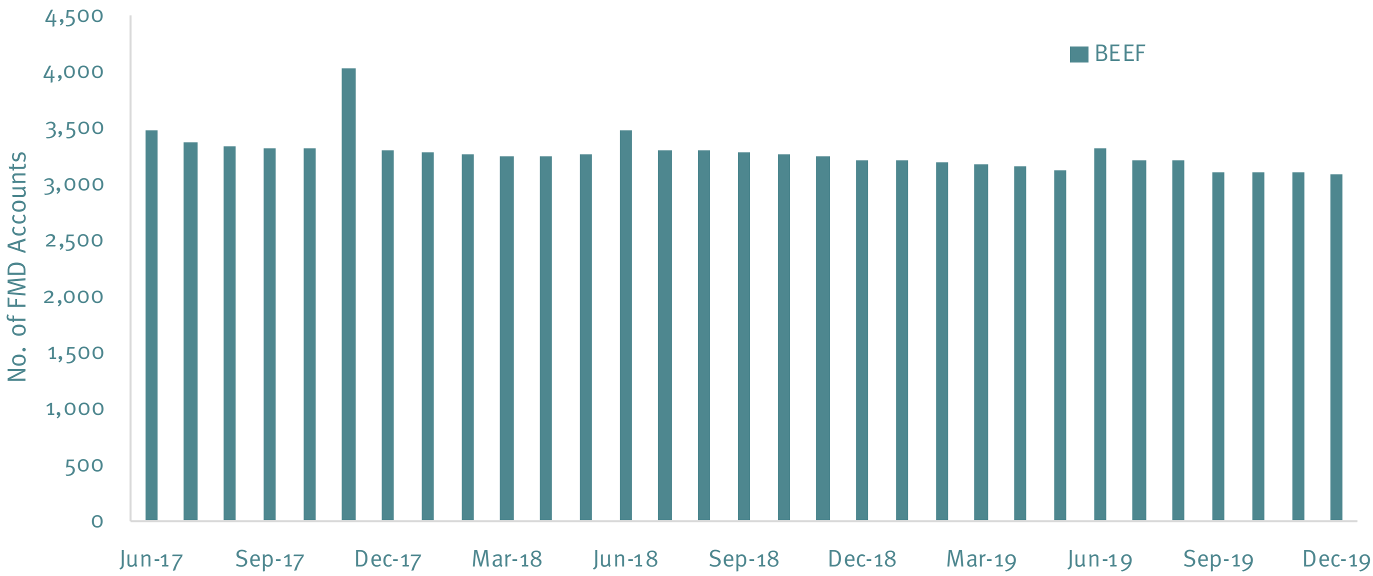


FIGURE 37: NUMBER OF BEEF FMD ACCOUNTS IN QUEENSLAND

Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

- In terms of FMD value, beef has increased through 2017 to 2019. As at December 2017, beef accounts valued $410.91 million and by December 2019 they were $460.34 million (Figure 38). This is an increase of 12.03 per cent.

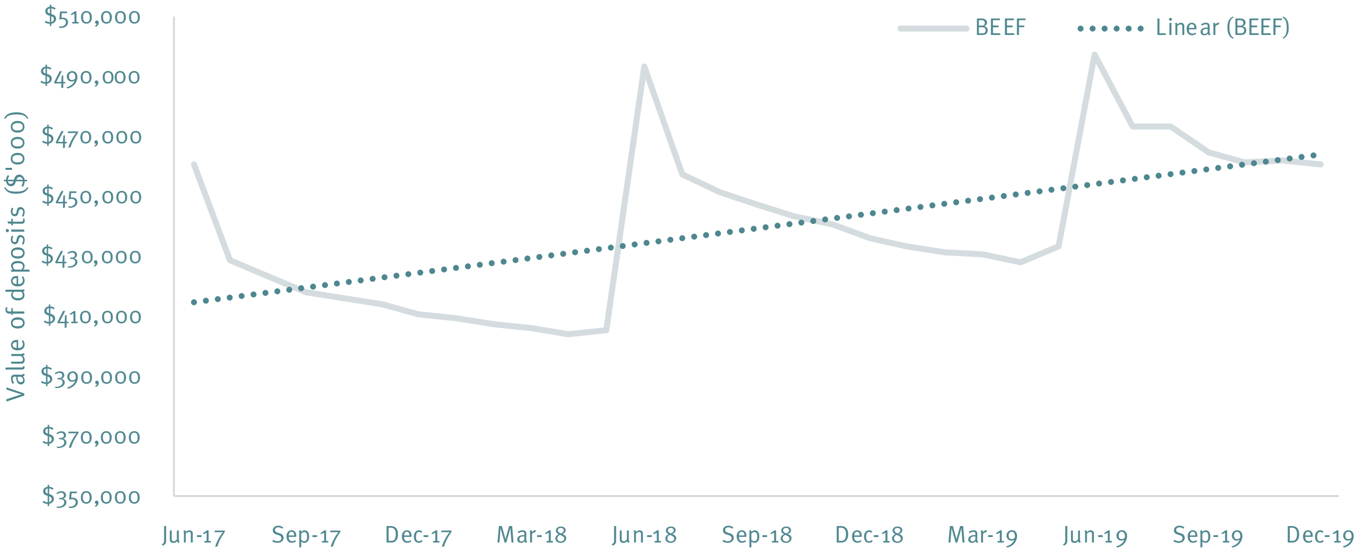


FIGURE 38: VALUE OF BEEF FARM MANAGEMENT DEPOSITS ($'000) IN QUEENSLAND JULY 2017- DEC 2019

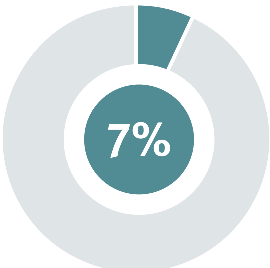
*Note.*Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

Grain represents 7 per cent of total rural debt in 2019, up $348 million or 37 per cent in value from 2017.

The number of grain borrowers rose and the proportion of grain debt rated viable (A) increased by 37 per cent.

PERCENTAGE OF BORROWERS

PERCENTAGE OF TOTAL DEBT



Average debt per borrower

$1.3 million

GRAIN

GRAIN AT A GLANCE

TABLE 17: SUMMARY OF GRAIN DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	1,280,807	932,788	348,019	37.31%
Number of borrowers	956	831	125	15.04%
Average $ debt per borrower ($'000)	1,340	1,122	217	19.36%

37.31% increase in total debt

KEY FINDINGS

- Since 2017, the debt level for grain has increased by 37.31 per cent, to $1.28 billion. This increase in debt has seen the grain industry move from third most indebted industry in 2017 (behind beef and cotton) to second in 2019.
- The number of borrowers has also increased by 125 or 15.04 per cent and may be an indication to the overall increase in total grain debt.
- Average debt per grain borrower has increased by 19.36 per cent to a total of $1.34 million, which is above the overall rural debt average per borrower.
- Proportionally, grain debt by risk rating has remained fairly similar to 2017 (Figure 40).
- The majority of borrowers are in the viable (A) rating, totalling 85.35 per cent of grain borrowers.
- All risk ratings have increased, with viable (A) rated debt increasing by 36.73 per cent, potentially viable long term (B+) increasing by 25.46 per cent, and those experiencing debt-servicing difficulties (B1 and B2) increasing by 10.12 per cent and 408.94 per cent respectively (Table 18). Non-viable debt has increased by 451.63 per cent. It is important to note however, that the debt servicing difficulties (B1 and B2) and non-viable (C) rated debt make up only 6.36 per cent of total grain debt.
- Eastern Darling Downs and Western Downs and Central Highlands regions have the largest proportion of grain debt (Table 19). Given these are the main grain producing regions in Queensland it is not surprising they are the most indebted regions. The Eastern Darling Downs had an increase of 51.14 per cent of debt since 2017 and Western Downs and Central Highlands had an increase of 28.24 per cent since 2017.

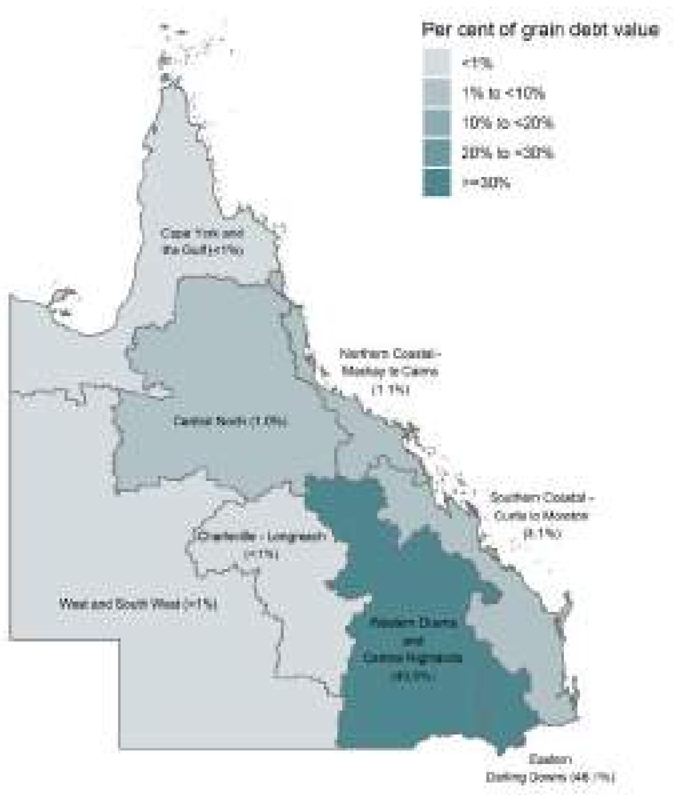


FIGURE 39: PER CENT OF GRAIN DEBT VALUE BY REGION

- Central North has seen the largest increase in debt through the 2017 to 2019 period, with an increase of 1,163.64 per cent, however overall this region includes only 5 grain borrowers and makes up just 1.01 per cent of total grain debt.

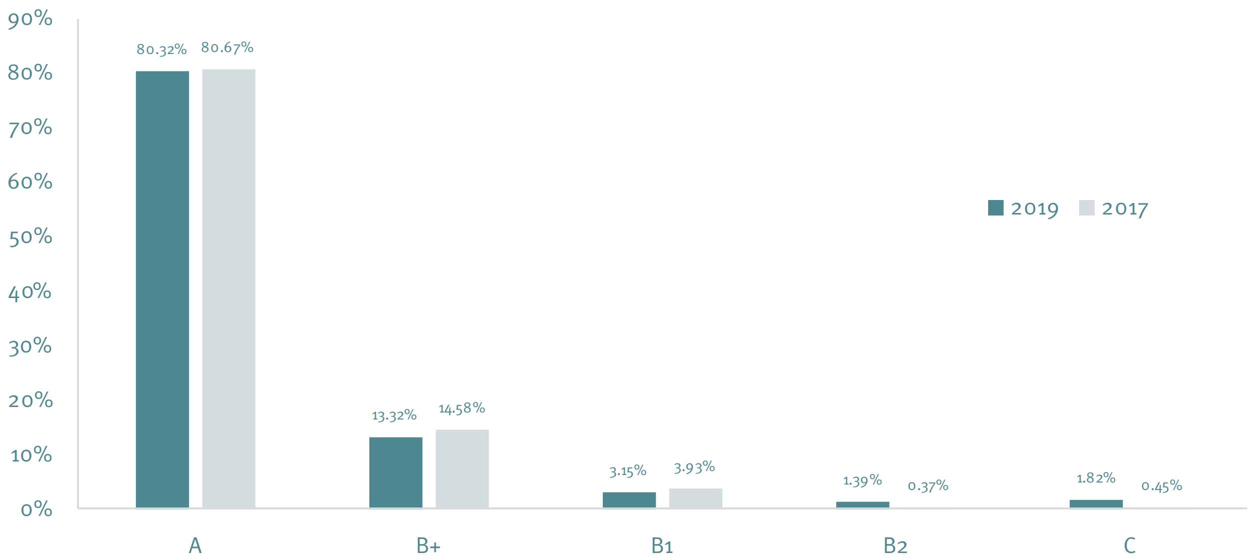


FIGURE 40: GRAIN DEBT PROPORTION BY RISK RATING

TABLE 18: GRAIN DEBT, NUMBER OF BORROWERS AND AVERAGE DEBT BY LOAN RATING

RATING	A	B+	B1	B2	C	TOTAL
2019 total debt ($'000)	1,028,795	170,608	40,364	17,754	23,286	1,280,807
Borrowers	816	90	25	14	13	956
Average debt per borrower ($'000)	1,261	1,896	1,615	1,268	1,791	1,340
2017 total debt ($'000)	752,436	135,987	36,656	3,488	4,221	932,788
$ movement ($'000)	276,359	34,621	3,708	14,265	19,065	348,019
% movement	36.73%	25.46%	10.12%	408.94%	451.63%	37.31%

Note: Borrower numbers do not sum exactly to total, due to variation in total reportable figures.

MOVEMENT OF GRAIN DEBT VALUE SINCE 2017 BY RATING

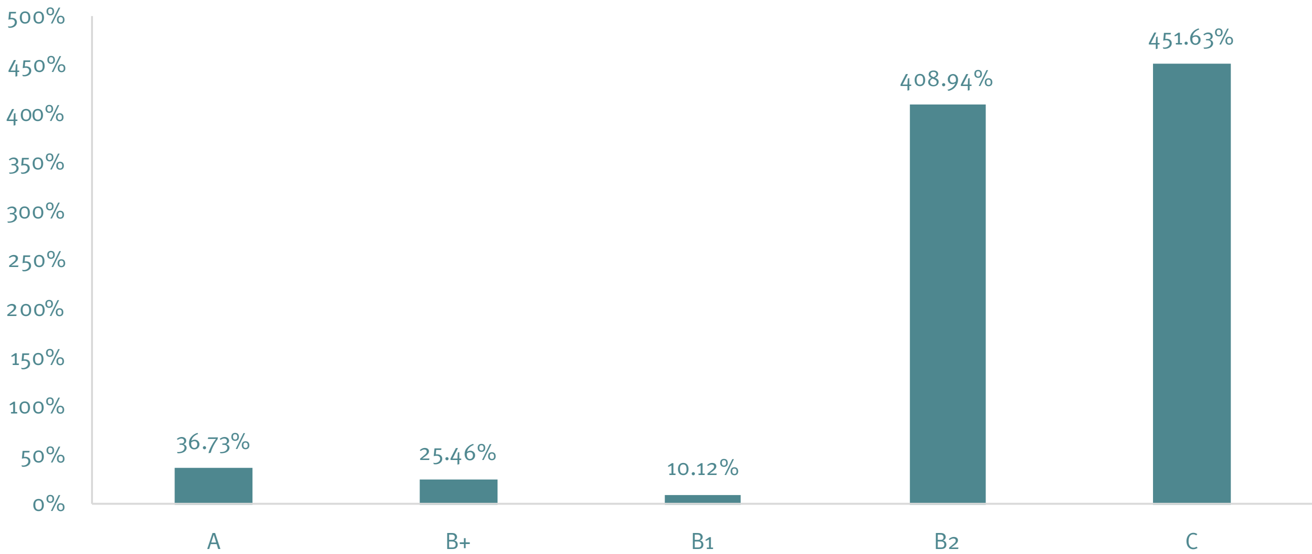


FIGURE 41: GRAIN RISK RATING MOVEMENT 2017-2019

TABLE 19: DISSECTION OF GRAIN DEBT BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT
Cape York and the Gulf	dw		dw	dw	0		
Central North	12,985	1.01%	5	2,597	1,028	11,957	1,163.64%
Charleville - Longreach	dw		dw	dw	dw		
Eastern Darling Downs	590,806	46.13%	471	1,254	390,906	199,901	51.14%
Northern Coastal - Mackay to Cairns	14,582	1.14%	15	972	dw		
Southern Coastal - Curtis to Moreton	103,692	8.10%	118	879	99,101	4,590	4.63%
West and South West	dw		dw	dw	0		
Western Downs and Central Highlands	557,577	43.53%	346	1,611	434,779	122,798	28.24%

INDUSTRY ENVIRONMENT

- In Queensland, there are two opportunities to plant grain crops, known commonly as the summer and winter crop production. Returns to growers are throughout the year.
- Due to the dry conditions experienced in Queensland grain growing regions in the past two years, production has decreased due to a decline in plantings and yield has also decreased due to little to no soil moisture.
- It is likely that the increase in debt in the grain industry is due to the decrease in production over the past two years, particularly the lack of winter crops for Queensland grain producers.
- In 2018-19, (cereal for) grains accounted for 4.61 per cent ($595 million) of the total GVP (ABS, 2020b).
- ABARES defines the Northern Grain Region as grain farms in New South Wales and Queensland and found that over the past three years, 'around 71 per cent of Northern region grain farms planted less than 600 hectares and 6 per cent planted more than 2,400 hectares' (ABARES, 2020e).
- Due to ongoing dry conditions, wheat production declined substantially in 2017-18. ABARES suggests that 'total grain oilseed and pulse production in the Northern region declined by 44 per cent from the previous year'. In 2016-17, Northern region grain production accounted for 33 per cent of Australian production and in 2017-18 (the most recent ABARES reportable year), it was down to 26 per cent (ABARES, 2020e).
- As depicted in Figure 42 below, the winter crop production (area) and yield for the 2017-18 year has reduced on previous years.
- In 2016-17 wheat reached a peak of 2.41 t/ha which decreased in 2017-18 to 1.20 t/ha, well below yields experienced for wheat in the past decade (Figure 42).
- As displayed in Figure 43, summer crop production has also decreased in production (area) in the past two years. Whilst reduced on area planted since 2015-16, sorghum yield has remained fairly steady at 2.76 t/ha in 2017-18.

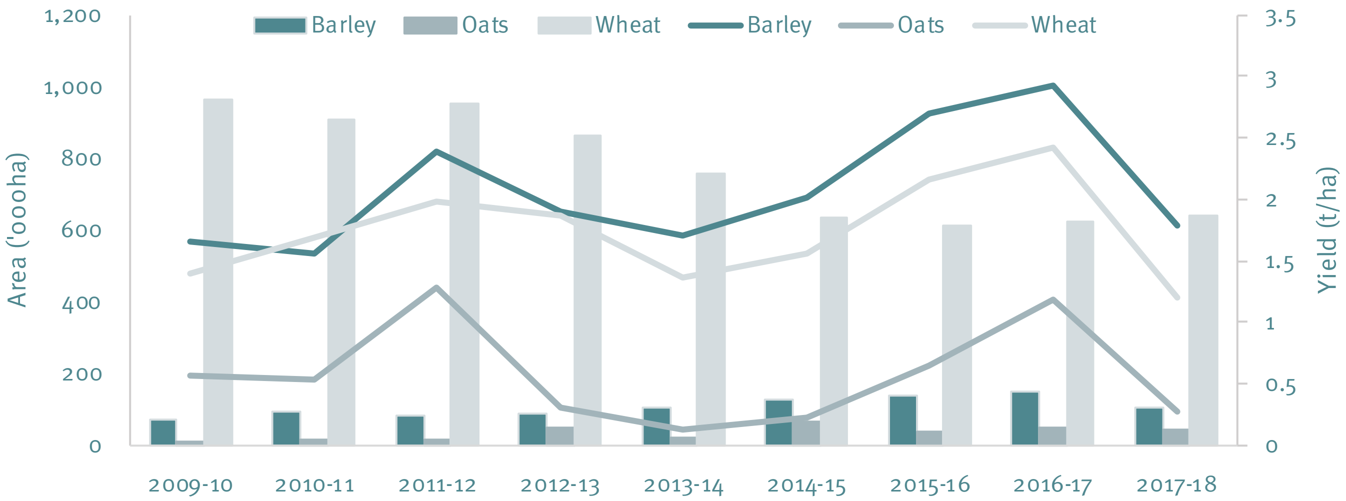


FIGURE 42: QUEENSLAND WINTER CROP - AREA AND YIELD PRODUCTION

Note. Reprinted from *Rural commodities - coarse grains & Rural commodities - wheat tables*, by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2020, retrieved from https://www.agriculture.gov.au/abares/research-topics/agricultural-commodities/agricultural-commodities-trade-data#2019

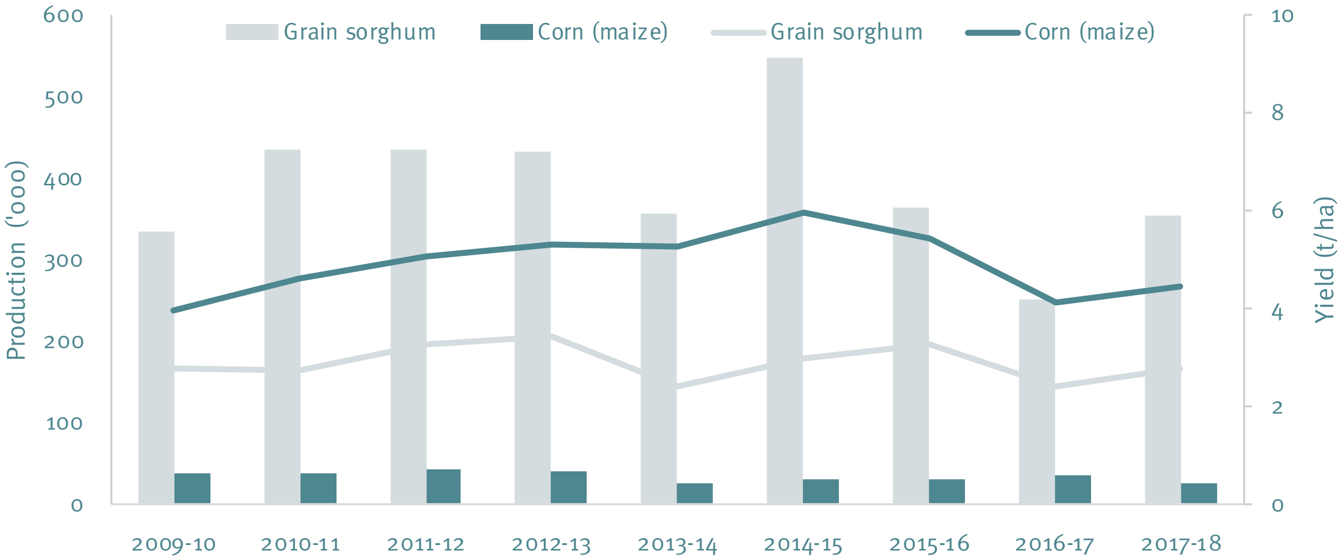


FIGURE 43: QUEENSLAND SUMMER CROP - AREA AND YIELD PRODUCTION

Note. Reprinted from *Rural commodities - coarse grains & Rural commodities - wheat tables,* by Australian Bureau of Agricultural and Resource Economics and Sciences (ABA-RES), 2020, retrieved from https://www.agriculture.gov.au/abares/research-topics/agricultural-commodities/agricultural-commodities-trade-data#2019

FARM MANAGEMENT DEPOSITS

- In 2018-19, farm cash income for Queensland grain was $142,400 per farm (ABARES, 2020c). This is 37 per cent below the 10 year average farm cash income ($231,000) (ABARES, 2020c). This is due to declines in both summer and winter crop production and therefore receipts.
- Figure 44 displays the farm cash income for Australia and Northern grain farms.

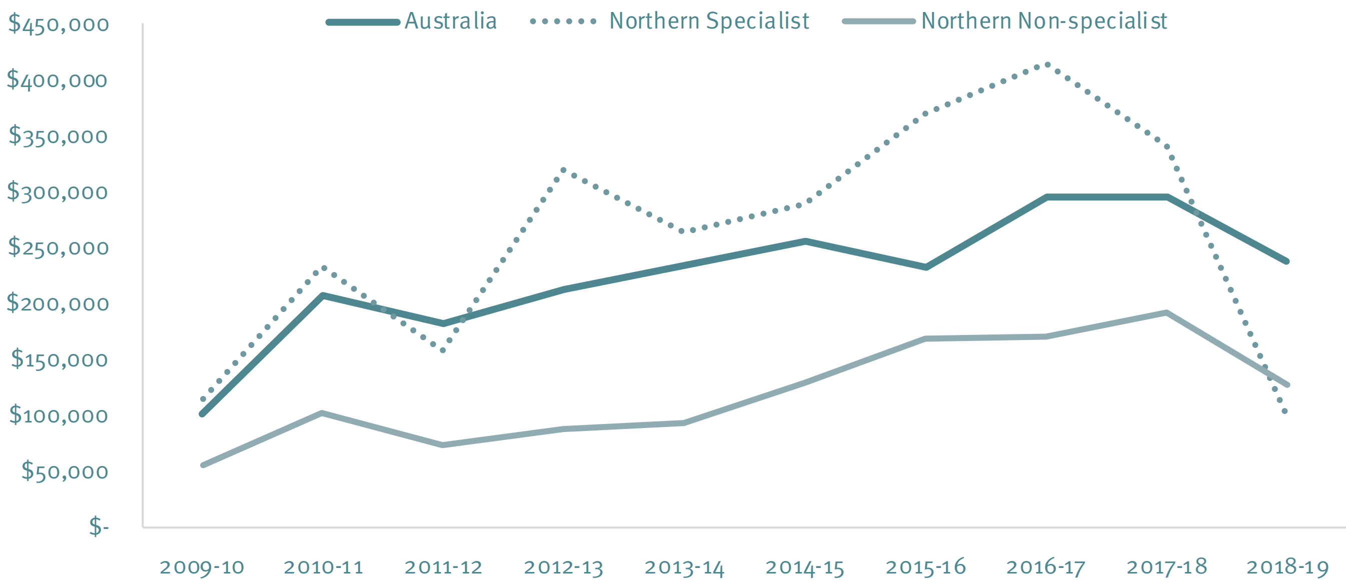


FIGURE 44: AUSTRALIA AND NORTHERN GRAIN FARM CASH INCOME

Specialist grain farms are grain farms that obtained more than 50 per cent of total cash receipts from crop receipts.
Non-specialist grain farms are grain farms that obtained less than 50 per cent of total cash receipts from crop receipts.
Note. Reprinted from *Grain farms*, by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2020, retrieved from https://www.agriculture.gov.au/abares/research-topics/surveys/grains#detailed-physical-characteristics-findings

- Farm management deposit accounts for crops and grain is depicted in Figure 45 below. Since June 2017, grain accounts have decreased from 924 to 784, a 15.15 per cent reduction, and crop accounts have decreased from 706 to 748 an increase of 5.95 per cent.

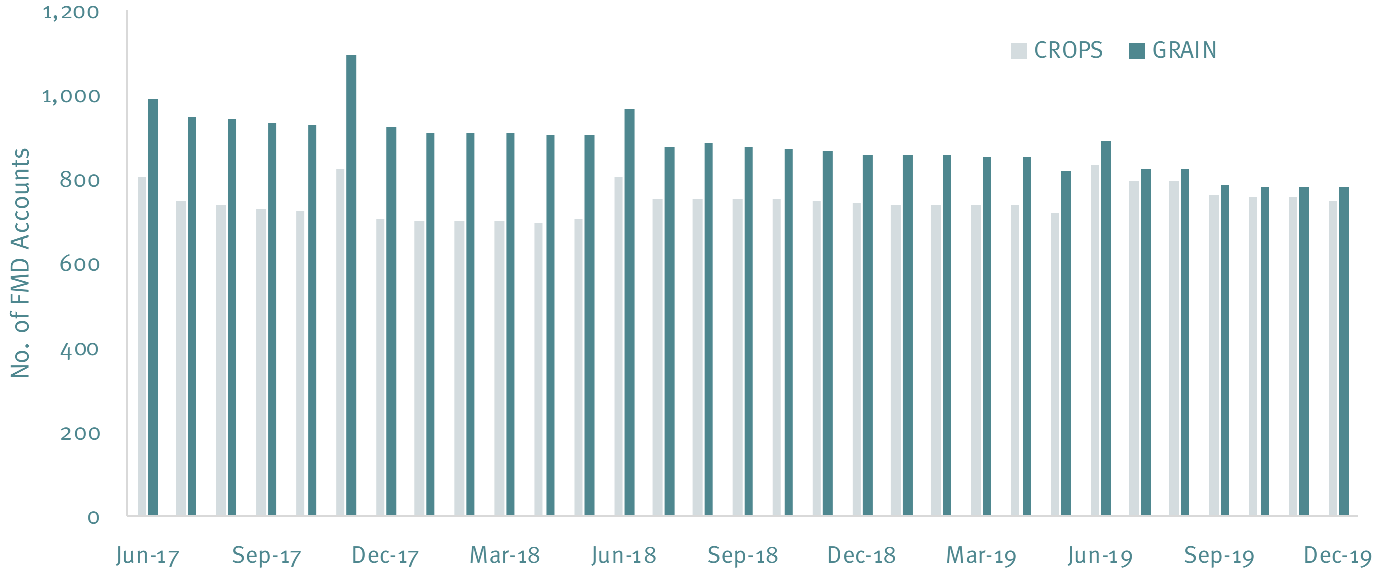


FIGURE 45: NUMBER OF CROPS AND GRAIN FMD ACCOUNTS IN QUEENSLAND

Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

- Figure 46 considers grain and crops by value. In June 2018, grain peaked at $165.23 million. Crops peaked in June 2019 with a total value of $120.69 million. In December 2019, grain deposits totalled $117.71 million and crops $106.63 million. Since December 2017, grain has decreased by 13.26 per cent and crops have increased by 23.06 per cent.

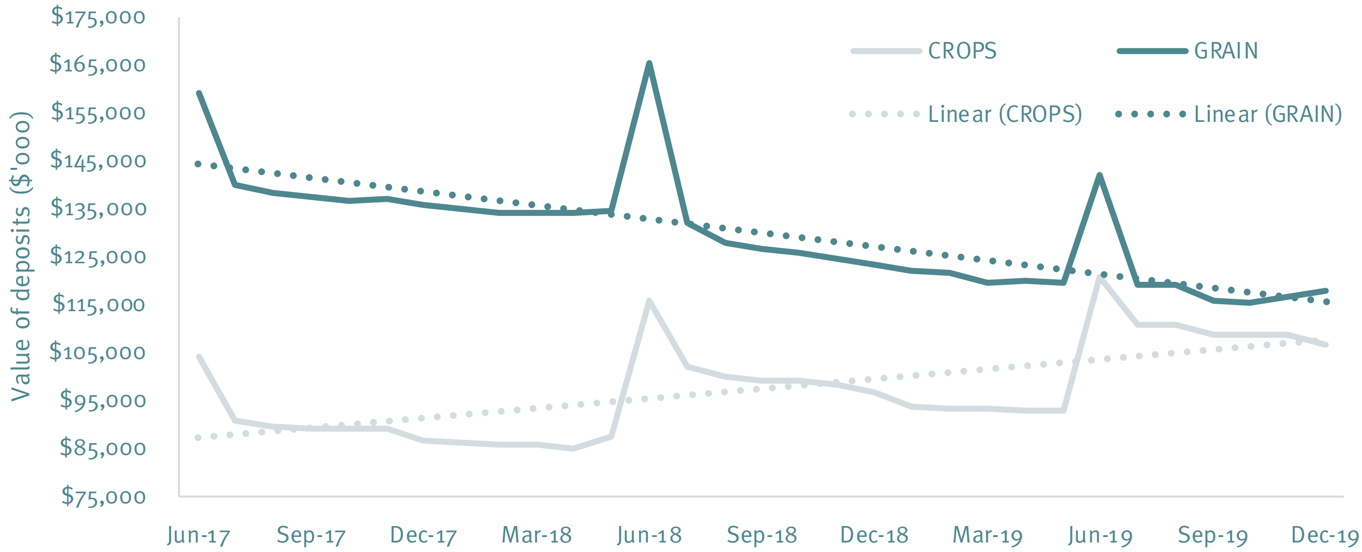


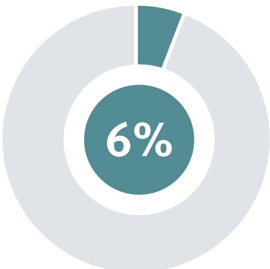
FIGURE 46: VALUE OF CROPS AND GRAIN FARM MANAGEMENT DEPOSITS ($'000) IN QUEENSLAND JULY 2017- DEC 2019

Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

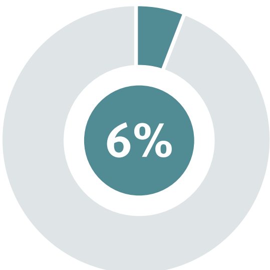
Grain/Grazing represents 6 per cent of total rural debt in 2019, up $329 million or 38 per cent in value from 2017.

The number of grain/grazing borrowers rose and the proportion of grain debt rated viable (A) increased by 24 per cent.

PERCENTAGE OF BORROWERS



PERCENTAGE OF TOTAL DEBT



Average debt per borrower

$1.1 million

GRAIN/GRAZING

GRAIN/GRAZING AT A GLANCE

TABLE 20: SUMMARY OF GRAIN/GRAZING DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	1,196,809	867,366	329,443	37.98%
Number of borrowers	1,060	975	85	8.72%
Average $ debt per borrower ($'000)	1,129	890	239	26.92%

37.98% increase in total debt

Grain/grazing comprises of sheep and cattle as well as grain enterprises.

KEY FINDINGS

- Since 2017, the debt level for grain/grazing has increased by 37.98 per cent, or $329.44 million. Comparatively, from 2011 to 2017 there was a 25.27 per cent decrease in grain/grazing debt. Thus, grain/grazing debt has returned to the levels previously experienced in 2011.
- Grain/grazing borrowers have increased by 8.72 per cent or 85 borrowers. This may be due to some diversification during drought.
- Average debt per grain/grazing borrower has increased by 26.92 per cent to $1.12 million.
- As depicted in Figure 48, the risk ratings proportions have had some variation since 2017, most notably in the viable (A) rated level, where there has been a significant decrease from 76.00 per cent in 2017 to 68.55 per cent in 2019.
- Numerically, there has been a 24.47 per cent increase in viable (A) rated debt since 2017, with 76.23 per cent of borrowers also in this debt level (Table 21). Potentially viable long-term (B+) rated debt has increased by 73.15 per cent.
- The majority of borrowers are in the viable (A) and potentially viable long-term (B+) rated debt totaling 93.58 per cent.
- Those experiencing debt-servicing difficulties (B1 and B2) have had significant increases in debt rating levels, with 58.88 per cent and 599.30 per cent respectively. Non-viable (C) rated debt has increased by 41.83 per cent. However, these risk ratings collectively only represent 7.13 per cent of grain/grazing debt.

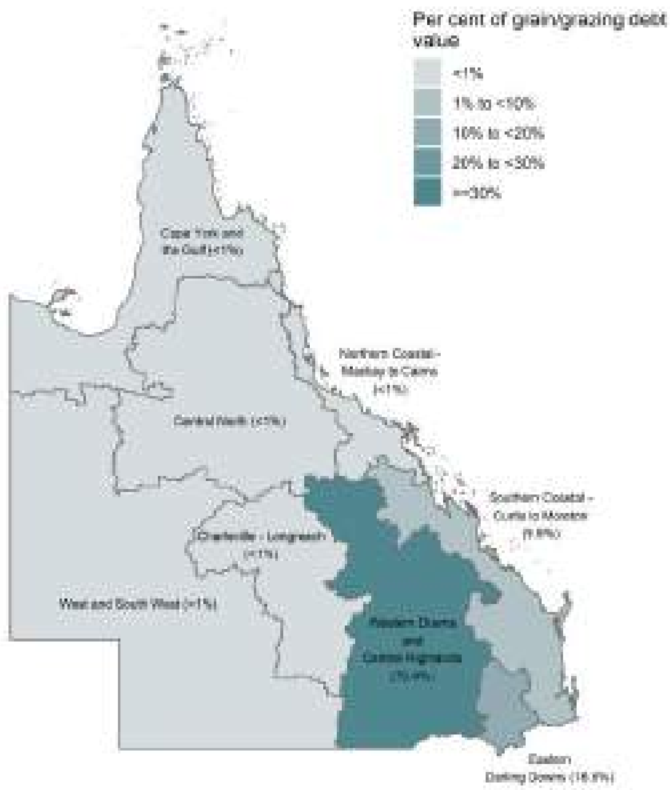


FIGURE 47: PER CENT OF GRAIN/GRAZING DEBT VALUE BY REGION

- The region with the greatest amount of grain/grazing debt for 2019 was the Western Downs and Central Highlands, with $843.06 million of debt (Table 22). Mixed enterprise farms are prevalent in this area.
- The region with the greatest increase in debt has been Southern Coastal – Curtis to Moreton with an 82.14 per cent increase since 2017. Proportionally, this region makes up 9.92 per cent of overall grain/grazing debt.

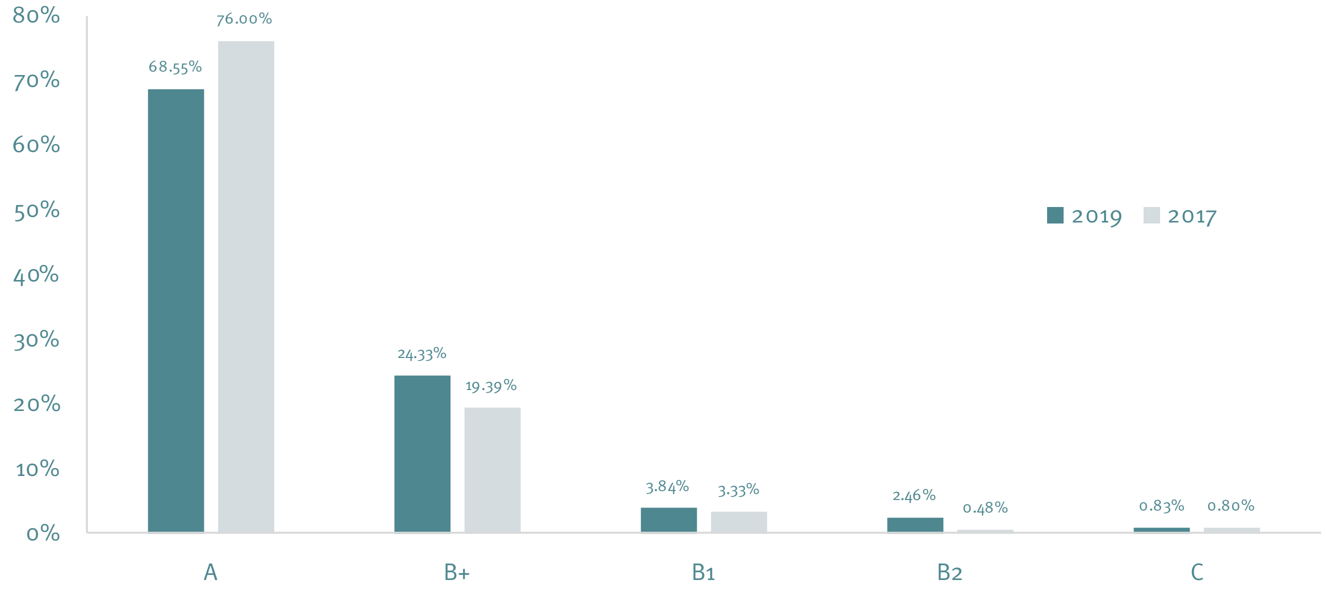


FIGURE 48: GRAIN/GRAZING DEBT PROPORTION BY RISK RATING

TABLE 21: GRAIN/GRAZING DEBT, NUMBER OF BORROWERS AND AVERAGE DEBT BY LOAN RATING

RATING	A	B+	B1	B2	C	TOTAL
2019 total debt ($'000)	820,463	291,152	45,899	29,415	9,880	1,196,809
Borrowers	808	184	41	19	12	1,060
Average debt per borrower ($'000)	1,015	1,582	1,119	1,548	823	1,129
2017 total debt ($'000)	659,156	168,150	28,888	4,206	6,966	867,366
$ movement ($'000)	161,307	123,003	17,011	25,208	2,914	329,443
% movement	24.47%	73.15%	58.88%	599.30%	41.83%	37.98%

Note: Borrower numbers do not sum exactly to total, due to variation in total reportable figures.

MOVEMENT OF GRAIN/GRAZING DEBT VALUE SINCE 2017 BY RATING

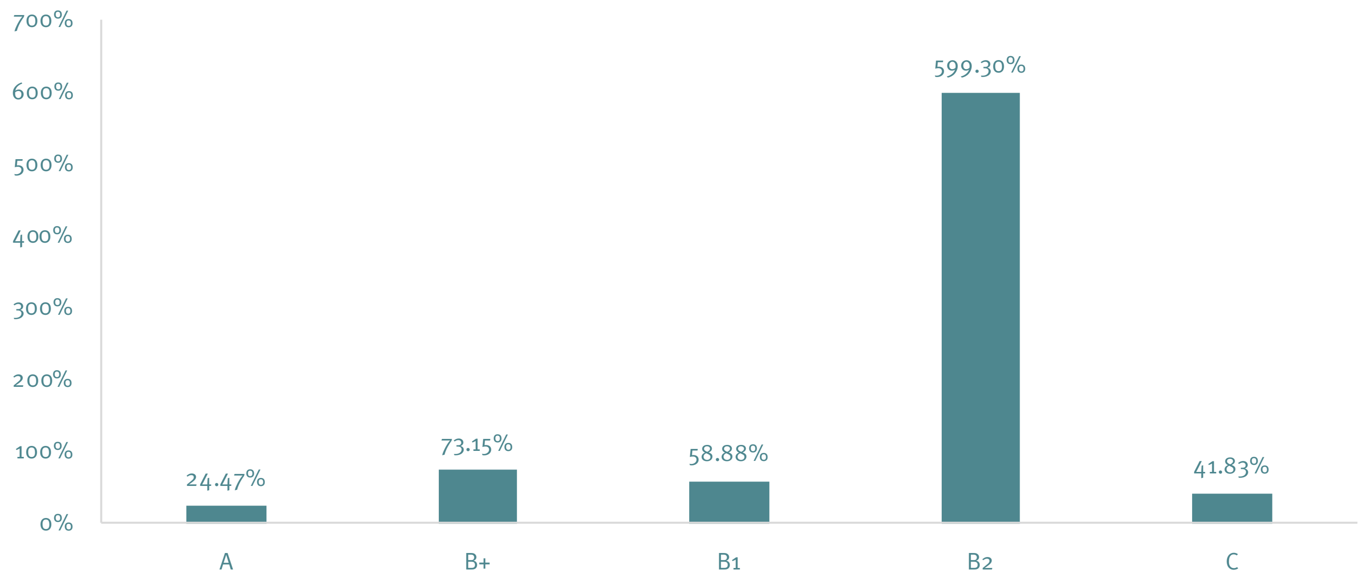


FIGURE 49: GRAIN/GRAZING RISK RATING MOVEMENT 2017-2019

TABLE 22: DISSECTION OF GRAIN/GRAZING DEBT BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT ($'000)
Cape York and the Gulf	dw		dw	dw	dw		
Central North	dw		dw	dw	27,307		
Charleville - Longreach	10,751	0.90%	10	1,075	11,365	-614	-5.40%
Eastern Darling Downs	198,309	16.57%	271	732	131,074	67,235	51.30%
Northern Coastal - Mackay to Cairns	11,321	0.95%	29	390	6,780	4,541	66.98%
Southern Coastal - Curtis to Moreton	118,713	9.92%	186	638	65,176	53,537	82.14%
West and South West	10,352	0.86%	14	739	dw		
Western Downs and Central Highlands	843,057	70.44%	546	1,544	624,368	218,689	35.03%

INDUSTRY ENVIRONMENT

- Please note industry environment for grain/grazing is covered in 'Beef', 'Sheep' and 'Grain' sections in this report.

FARM MANAGEMENT DEPOSITS

- In December 2017, there were 1,096 grain-sheep/beef FMD accounts which slowly decreased to 916 grain-sheep/beef accounts by December 2017 (Figure 50). Overall, this was a 16.42 per cent decline in grain/grazing FMD accounts.

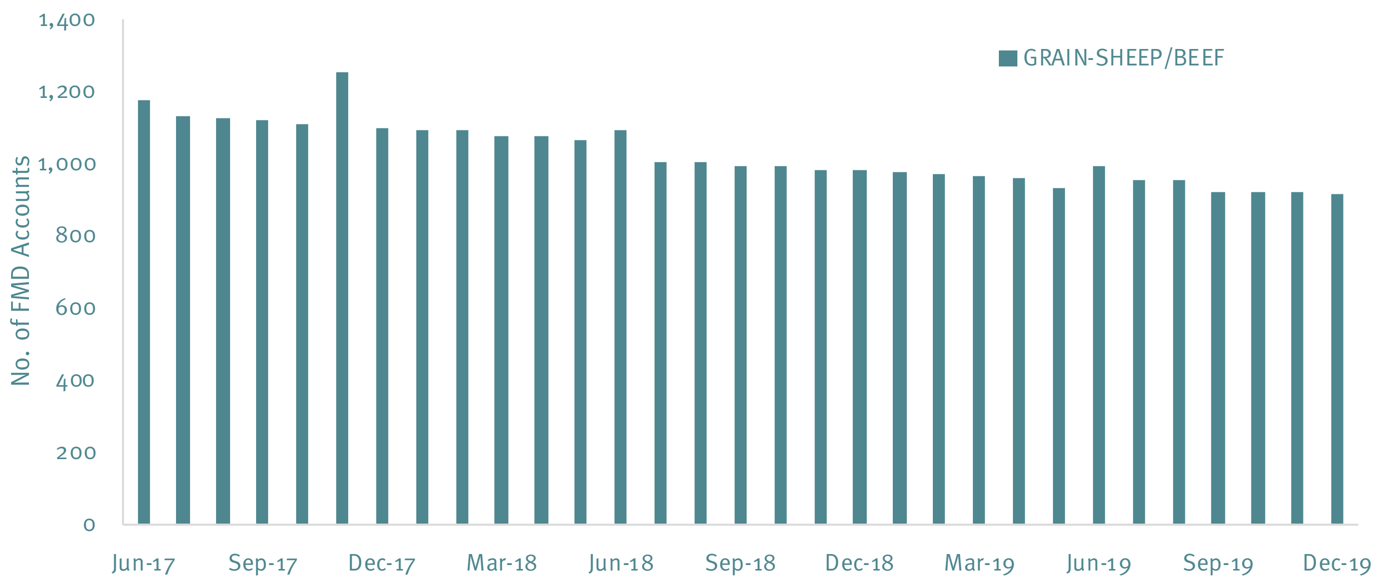


FIGURE 50: NUMBER OF GRAIN-SHEEP/BEEF FMD ACCOUNTS IN QUEENSLAND

Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

- In December 2017, FMD value of deposits was $124.16 million. In December 2019, the value of deposits had fallen to $101.84 million. This is a 17.98 per cent decline over the two year period as depicted in Figure 51.

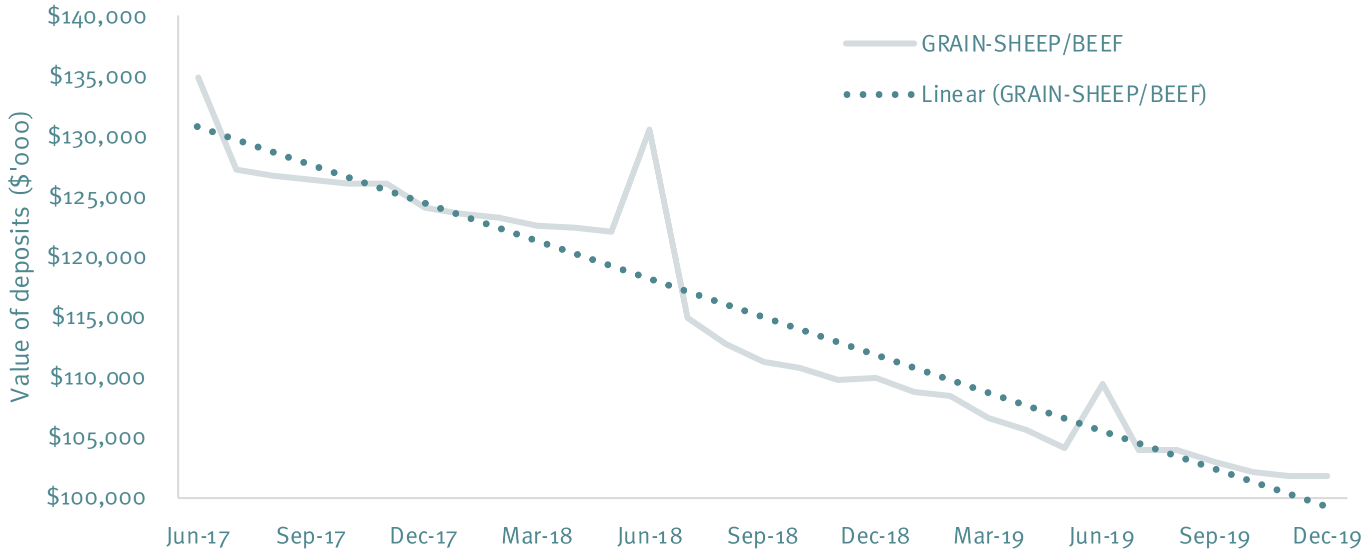


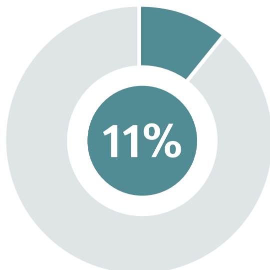
FIGURE 51: VALUE OF GRAIN-SHEEP/BEEF FARM MANAGEMENT DEPOSITS ($'000) IN QUEENSLAND JULY 2017- DEC 2019

Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

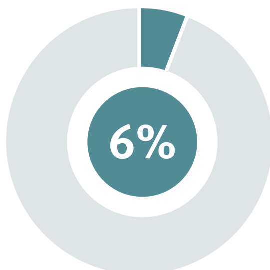
Sugar represents 6 per cent of total rural debt in 2019, up $69 million or 7 per cent in value from 2017.

The number of sugar borrowers remained steady and the proportion of sugar debt rated viable (A) increased by 4 per cent.

PERCENTAGE OF BORROWERS



PERCENTAGE OF TOTAL DEBT



Average debt per borrower

$558 thousand

SUGAR

SUGAR AT A GLANCE

TABLE 23: SUMMARY OF SUGAR DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	1,107,292	1,038,000	69,293	6.68%
Number of borrowers	1,984	1,981	3	0.15%
Average $ debt per borrower ($'000)	558	524	34	6.51%

6.68% increase in total debt

KEY FINDINGS

- Since 2017, the debt level for sugar has increased by 6.68 per cent, or $69.29 million.
- Sugar borrowers have remained steady since 2017 with 1,984 borrowers.
- Average debt per borrower has increased by 6.51 per cent to $558.11 thousand, which is well below the overall average debt per borrower.
- The risk ratings have remained proportionally similar to 2017, as depicted in Figure 53.
- The majority of borrowers are in the viable (A) rated debt, totaling 82.01 per cent of all sugar borrowers.
- All risk ratings have experienced increases in indebtedness, aside from non-viable (C) which has decreased by 22.40 per cent.
- Those experiencing debt-servicing difficulties (B1 and B2) have increased substantially, 53.56 per cent and 62.03 per cent respectively (Table 24). Average debt per borrower by risk rating is also highest in these two categories, which represents 69 borrowers or just 3.48 per cent of all sugar borrowers.
- The region with the greatest amount of sugar debt was Northern Coastal – Mackay to Cairns, with a debt level of $986.45 million equating to an increase of 12.09 per cent since 2017 (Table 25). This region is where the vast majority of cane is produced in Queensland.

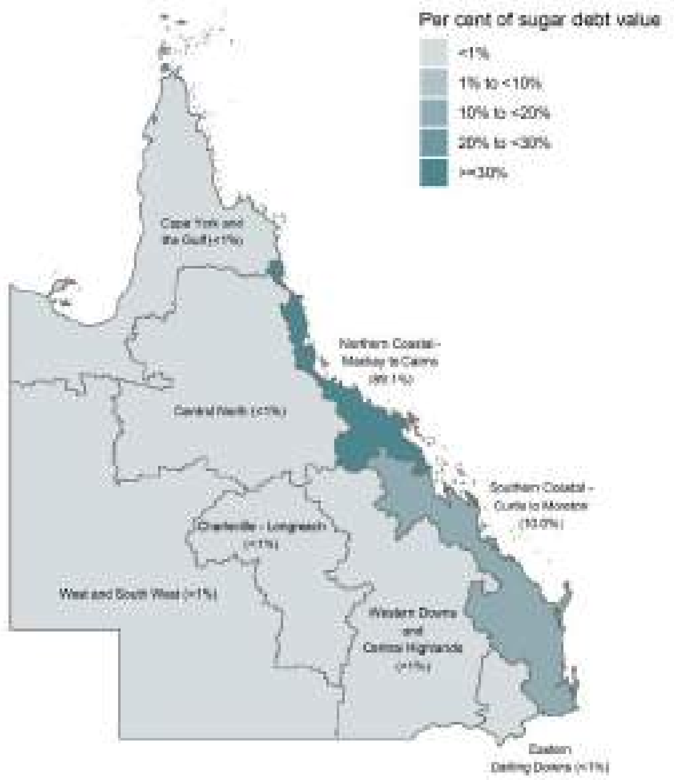


FIGURE 52: PER CENT OF SUGAR DEBT VALUE BY REGION

- Southern Coastal – Curtis to Moreton is the only other ABARES region with has reportable sugar debt, with $111.07 million or 10.03 per cent of the sugar debt. This is a 22.95 per cent decline in this region since 2017.

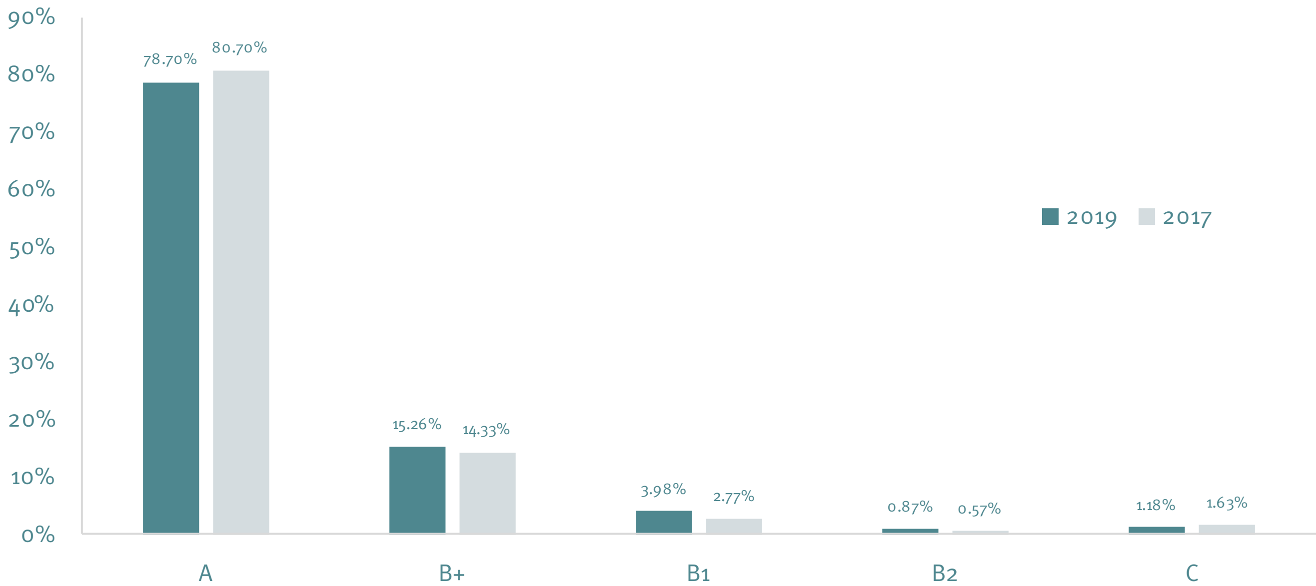


FIGURE 53: SUGAR DEBT PROPORTION BY RISK RATING

TABLE 24: SUGAR DEBT, NUMBER OF BORROWERS AND AVERAGE DEBT BY LOAN RATING

RATING	A	B+	B1	B2	C	TOTAL
2019 total debt ($'000)	871,447	168,953	44,112	9,663	13,117	1,107,292
Borrowers	1,627	269	56	13	25	1,984
Average debt per borrower ($'000)	536	628	788	743	525	558
2017 total debt ($'000)	837,678	148,728	28,727	5,964	16,903	1,038,000
$ movement ($'000)	33,769	20,225	15,385	3,699	-3,787	69,293
% movement	4.03%	13.60%	53.56%	62.03%	-22.40%	6.68%

Note: Borrower numbers do not sum exactly to total, due to variation in total reportable figures.

MOVEMENT OF SUGAR DEBT VALUE SINCE 2017 BY RATING

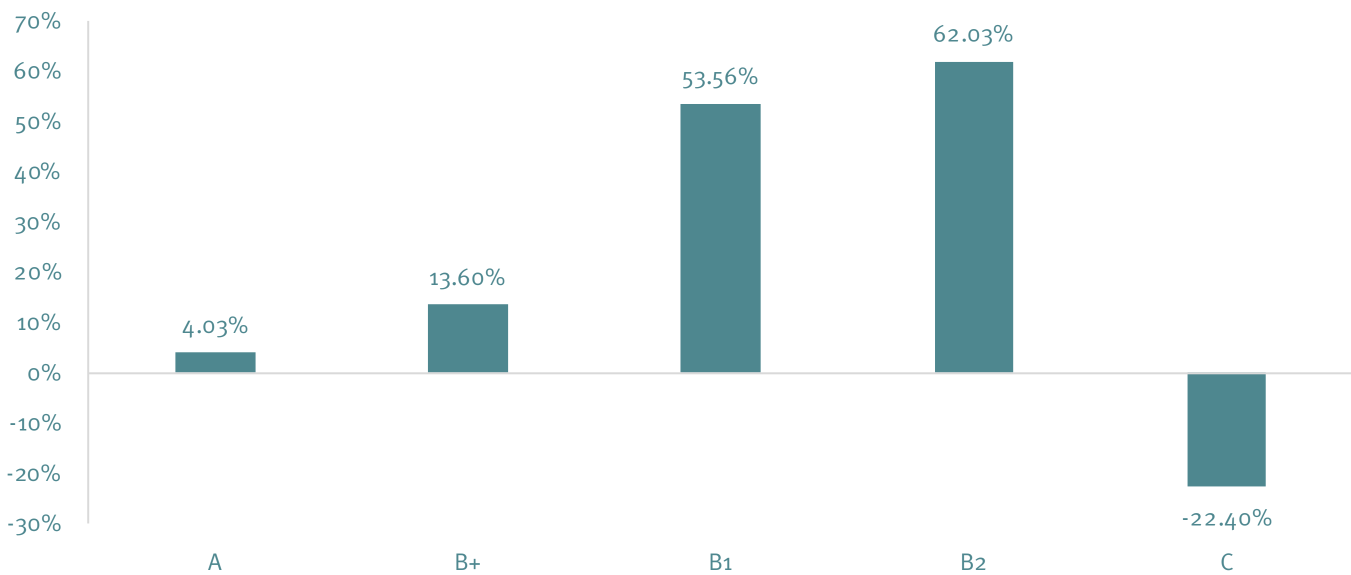


FIGURE 54: SUGAR RISK RATING MOVEMENT 2017-2019

TABLE 25: DISSECTION OF SUGAR DEBT BY REGION

ABARES REGION ($'000)	2019	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER	2017	$ MOVEMENT	% MOVEMENT
Cape York and the Gulf	0	0.00%	0	0	0	0	
Central North	dw		dw	dw	12,879		
Charleville - Longreach	0	0.00%	0	0	dw		
Eastern Darling Downs	dw		dw	dw	dw		
Northern Coastal - Mackay to Cairns	986,453	89.09%	1703	579	880,037	106,417	12.09%
Southern Coastal - Curtis to Moreton	111,072	10.03%	258	431	144,163	-33,091	-22.95%
West and South West	0	0.00%	0	0	0	0	
Western Downs and Central Highlands	0	0.00%	0	0	dw		

INDUSTRY ENVIRONMENT

- The sugarcane industry's season runs for approximately 13 months, with harvest occurring from June. By December, normally a producer would have received a large portion of their return, however the year does not formally finish until approximately July the following year.
- The GVP for the 2018-19 year for sugarcane was $1,192 million (ABS, 2020b).
- Whilst cane is a robust plant that can sustain some rain, the monsoon event in early 2019 severely impacted the main sugarcane producing areas which affected an already reduced production level due to drought.
- The Australian Sugar Milling Council reports that the Queensland sugarcane crop was 28.4 million tonnes for 2019, down 6.7 per cent from the 30.4 million tonnes achieved in 2018' and over 3 million less than the 2017 crop of 31.47 million tonnes (a 9.62 per cent reduction) (Australian Sugar Milling Council, 2020).
- Figure 55 displays the area harvested for milling by Queensland Cane region. Through the past three cane harvests, the Herbert-Burdekin has harvested the most cane, followed by Mackay-Proserpine, Northern and then Southern. Notably, the largest reduction in area planted from 2017 to 2019 was the Southern region, down from 46,096 hectares in 2017 to 41,330 hectares in 2019 (a decrease of 10.34 per cent).

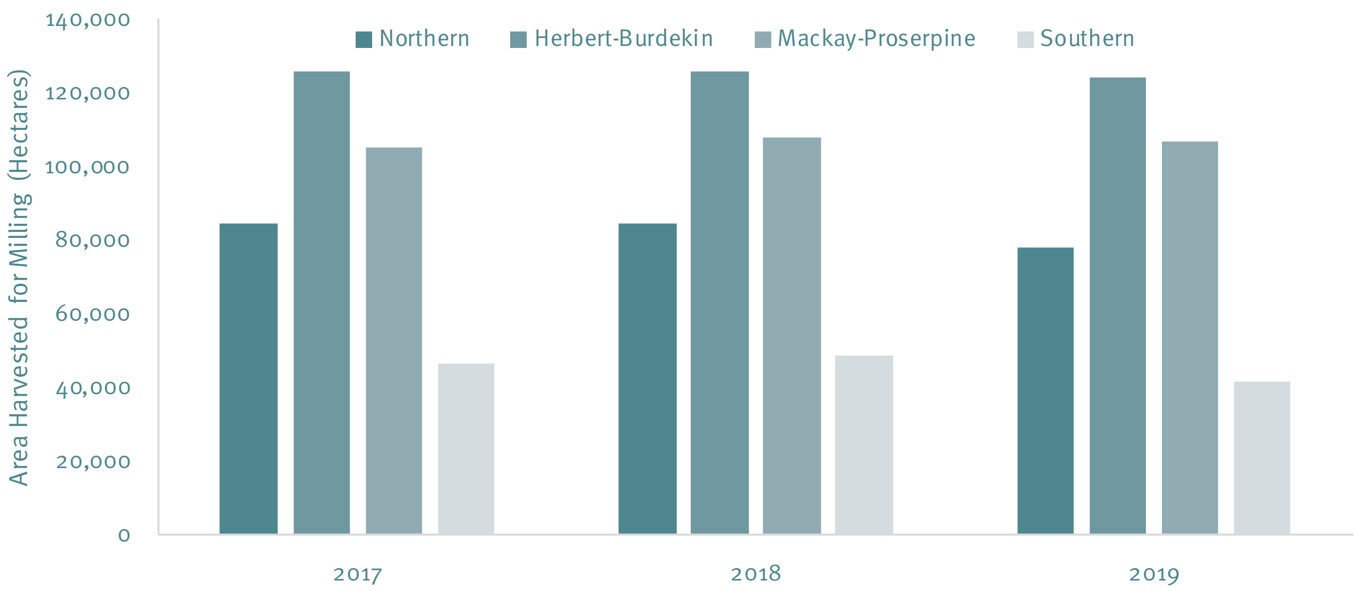


FIGURE 55: AREA HARVESTED FOR MILLING BY QUEENSLAND CANE REGION

Note. Reprinted from *Sugar Industry Summary Statistics*, Australian Sugar Milling Council, 2020, retrieved from https://asmc.com.au/policy-advocacy/sugar-industry-overview/statistics/

- When considering cane crushed by Queensland cane region comparing 2017 to 2019 (Figure 56), there has been a 14.80 per cent decline in the Northern region, a 9.04 per cent decline in the Herbert-Burdekin, a 2.19 per cent increase in Mackay-Proserpine and a 25.63 per cent decline in the Southern region.

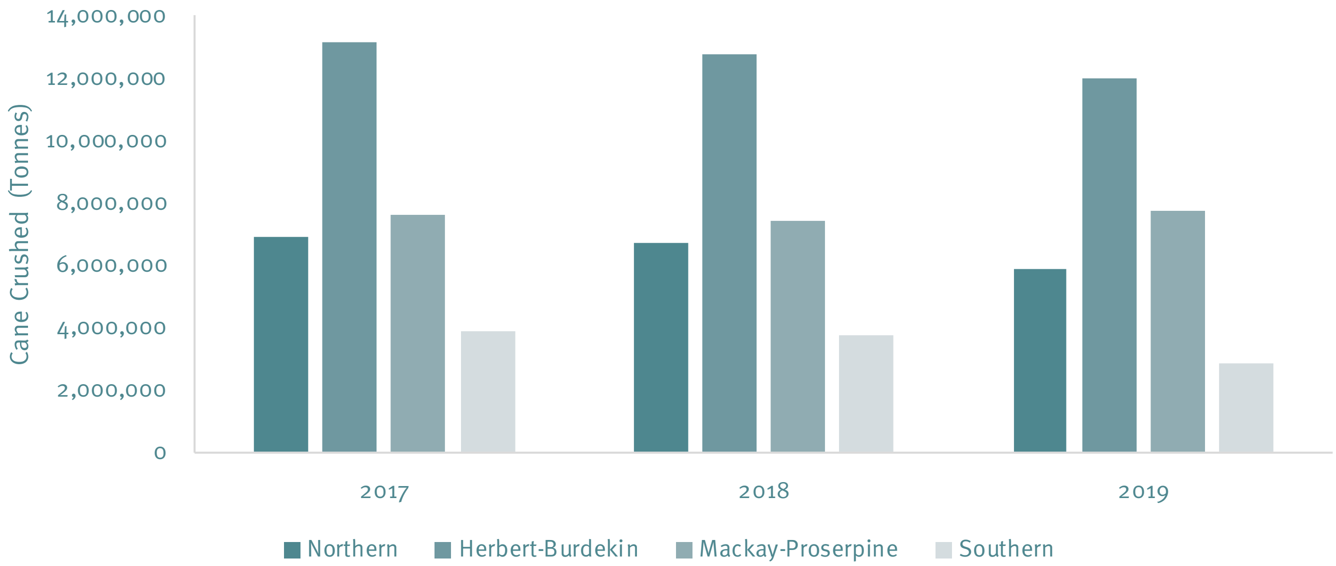


FIGURE 56: CANE CRUSHED (TONNES) BY QUEENSLAND CANE REGION

Note. Reprinted from *Sugar Industry Summary Statistics*, Australian Sugar Milling Council, 2020, retrieved from https://asmc.com.au/policy-advocacy/sugar-industry-overview/statistics/

- Given that 95 per cent of cane is produced in Queensland, the average for Australian cane is an adequate measure when considering average return to growers.
- Figure 57 displays the Australian cane crushed and return to growers. The return to cane growers has decreased by 20.94 per cent in the past two years, from A$44.43 per tonne in 2016-17 to A$35.13 per tonne in 2018-19.

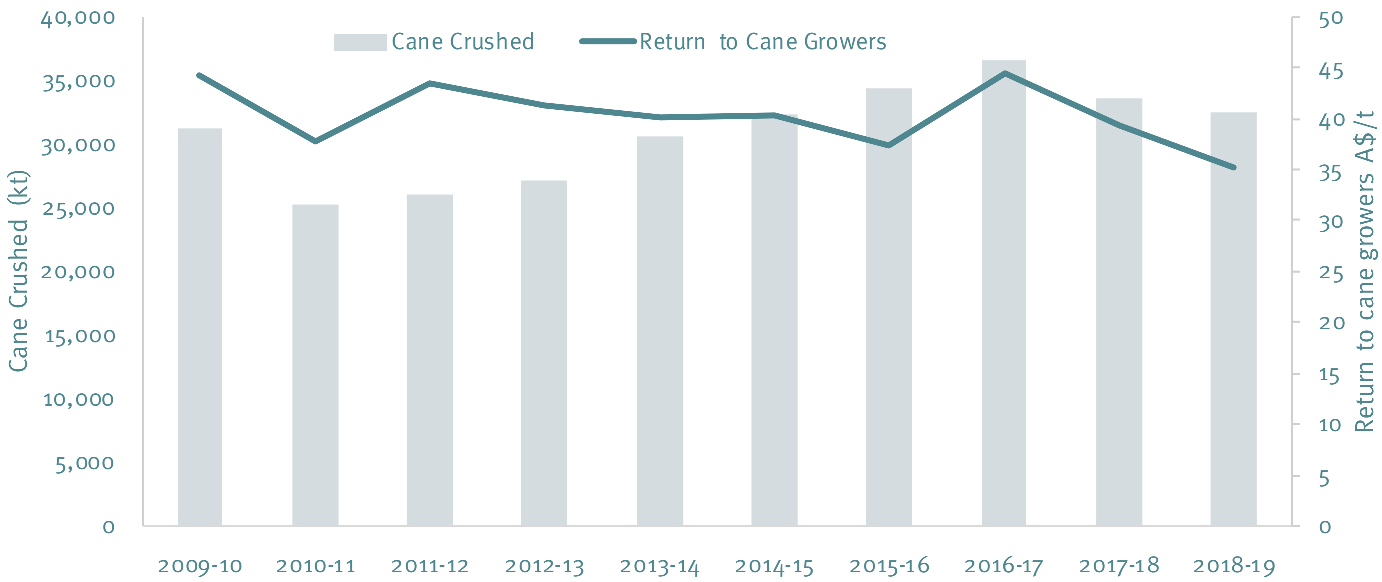


FIGURE 57: SUGAR CANE CRUSH AND RETURN TO GROWERS

Note. Reprinted from *Rural commodities - sugarcane tables*, by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2020, retrieved from https://www.agriculture.gov.au/abares/research-topics/agricultural-commodities/agricultural-commodities-trade-data#2019

FARM MANAGEMENT DEPOSITS

- Sugar accounts make up 14.41 per cent of total FMD accounts (Figure 58). There were 1,495 sugar accounts in December 2017 down to 1,319 in December 2019. This was an 11.77 per cent decline over this time.

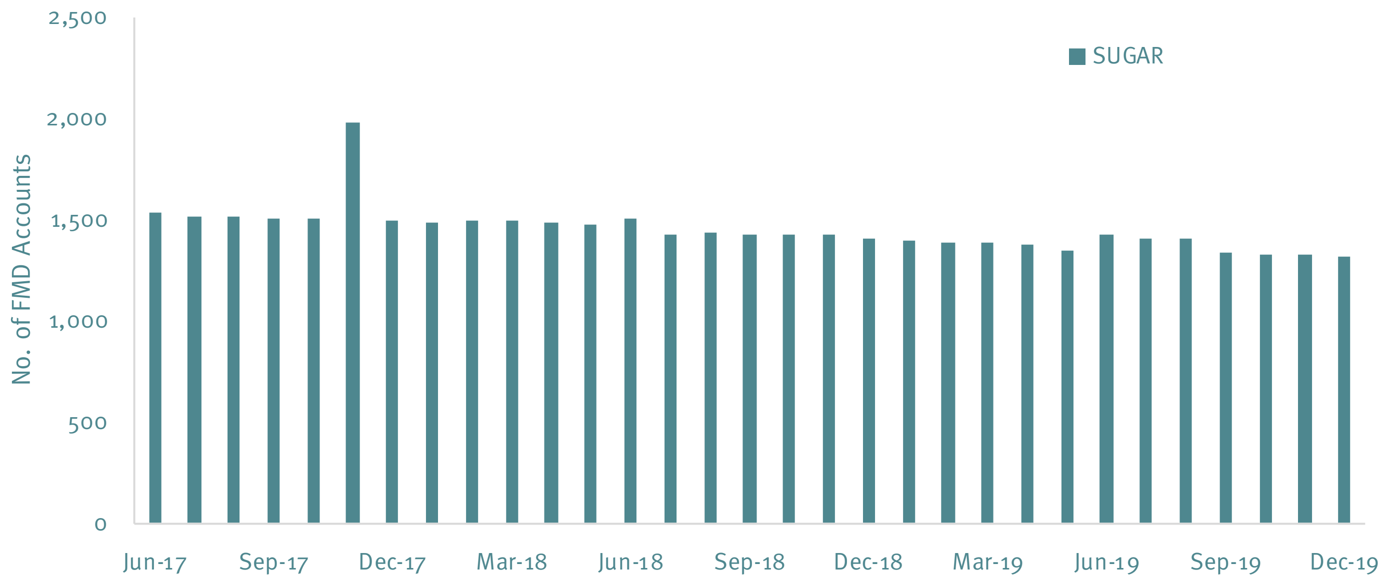


FIGURE 58: NUMBER OF SUGAR FMD ACCOUNTS IN QUEENSLAND
Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

- Sugarcane deposits have been quite variable through the December 2017 to December 2019 period. However, in the two reportable months, there has been little change from $137.32 million in 2017 to $137.98 million in 2019 (Figure 59).

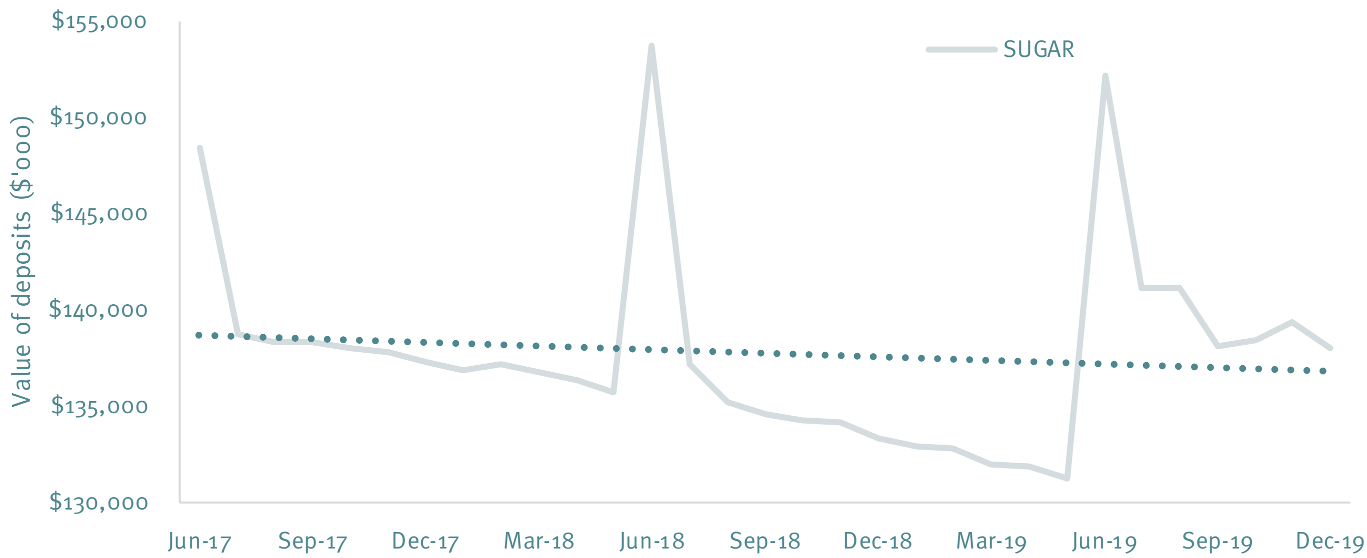
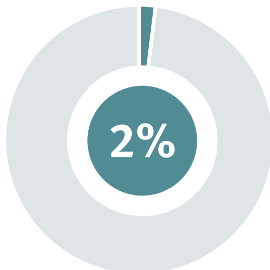


FIGURE 59: VALUE OF SUGAR FARM MANAGEMENT DEPOSITS ($'000) IN QUEENSLAND JULY 2017- DEC 2019
Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

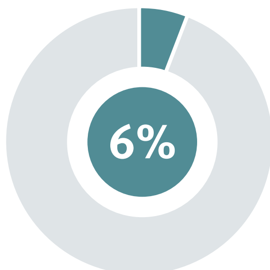
Cotton represents 6 per cent of total rural debt in 2019, down $229 million or 17 per cent in value from 2017.

The number of cotton borrowers decreased and the proportion of cotton debt rated viable (A) decreased by 16 per cent.

PERCENTAGE OF BORROWERS



PERCENTAGE OF TOTAL DEBT



Average debt per borrower

$3.0 million

COTTON

COTTON AT A GLANCE

TABLE 26: SUMMARY OF COTTON DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	1,102,907	1,332,056	-229,149	-17.20%
Number of borrowers	371	443	-72	-16.25%
Average $ debt per borrower ($'000)	2,973	3,007	-34	-1.13%

17.20% decrease in total debt

KEY FINDINGS

- Since 2017, the debt level for cotton has decreased by 17.20 per cent, or $229.15 million. This is a substantial reduction in debt levels previously recorded by the cotton industry which may be due in part to the decrease in number of borrowers.
- The number of cotton borrowers has decreased since 2017 by 16.25 per cent, or 72 borrowers.
- Average debt per borrower has decreased by 1.13 per cent to $2.97 million.
- Cotton debt proportion by risk rating (as depicted in Figure 61), has remained steady, aside from a small decrease in potentially viable long-term (B+) and 2.31 per cent of debt now recorded in non-viable (C) rated debt.
- The majority (95.96 per cent) of borrowers are in viable (A) or potentially viable long-term (B+) rated debt, with under 20 borrowers (or just 4.04 per cent) making up the remainder.
- Numerically, viable (A) and potentially viable long-term (B+) have decreased in overall value by 15.75 per cent and 46.73 per cent respectively (Table 27). Those experiencing debt servicing difficulties (B1 and B2) have seen a decreased by 36.47 and a steadying with a 2.28 per cent increase.
- The region with the greatest amount of cotton debt is the Western Downs and Central Highlands with a debt amount of $684.97 million, or 62.11 per cent of cotton debt held in this region (Table 28). This is 26.05 per cent down on the debt level recorded in 2017 in this region.

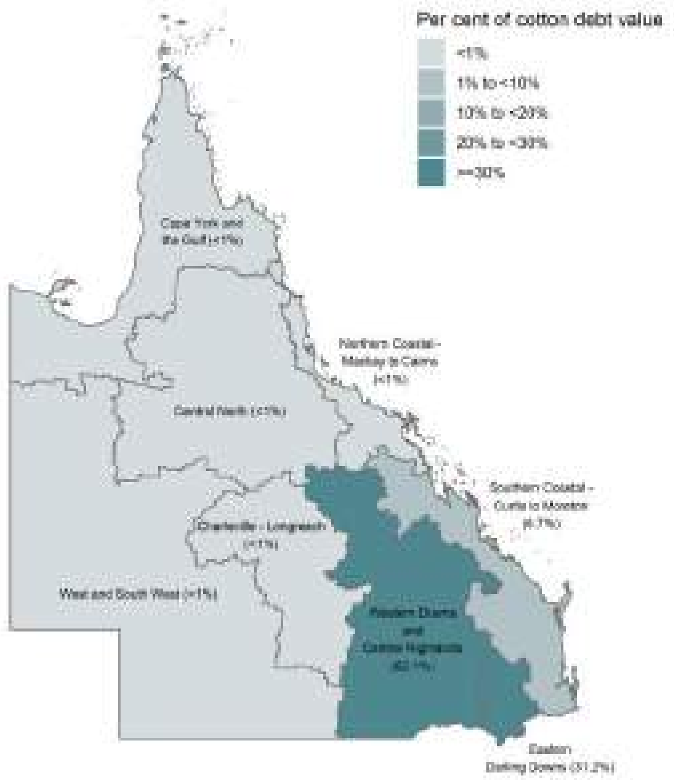


FIGURE 60: PER CENT OF COTTON DEBT VALUE BY REGION

- The Eastern Darling Downs is the next most indebted region with a debt amount of $343.71 million or 31.16 per cent of cotton debt.
- Western Downs and Central Highlands had 49.33 per cent of borrowers in its region, while the Eastern Darling Downs has 40.97 per cent of cotton borrowers in its region.

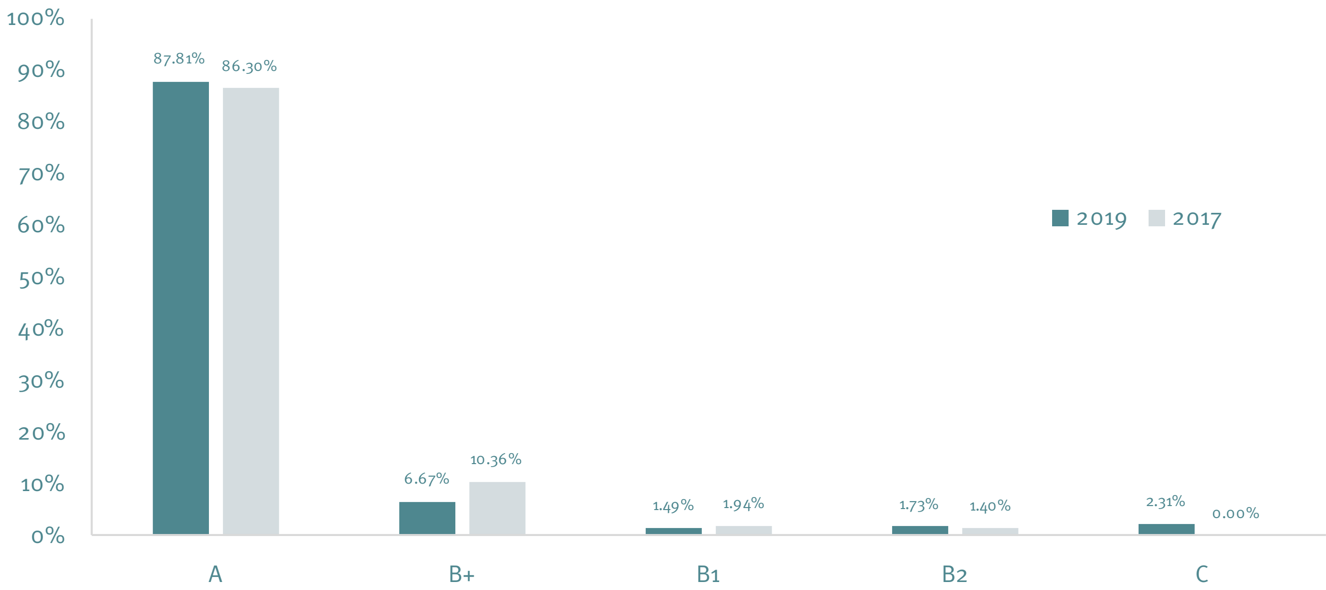


FIGURE 61: COTTON DEBT PROPORTION BY RISK RATING

TABLE 27: COTTON DEBT, NUMBER OF BORROWERS AND AVERAGE DEBT BY LOAN RATING

RATING	A	B+	B1	B2	C	TOTAL
2019 total debt ($'000)	968,455	73,528	16,379	19,122	25,423	1,102,907
Borrowers	310	46	7	4	4	371
Average debt per borrower ($'000)	3,124	1,598	2,340	4,781	6,356	2,973
2017 total debt ($'000)	1,149,546	138,030	25,783	18,696	0	1,332,056
$ movement ($'000)	-181,092	-64,502	-9,404	426	25,423	-229,149
% movement	-15.75%	-46.73%	-36.47%	2.28%		-17.20%

MOVEMENT OF COTTON DEBT VALUE SINCE 2017 BY RATING

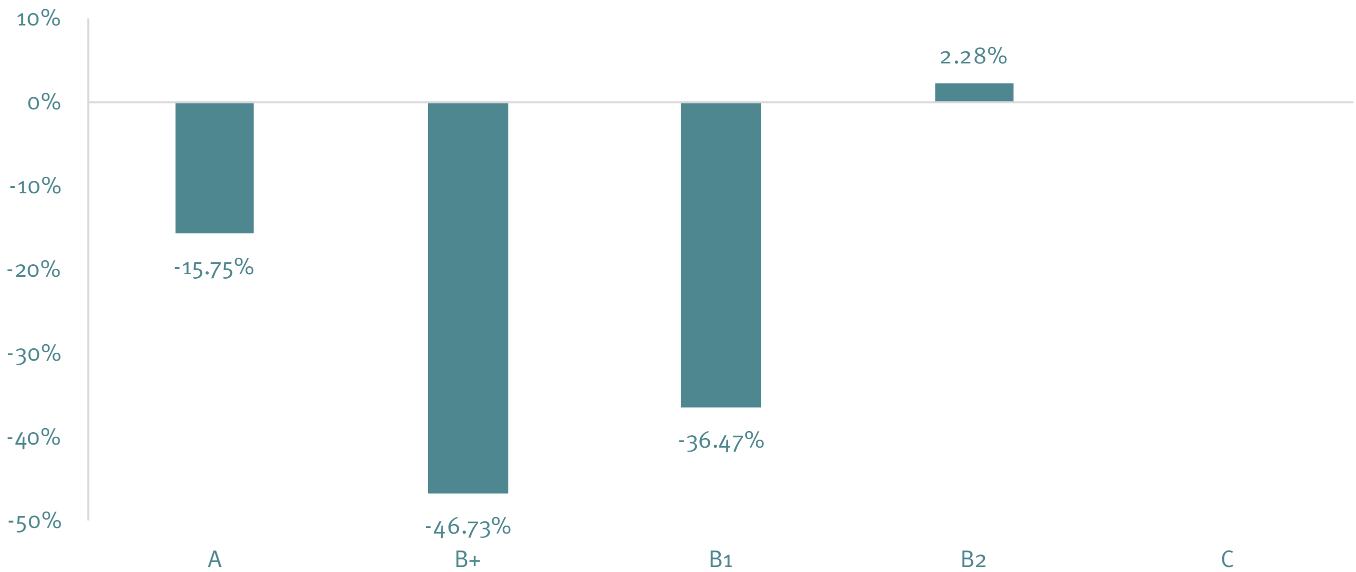


FIGURE 62: COTTON RISK RATING MOVEMENT 2017-2019

TABLE 28: DISSECTION OF COTTON DEBT BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT ($'000)
Cape York and the Gulf	0	0.00%	0	0	0	0	
Central North	0	0.00%	0	0	0	0	
Charleville - Longreach	0	0.00%	0	0	0	0	
Eastern Darling Downs	343,707	31.16%	152	2,261	286,986	56,721	19.76%
Northern Coastal - Mackay to Cairns	dw		dw	dw	951		
Southern Coastal - Curtis to Moreton	73,522	6.67%	26	2,828	117,746	-44,224	-37.56%
West and South West	dw		dw	dw	162		
Western Downs and Central Highlands	684,968	62.11%	183	3,743	926,211	-241,243	-26.05%

INDUSTRY ENVIRONMENT

- Globally, in the short to medium term, cotton prices are predicted to remain fairly steady given the high stock levels and ongoing competition from synthetic fibres (ABARES, 2020f).
- Introduced for commercial use in 2017, Bollgard 3 is used widely due to its benefits in increased resistance leading to reduction in spraying. Harvest is used mainly by round balers which has increased traceability in the field providing valuable data to producers and the supply chain.
- ABARES forecasts Australian cotton production to be 600,000 bales in 2019-20, this is approximately 60,000 hectares which is the least amount of cotton planted in Australia since the 1970s. (ABARES, 2020f). It is also much reduced on the 2017-18 year, at only 13 per cent of the 2017-18 crop. This is due to the continued drought conditions in both New South Wales and Queensland – the main growing regions for cotton.
- Over one third of the total Australian cotton crop is grown in Queensland (34 per cent) (ABARES, 2020h). The Western Downs and Central Highlands and Eastern Darling Downs regions encompass the majority of the cotton areas in Queensland.
- For Queensland, there has been little or no soil moisture prior to the planting window, combined with low rainfall which has meant that there have been no dryland crops and very reduced irrigated land planted (ABARES, 2020f). Whilst the drought has significantly affected the cotton industry in Queensland, the 17.20 per cent decrease in debt since the 2017 survey may be a reflection of the reduced area of planting (and reduced production costs) and the market price holding, which has seen the return per bale increasing.
- According to ABARES, the total area harvested in Queensland in the 2016-17 season was 187,000 hectares. This was much reduced in 2018-19 to 117,000 hectares and is predicted to be even lower for the 2019-20 season (Figure 63).

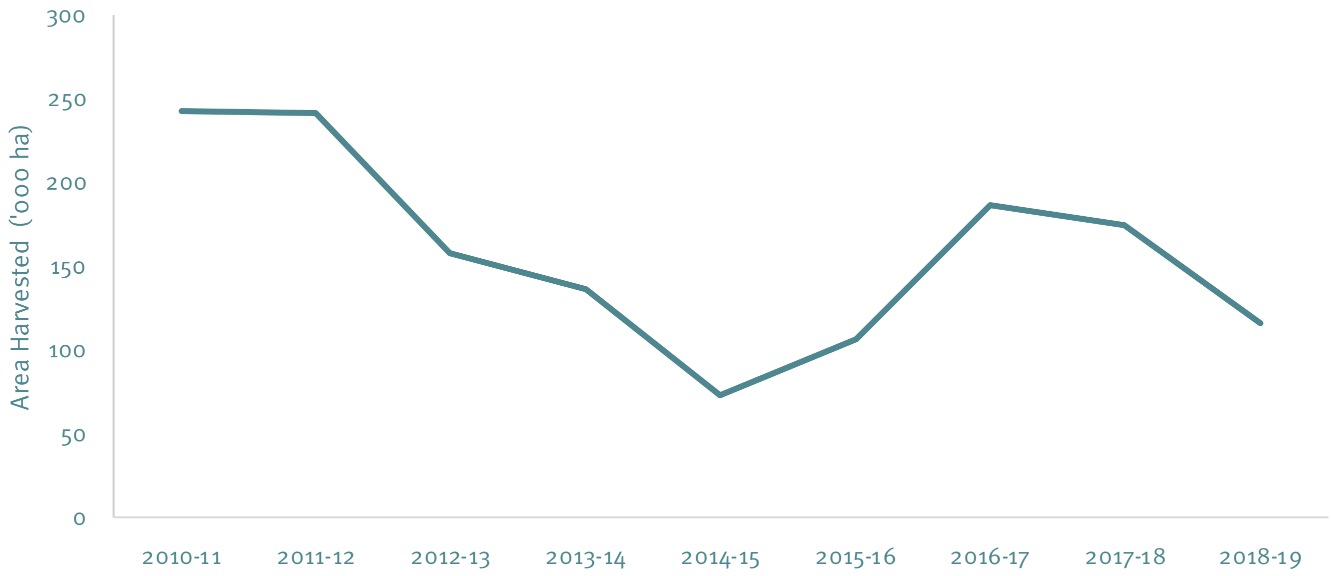


FIGURE 63: QUEENSLAND COTTON AREA HARVESTED

Note. Reprinted from *Rural commodities - cotton tables*, by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2020, retrieved from https://www.agriculture.gov.au/abares/research-topics/agricultural-commodities/agricultural-commodities-trade-data#2019

- In 2017-18, Queensland produced 1.41 million bales, in 2018-19, there was 895 thousand bales produced and the forecast for 2019-20 is that 175 thousand bales will be produced (ABARES, 2020h).
- Figure 64 displays the cottonseed and lint production in Queensland, which reduced significantly in 2018-19.
- The cotton industry is worth $2 billion to the Australian economy (Cotton Australia, 2020). In 2018-19, cotton composed 2.15 per cent of the GVP in Queensland, at $279 million (ABS, 2020b).

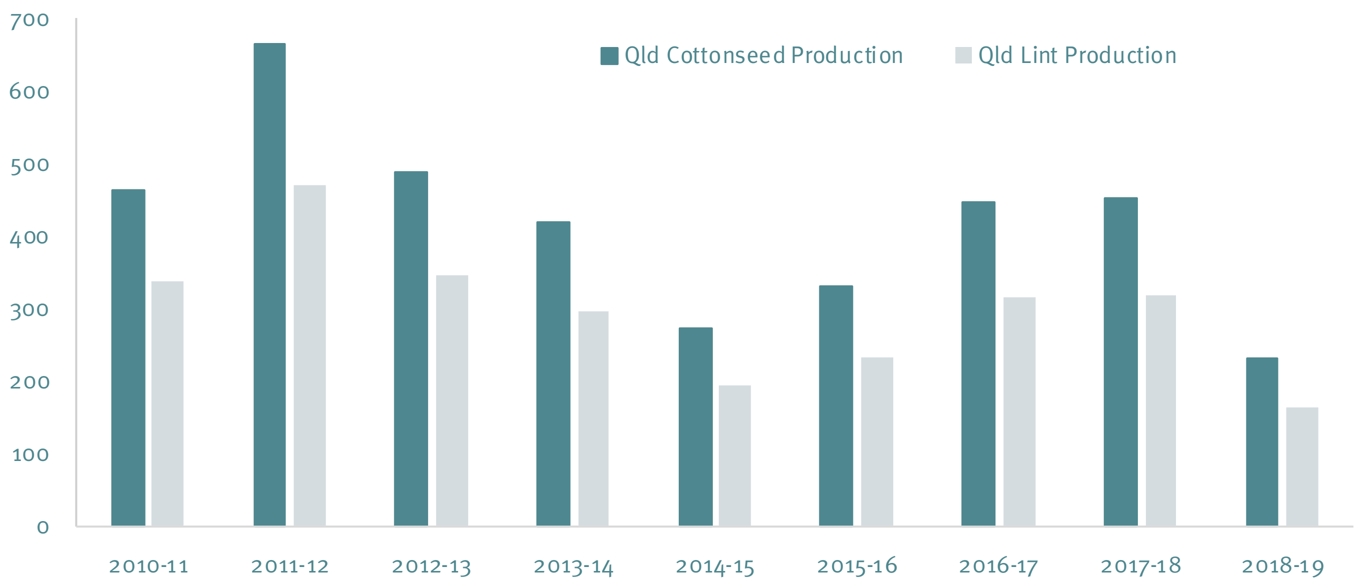


FIGURE 64: QUEENSLAND COTTONSEED AND LINT PRODUCTION

Note. Reprinted from *Rural commodities - cotton tables*, by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2020, retrieved from https://www.agriculture.gov.au/abares/research-topics/agricultural-commodities/agricultural-commodities-trade-data#2019

- The Australian gin-gate return (A$/bale) has been increasing since 2016-17. Figure 65 depicts the average gin-gate return and production levels in Queensland. The average gin-gate return for 2018-19 was A$642 per bale (ABARES, 2020h).

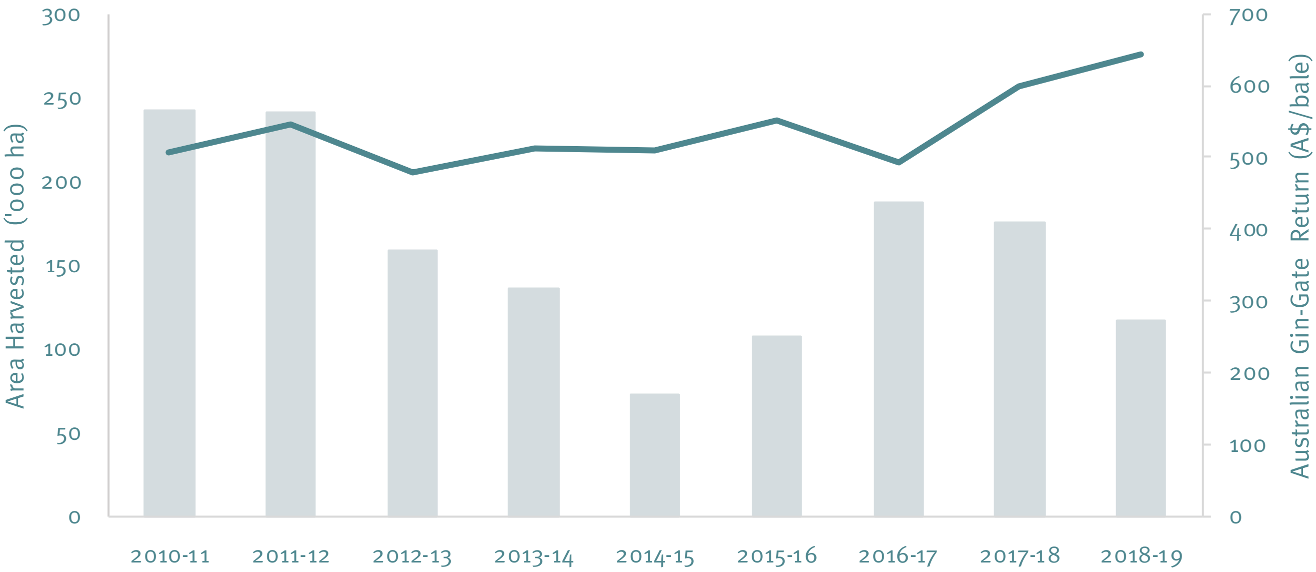


FIGURE 65: QUEENSLAND COTTON AREA HARVESTED AND AUSTRALIAN GIN-GATE RETURN

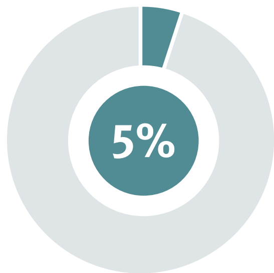
Note. Reprinted from *Rural commodities - cotton tables*, by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2020, retrieved from https://www.agriculture.gov.au/abares/research-topics/agricultural-commodities/agricultural-commodities-trade-data#2019

- The reduced harvesting and therefore bales have meant that whilst the returns for growers has been higher, they have not been able to take advantage of the higher returns.
- During the period of reduced cotton crop, commentators have suggested that growers have taken advantage of capital infrastructure projects, such as desilting storages and optimising gradient levels across paddocks. This has also assisted in sustaining the labour force on these properties.
- FMDs and farm incomes for cotton are reported within other industries.

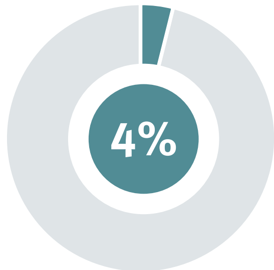
Tree Crops represents 4 per cent of total rural debt in 2019, up $180 million or 27 per cent in value from 2017.

The number of tree crop borrowers rose and the proportion of tree crop debt rated viable (A) increased by 30 per cent.

PERCENTAGE OF BORROWERS



PERCENTAGE OF TOTAL DEBT



Average debt per borrower

$889 thousand

HORTICULTURE - TREE CROPS

TREE CROPS AT A GLANCE

TABLE 29: SUMMARY OF TREE CROP DEBT

AMOUNT ($'000)	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	851,999	671,826	180,174	26.82%
Number of borrowers	958	925	33	3.57%
Average $ debt per borrower ($'000)	889	726	163	22.45%

26.82% increase in total debt

Horticulture – tree crops comprises of fruit and tree nut growing, including grapes, kiwifruit, berry, apples and pears, stone fruit, citrus fruit, olives and other tree crops not listed.

KEY FINDINGS

- Since 2017, the debt level for tree crops has increased by 26.82 per cent, or $180.17 million.
- The number of borrowers has had a small increase of just 3.57 per cent or 33 borrowers.
- Average debt per borrower has increased by 22.45 per cent to $889.35 thousand.
- The risk rating proportions for tree crops have remained steady, aside from a small decrease observed in non-viable (C) rated debt from 4.65 per cent in 2017 to 1.46 per cent in 2019 (Figure 67).
- The majority of tree crop borrowers are in the viable (A) rated debt, totaling 79.96 per cent.
- Numerically, there has been a mixed result for the debt ratings. Viable (A) rated debt, has increased by 30.08 per cent, potentially viable long-term (B+) has increased by 36.92 per cent and those experiencing debt servicing difficulties under present circumstances (top 50 per cent) (B1) have had a significant increase of 117.53 per cent, however it only makes up 2.58 per cent of overall debt (Table 30).
- Those experiencing debt servicing difficulties under present circumstances (bottom 50 per cent) (B2) have experienced a 28.80 percent decrease in debt and non-viable (C) rated debt has decreased by 60.09 per cent. Thus, the tree crop industry is in a strong debt position for 2019.
- The region with the greatest amount of debt is the Southern Coastal – Curtis to Moreton with a value of $408.96 million (Table 31). The total percentage of debt in this region is 48.00 per cent.

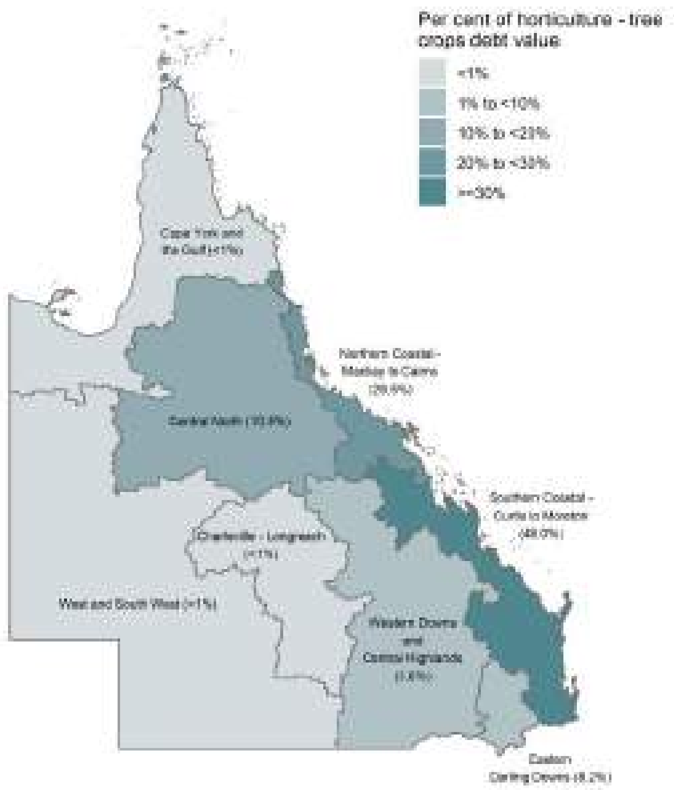


FIGURE 66: PER CENT OF TREE CROP DEBT VALUE BY REGION

- Northern Coastal – Mackay to Cairns is the second most indebted region with a value of $250.93 million and makes up 29.45 per cent of total tree crop debt.
- Whilst only making up 3.57 per cent of tree crop debt, the Western Downs and Central Highlands have had the largest increase in debt since 2017, up 76.83 per cent.

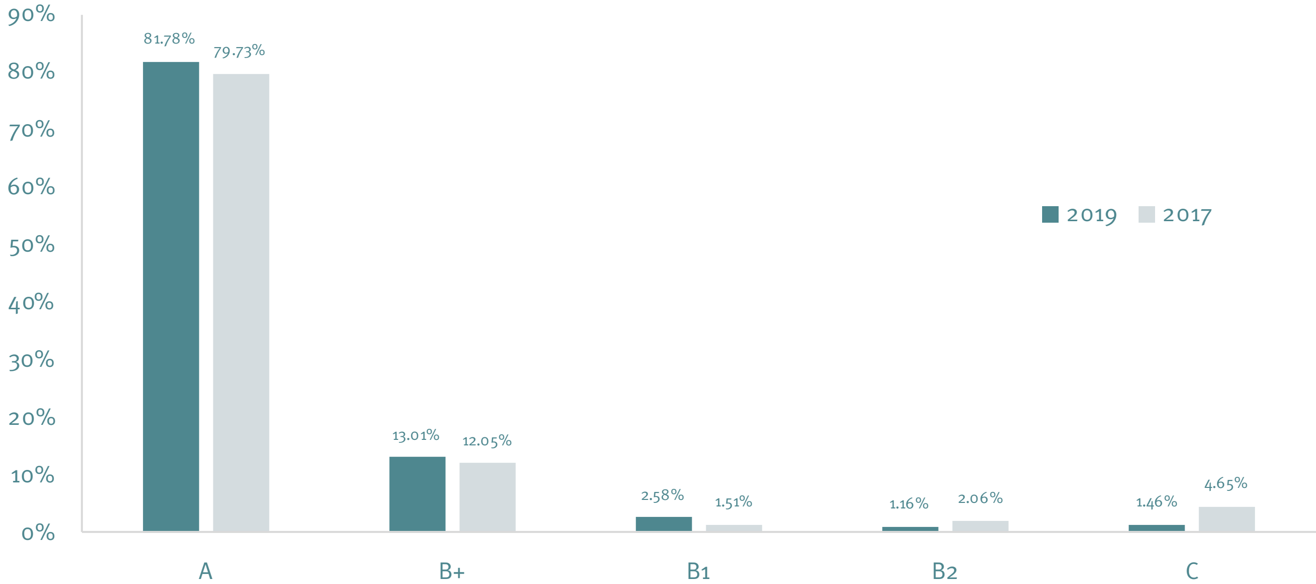


FIGURE 67: TREE CROP DEBT PROPORTION BY RISK RATING

Note. Reprinted from Queensland Government Statistician's Office, Queensland Treasury, *Rural Debt Survey 2017*, Output Tables

TABLE 30: TREE CROP DEBT, NUMBER OF BORROWERS AND AVERAGE DEBT BY LOAN RATING

RATING	A	B+	B1	B2	C	TOTAL
2019 total debt ($'000)	696,788	110,870	22,014	9,861	12,466	851,999
Borrowers	766	131	32	17	12	958
Average debt per borrower ($'000)	910	846	688	580	1,039	889
2017 total debt ($'000)	535,650	80,973	10,120	13,850	31,233	671,826
$ movement ($'000)	161,138	29,897	11,894	-3,989	-18,766	180,174
% movement	30.08%	36.92%	117.53%	-28.80%	-60.09%	26.82%

MOVEMENT OF TREE CROP DEBT VALUE SINCE 2017 BY RATING

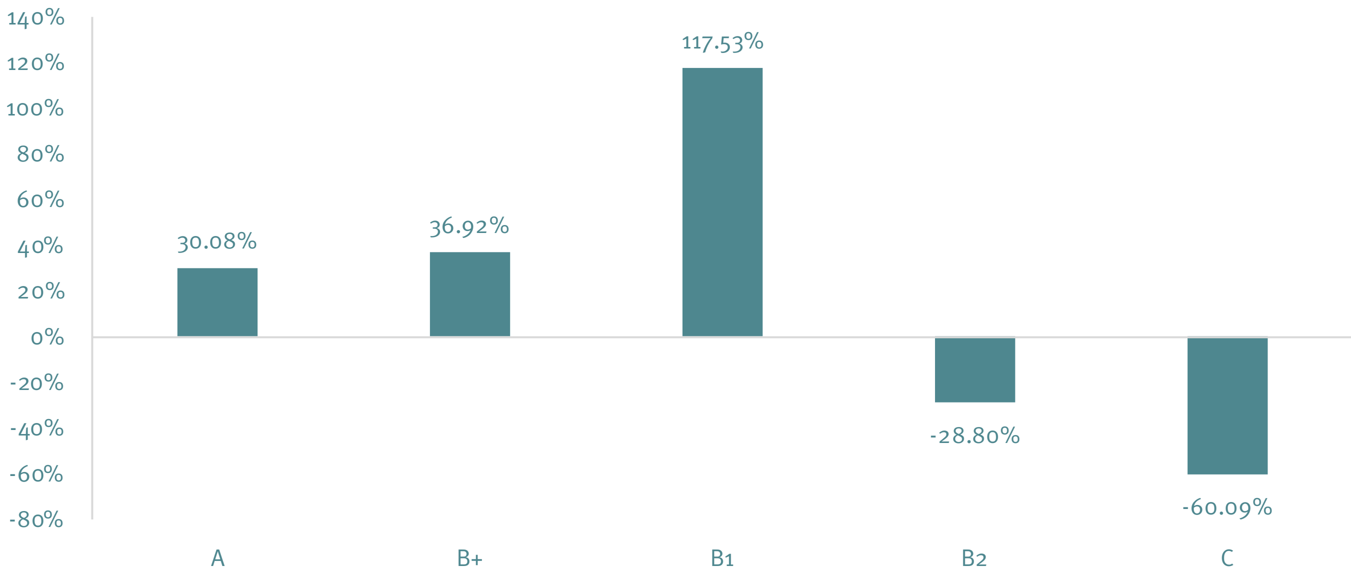


FIGURE 68: TREE CROP RISK RATING MOVEMENT 2017-2019

TABLE 31: DISSECTION OF TREE CROP DEBT BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT ($'000)
Cape York and the Gulf	dw		dw	dw	dw		
Central North	91,883	10.78%	143	643	93,651	-1,768	-1.89%
Charleville - Longreach	0	0.00%	0	0	dw		
Eastern Darling Downs	69,527	8.16%	85	818	50,039	19,488	38.95%
Northern Coastal - Mackay to Cairns	250,927	29.45%	312	804	208,936	41,991	20.10%
Southern Coastal - Curtis to Moreton	408,964	48.00%	391	1,046	301,718	107,246	35.55%
West and South West	dw		dw	dw	dw		
Western Downs and Central Highlands	30,455	3.57%	24	1,269	17,222	13,232	76.83%

INDUSTRY ENVIRONMENT

- Over the 2017 to 2019 period there have been some significant occurrences which continue to impact and shape the tree crop industry. The food tampering incident in Australian strawberries occurred in late 2018 and has led to much of the industry transforming the process of packaging food and increased surveillance activities both on-farm and through the supply chain (Food Standards Australia and New Zealand, 2019).
- Additionally, ongoing drought conditions continued to affect the production, due to reduced availability of water. The tree crop industry has also been affected with many having to de-fruit trees to reduce long-term impacts.
- The Queensland fruit and nut industry make up 32.39 per cent of the Australian fruit and nut industry, with the gross value of fruit and nut commodities produced in Queensland $1,613.43 million; for Australia this was $4,981.04 million (Figure 69) (ABS, 2020b).
- Table 32 identifies the GVP for selected fruit and nuts in Queensland that have been high performers over the 2017 to 2019 period.
- Since 2017, banana growing GVP has reduced somewhat, from $525.77 million in 2017, down to $468.32 million in 2019.
- The GVP for avocado growing has increased since 2017; from $158.22 million to $203.59 million, however the 2019 GVP is slightly reduced on 2018 which was $210.87 million. There has continued to be significant investment made in avocados in the past few years (particularly in planting trees) to meet increased market demand.
- Macadamia production has increased year on year since 2016-17. From $139.42 million in 2017, to $153.05 million in 2018 and finally $154.46 million in 2019.
- Overall the fruit and nut GVP has increased by 10.67 per cent from 2017 to 2019.

TABLE 32: SELECTED TREE CROP GVP FOR QUEENSLAND

FRUIT AND NUTS ($M)	2016-17	2017-18	2018-19
Bananas	525.77	472.01	468.32
Avocado	158.22	210.87	203.59
Macadamia	139.42	153.05	154.46
TOTAL FRUIT AND NUTS	**1457.86**	**1545.03**	**1613.43**

Note. Reprinted from *Agricultural Commodities Produced, Australia 2016-17, ABS, 2017*, retrieved from https://www.abs.gov.au/AUSSTATS/abs@.nsf/DetailsPage/7503.02016-17?OpenDocument; Reprinted from Agricultural Commodities Produced, Australia 2017-18, ABS, 2018, retrieved from https://www.abs.gov.au/AUSSTATS/abs@.nsf/DetailsPage/7503.02017-18?OpenDocument; Reprinted from Agricultural Commodities Produced, Australia 2018-19, ABS, 2019, retrieved from https://www.abs.gov.au/AUSSTATS/abs@.nsf/DetailsPage/7503.02018-19?OpenDocument

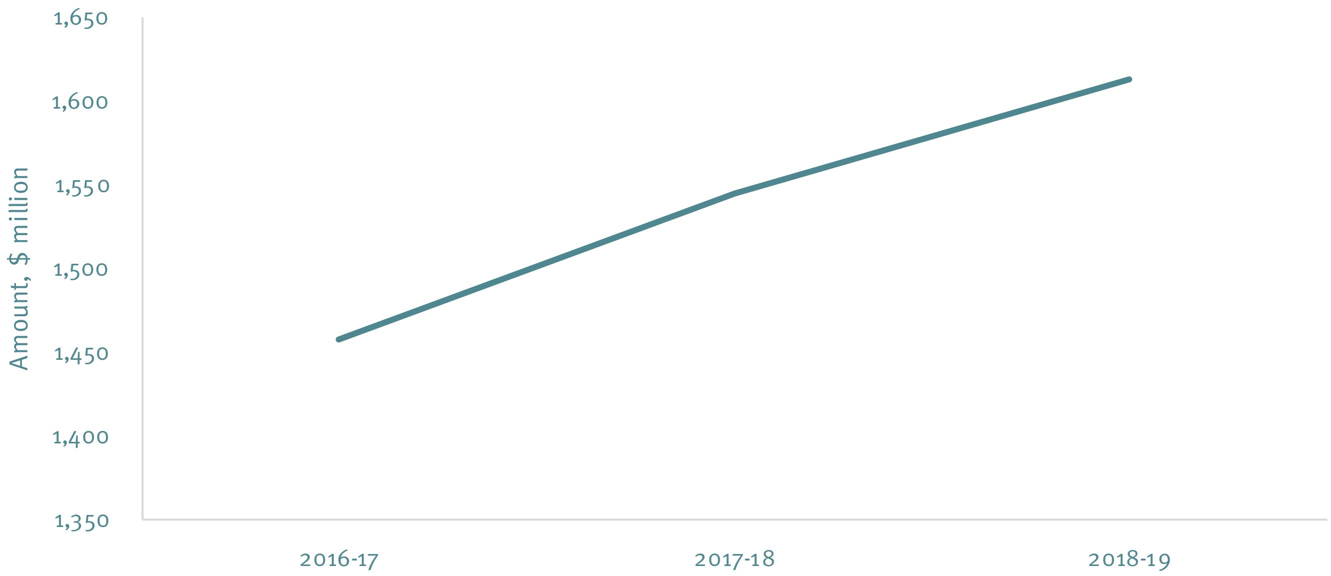


FIGURE 69: GROSS VALUE OF FRUIT AND NUTS IN QUEENSLAND
Summary of Queensland statistics for fruit, nuts and vegetables
Note. Reprinted from *Agricultural Commodities Produced, Australia 2018-19, ABS, 2019*, retrieved from https://www.abs.gov.au/AUSSTATS/abs@.nsf/DetailsPage/7503.02018-19?OpenDocument

FARM MANAGEMENT DEPOSITS

- FMDs for horticulture are considered below as the reporting function for FMDs does not report on tree crops or vegetables individually.
- Figure 70 depicts the FMDs for horticulture. As at December 2017, there were 1,119 horticulture accounts; this decreased to 1,033 in 2019, which is a reduction of 86 accounts or 7.69 per cent. Horticulture makes up 11.28 per cent of FMD account holders.

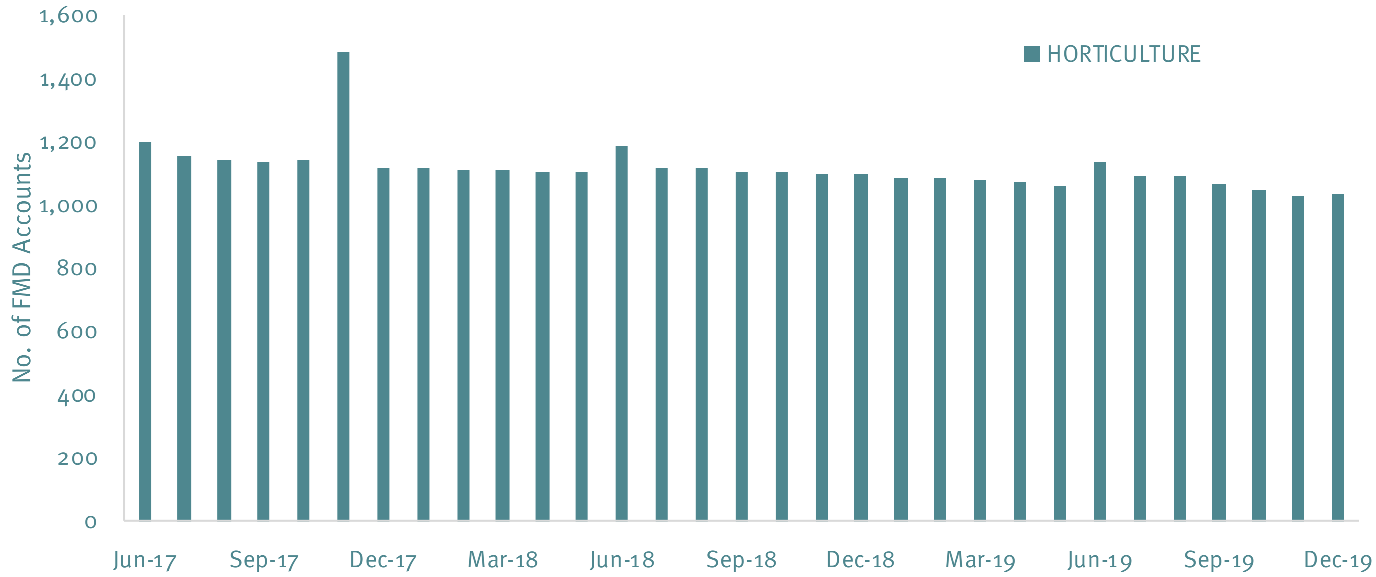


FIGURE 70: NUMBER OF HORTICULTURE FMD ACCOUNTS IN QUEENSLAND
Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

- FMDs by value are depicted in Figure 71. Value of horticulture deposits in December 2017 was $161.06 million. This reduced to $157.49 million in December 2019.

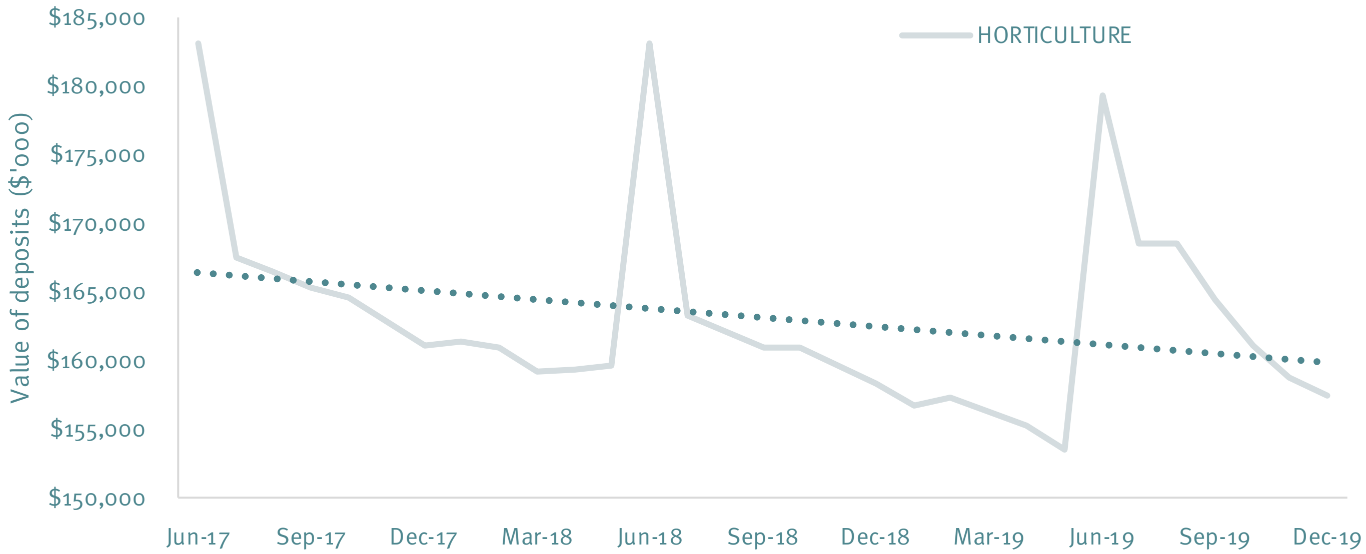


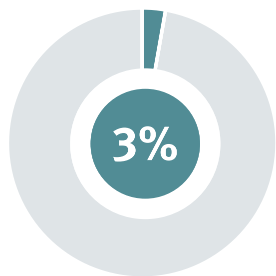
FIGURE 71: VALUE OF HORTICULTURE FARM MANAGEMENT DEPOSITS ($'000) IN QUEENSLAND JULY 2017- DEC 2019

Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

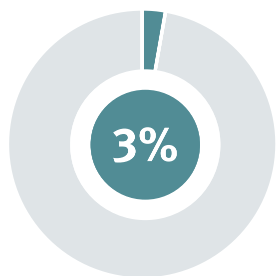
Vegetables represent 3 per cent of total rural debt in 2019, up $13 million or 3 per cent in value from 2017.

The number of vegetable borrowers rose and the proportion of vegetable debt rated viable (A) decreased by 7 per cent.

PERCENTAGE OF BORROWERS



PERCENTAGE OF TOTAL DEBT



Average debt per borrower

$963 thousand

HORTICULTURE - VEGETABLES

VEGETABLES AT A GLANCE

TABLE 33: SUMMARY OF VEGETABLE DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	537,127	523,226	13,901	2.66%
Number of borrowers	558	538	20	3.72%
Average $ debt per borrower ($'000)	963	973	-10	-1.02%

2.66% increase in total debt

Horticulture – vegetables, includes both vegetable growing indoors and outdoors.

KEY FINDINGS

- Since 2017, the debt level for vegetable borrowers has increased by 2.66 per cent, or $13.90 million.
- Vegetable borrowers have increased slightly by 3.72 per cent, or 20 borrowers.
- Average debt per borrower has also remained steady with a small decrease of 1.02 per cent to an average of $962.59 thousand.
- When considering vegetable debt proportion by risk rating (Figure 73), there has been some movement observed. Viable (A) rated debt has decreased from 81.45 per cent in 2017 to 73.73 per cent in 2019. Potentially viable long term (B+) rated debt has remained similar to 2017 levels, those experiencing debt servicing difficulties (B1 and B2) has seen a decrease from 3.20 per cent in 2017 to 1.04 per cent in 2019 and 0.99 per cent in 2017 to 3.43 per cent in 2019 respectively. Non-viable (C) rated debt has seen a large increase from 0.90 per cent in 2017 to 7.67 per cent in 2019.
- The majority of vegetable borrowers are in the viable (A) rated debt, totaling 77.42 per cent.
- Numerically, viable (A) rated debt has decreased by $30.17 million or down 7.08 per cent (Table 34). Potentially viable long-term (B+) rated debt has increased by $5.44 million.
- Those experiencing debt servicing difficulties under present circumstances (top 50 per cent) (B1) have decreased by over $11.13 million or 66.50 per cent and those experiencing debt servicing difficulties under present circumstances (bottom 50 per cent) (B2), have increased by 257.48 per cent. Non-viable debt (C) rated debt has increased by over $36.49 million or 777.67 per cent. However, the bottom three rated debt areas only make up 12.14 per cent of total vegetable debt.

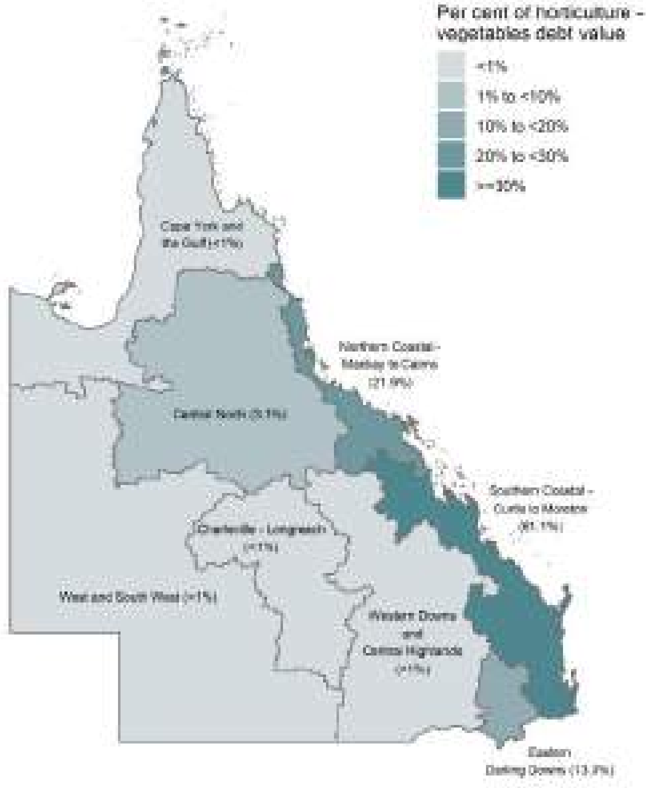


FIGURE 72: PER CENT OF VEGETABLE DEBT VALUE BY REGION

- The region with the greatest amount of vegetable debt is the Southern Coastal – Curtis to Moreton with a value of $328.28 million which is 61.12 per cent of total vegetable debt (Table 35).
- The second most indebted vegetable region is the Northern Coastal – Mackay to Cairns with a value of $117.59 million or 21.89 per cent of the vegetable debt.

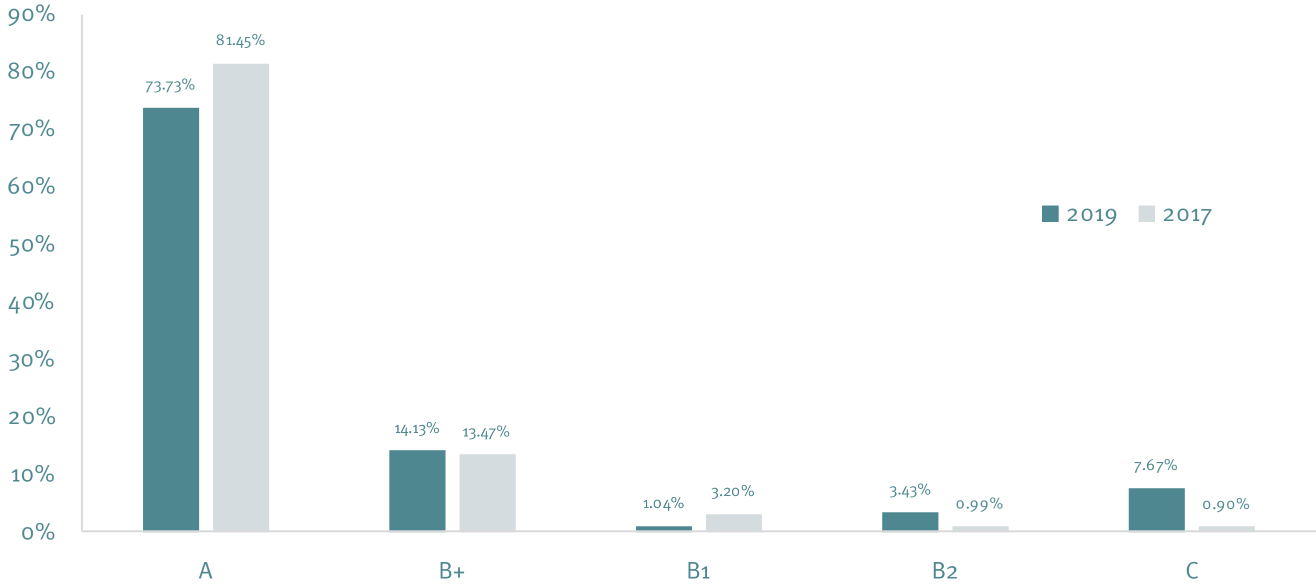


FIGURE 73: VEGETABLES DEBT PROPORTION BY RISK RATING

TABLE 34: VEGETABLE DEBT, NUMBER OF BORROWERS AND AVERAGE DEBT BY LOAN RATING

RATING	A	B+	B1	B2	C	TOTAL
2019 total debt ($'000)	396,008	75,899	5,607	18,438	41,176	537,127
Borrowers	432	72	17	11	26	558
Average debt per borrower ($'000)	917	1,054	330	1,676	1,584	963
2017 total debt ($'000)	426,175	70,463	16,739	5,158	4,691	523,226
$ movement ($'000)	-30,167	5,436	-11,132	13,280	36,485	13,901
% movement	-7.08%	7.71%	-66.50%	257.48%	777.76%	2.66%

MOVEMENT OF VEGETABLE DEBT VALUE SINCE 2017 BY RATING

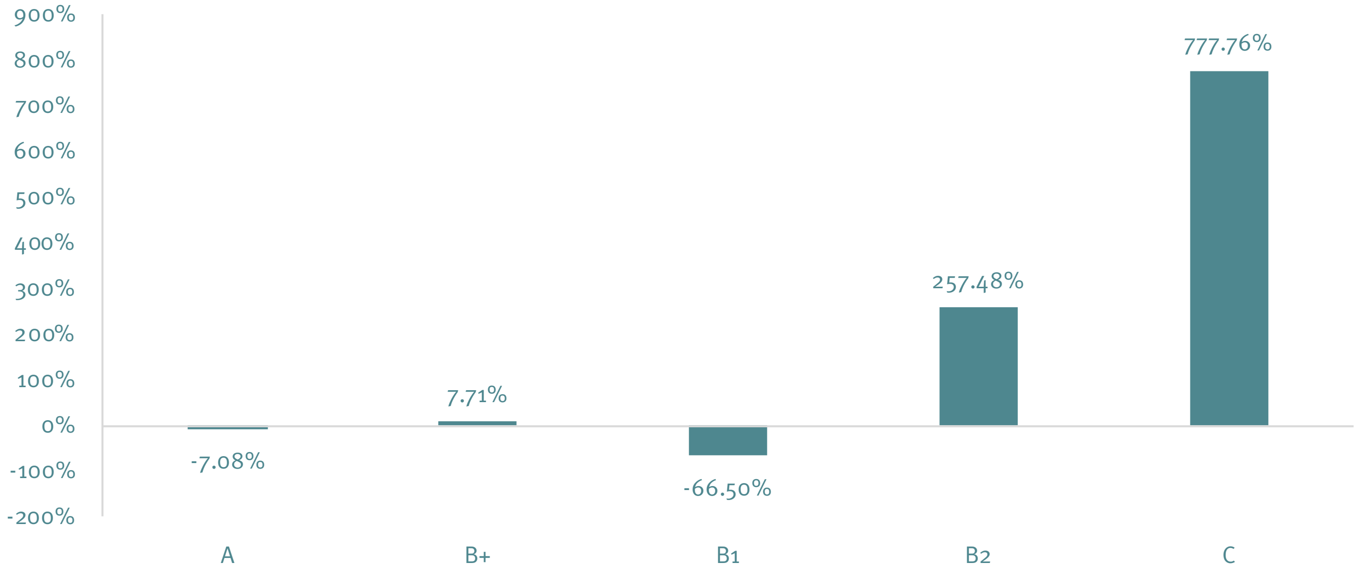


FIGURE 74: VEGETABLE RISK RATING MOVEMENT 2017-2019

TABLE 35: DISSECTION OF VEGETABLE DEBT BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT ($'000)
Cape York and the Gulf	dw		dw	dw	0		
Central North	16,385	3.05%	21	780	19,298	-2,913	-15.09%
Charleville - Longreach	0	0.00%	0	0	0	0	
Eastern Darling Downs	69,807	13.00%	89	784	60,540	9,267	15.31%
Northern Coastal - Mackay to Cairns	117,588	21.89%	101	1,164	120,693	-3,105	-2.57%
Southern Coastal - Curtis to Moreton	328,286	61.12%	332	989	319,359	8,927	2.80%
West and South West	0	0.00%	0	0	0	0	
Western Downs and Central Highlands	dw		dw	dw	3,336		

INDUSTRY ENVIRONMENT

- Through 2017 to 2019, the Queensland vegetable industry has been affected mainly by reduced production due to low water availability caused by drought.
- The Queensland vegetable industry makes up almost a third (29.76 per cent) of the Australian vegetable industry with the gross value of vegetable commodities produced in Queensland at $1,301.85 million in 2018-19; for Australia this was $4,374.23 million (Figure 75) (ABS, 2020b).
- Table 36 identifies the GVP for selected vegetables in Queensland over the 2017 to 2019 period.
- Since 2017, there has been a 32.98 per cent decline in tomato production due to reduced yield and low availability of water from ongoing drought conditions.
- For potatoes, there has been a 48.23 per cent increase from 2017 to 2019 with area of production remaining similar and yield increasing from 30.2 t/ha to 32.9 t/ha (ABS, 2020b).

TABLE 36: SELECTED VEGETABLE GVP FOR QUEENSLAND

VEGETABLE ($M)	2016-17	2017-18	2018-19
Tomato	179.45	164.98	120.27
Potatoes	41 .32	35.59	61.25
TOTAL VEGETABLES	**1,265.80**	**1,253.92**	**1,301.85**

Note. Reprinted from *Agricultural Commodities Produced, Australia 2016-17, ABS, 2017*, retrieved from https://www.abs.gov.au/AUSSTATS/abs@.nsf/DetailsPage/7503.02016-17?OpenDocument; Reprinted from Agricultural Commodities Produced, Australia 2017-18, ABS, 2018, retrieved from https://www.abs.gov.au/AUSSTATS/abs@.nsf/DetailsPage/7503.02017-18?OpenDocument; Reprinted from Agricultural Commodities Produced, Australia 2018-19, ABS, 2019, retrieved from https://www.abs.gov.au/AUSSTATS/abs@.nsf/DetailsPage/7503.02018-19?OpenDocument

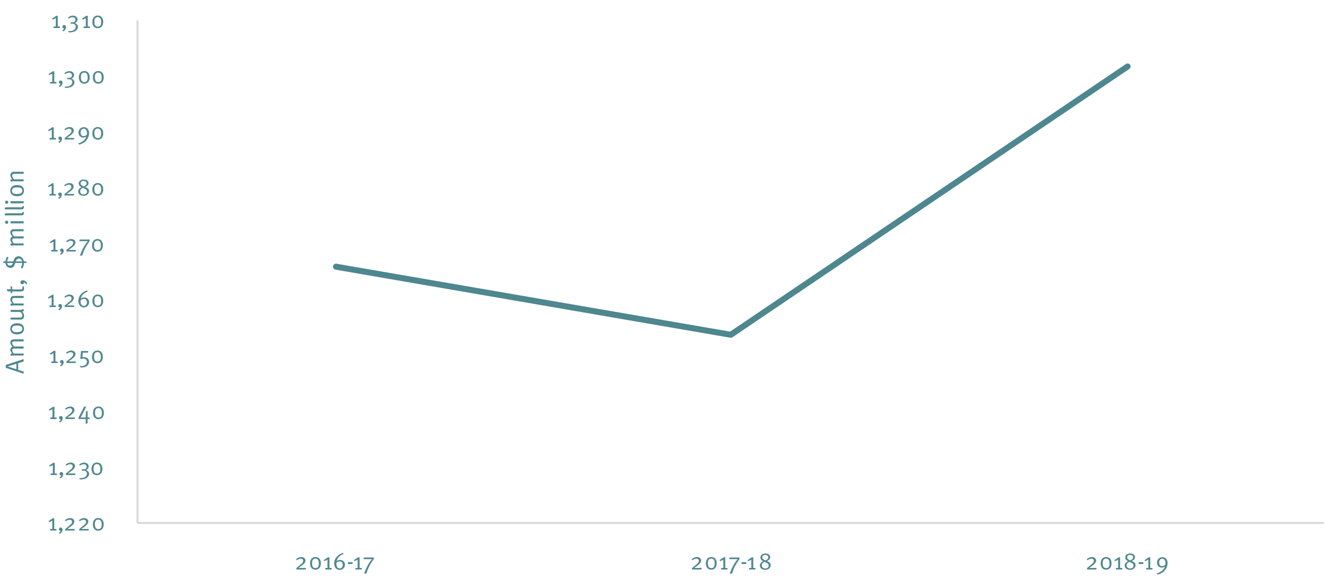


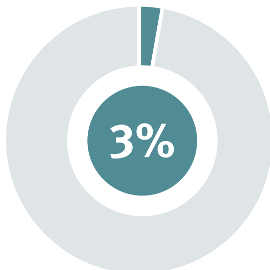
FIGURE 75: GROSS VALUE OF VEGETABLES IN QUEENSLAND

Note. Reprinted from *Agricultural Commodities Produced, Australia 2018-19, ABS, 2019*, retrieved from https://www.abs.gov.au/AUSSTATS/abs@.nsf/DetailsPage/7503.02018-19?OpenDocument

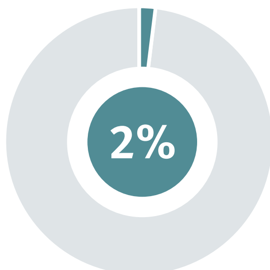
Intensive Livestock represents 2 per cent of total rural debt in 2019, up $10 million or 2 per cent in value from 2017.

The number of intensive livestock borrowers remained steady and the proportion of intensive livestock debt rated viable (A) decreased by 8 per cent.

PERCENTAGE OF BORROWERS



PERCENTAGE OF TOTAL DEBT



Average debt per borrower

$813 thousand

INTENSIVE LIVESTOCK

INTENSIVE LIVESTOCK AT A GLANCE

TABLE 37: SUMMARY OF INTENSIVE LIVESTOCK DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	467,383	457,344	10,038	2.19%
Number of borrowers	575	580	-5	-0.86%
Average $ debt per borrower ($'000)	813	789	24	3.08%

2.19% increase in total debt

Intensive livestock includes poultry farming for meat and eggs, deer farming, horse farming, pig farming and other farming not elsewhere identified.

KEY FINDINGS

- Since 2017, the debt level for intensive livestock has had a small increase of 2.19 per cent, or over $10.04 million.
- Intensive livestock borrowers have remained steady with a small decrease of 0.86 per cent, or by five borrowers.
- Average debt per borrower has also remained steady at $812.84 thousand, an increase of 3.08 per cent since 2017.
- The majority (81.39 per cent) of borrowers remain in viable (A) rated debt.
- The risk rating of borrowers by proportion (Figure 77), displays some varied changes for the intensive livestock industry since 2019. The proportion of viable (A) borrowers has decreased from 86.48 per cent to 77.80 per cent and potentially viable long-term (B+) have also decreased from 10.29 per cent to 6.01 per cent. Those experiencing debt servicing difficulties (B1 and B2) have both had increases in debt proportion with 1.04 per cent in 2017 to 9.20 per cent in 2019 and 0.34 per cent in 2017 to 3.08 per cent in 2019. Non-viable (C) rated debt has increased from 1.84 per cent in 2017 to 3.91 per cent in 2019.
- Numerically, viable (A) and potentially viable long term (B+) rated debt have both experienced decreases in overall debt by 8.07 per cent and 40.29 per cent respectively (Table 38). Those experiencing debt difficulties (B1 and B2) and non-viable (C) rated debt have all experienced increases.

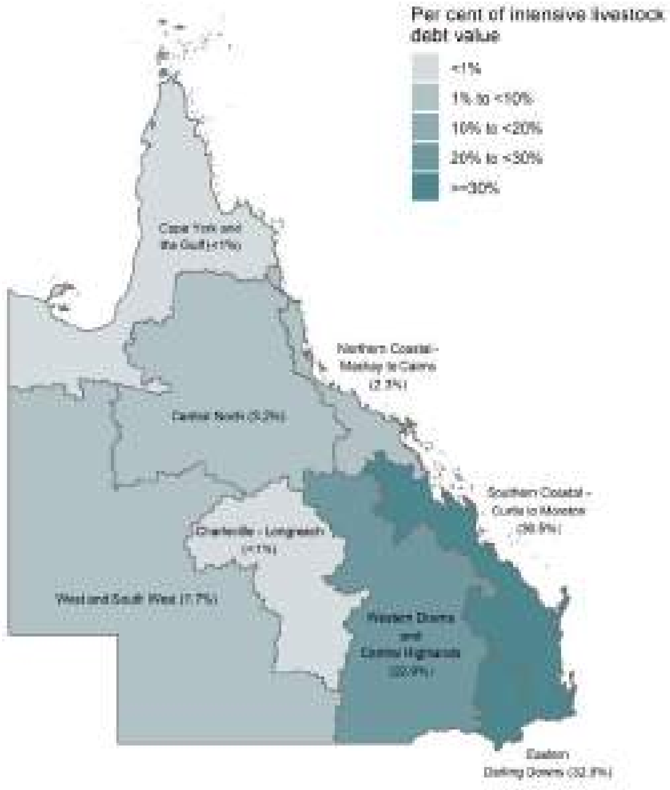


FIGURE 76: PER CENT OF INTENSIVE LIVESTOCK DEBT VALUE BY REGION

- The region with the greatest amount of intensive livestock debt for 2019 was the Southern Coastal – Curtis to Moreton with $170.38 million in debt (Table 39). The second most indebted region for intensive livestock was the Eastern Darling Downs with a value of just over $153.12 million. These two regions are also where the majority of borrowers are located.

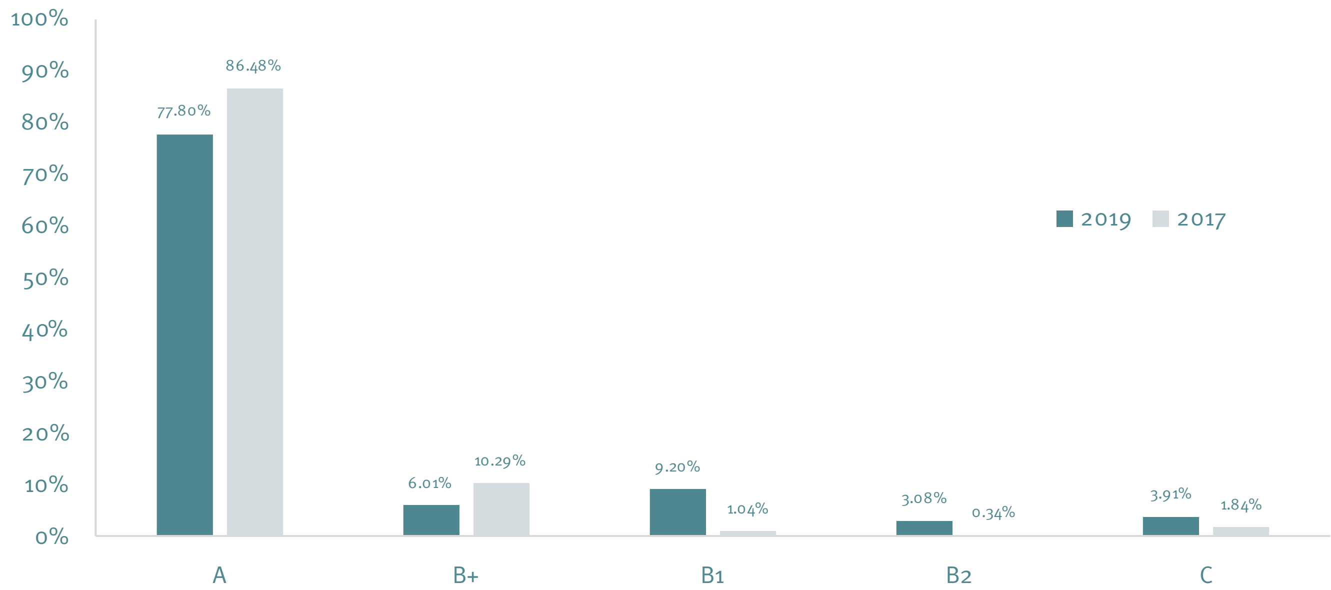


FIGURE 77: INTENSIVE LIVESTOCK DEBT PROPORTION BY RISK RATING

TABLE 38: INTENSIVE LIVESTOCK DEBT, NUMBER OF BORROWERS AND AVERAGE DEBT BY LOAN RATING

RATING	A	B+	B1	B2	C	TOTAL
2019 total debt ($'000)	363,601	28,108	42,988	14,389	18,296	467,383
Borrowers	468	52	32	9	16	575
Average debt per borrower ($'000)	777	541	1,343	1,599	1,143	813
2017 total debt ($'000)	395,531	47,078	4,736	1,578	8,422	457,344
$ movement ($'000)	-31,930	-18,970	38,252	12,811	9,874	10,038
% movement	-8.07%	-40.29%	807.65%	812.02%	117.24%	2.19%

Note: Borrower numbers do not sum exactly to total, due to variation in total reportable figures.

MOVEMENT OF INTENSIVE LIVESTOCK DEBT VALUE SINCE 2017 BY RATING

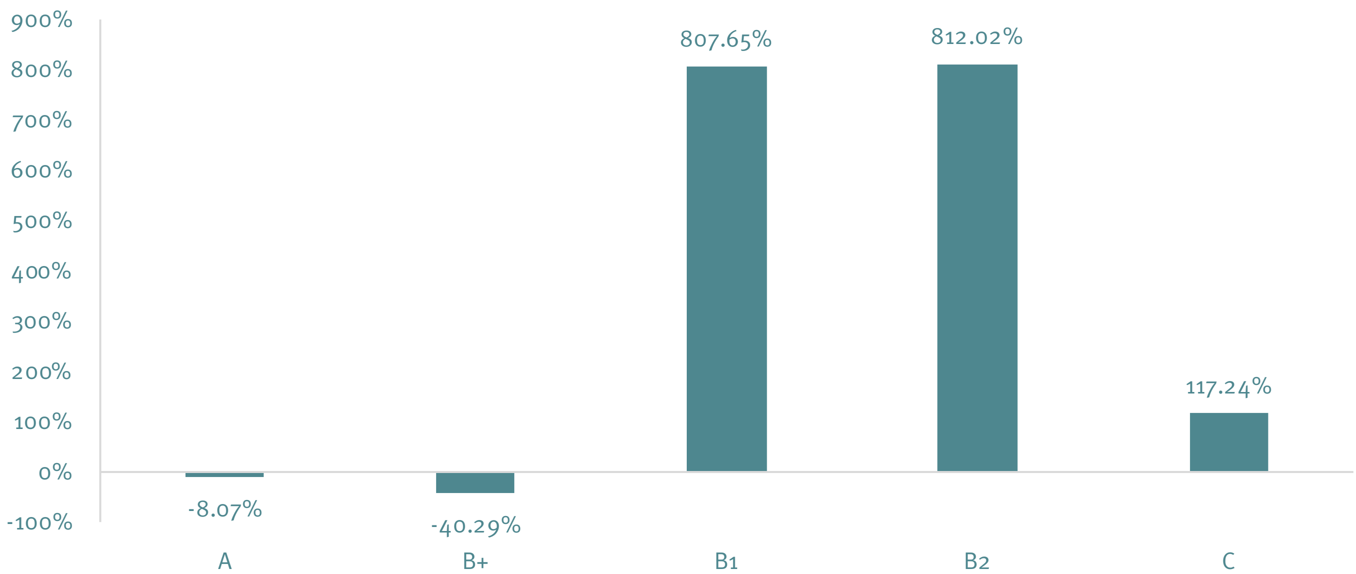


FIGURE 78: INTENSIVE LIVESTOCK RISK RATING MOVEMENT 2017-2019

TABLE 39: DISSECTION OF INTENSIVE LIVESTOCK DEBT BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT ($'000)
Cape York and the Gulf	0	0.00%	0	0	dw		
Central North	15,124	3.24%	22	687	12,561	2,563	20.40%
Charleville - Longreach	3,088	0.66%	14	221	1,136	1,951	171.69%
Eastern Darling Downs	153,118	32.76%	144	1,063	181,865	-28,747	-15.81%
Northern Coastal - Mackay to Cairns	10,531	2.25%	36	293	11,782	-1,250	-10.61%
Southern Coastal - Curtis to Moreton	170,383	36.45%	281	606	176,521	-6,138	-3.48%
West and South West	8,168	1.75%	7	1,167	dw		
Western Downs and Central Highlands	106,971	22.89%	73	1,465	69,778	37,194	53.30%

INDUSTRY ENVIRONMENT

- The Queensland Farmers' Federation estimates that the poultry industry in Queensland is represented by approximately 90 farms and the pork industry is represented by 280 commercial pig herds (Queensland Farmers' Federation, 2020).
- The GVP for poultry in Queensland was $587 million in 2018-19 (ABS, 2020b). In 2016-17, it was $651 million; thus there has been a decreased of 9.82 per cent (ABS, 2020b).
- The GVP for eggs in Queensland was $244 million in 2018-19 (ABS, 2020b). In 2016-17, it was $234 million; thus there has been an increase of 4.11 per cent (ABS, 2020b).
- The GVP for pigs in Queensland was $289 million in 2018-19 (ABS, 2020b). In 2016-17, it was $293 million; thus there has been a decrease of 1.39 per cent (ABS, 2020b).
- High grain prices have impacted feed costs due to prolonged drought conditions.

FARM MANAGEMENT DEPOSITS

- For intensive livestock producers, FMD accounts in December 2017 made up 330. By December 2019 this had decreased to 298, a 9.70 per cent decline (Figure 79).

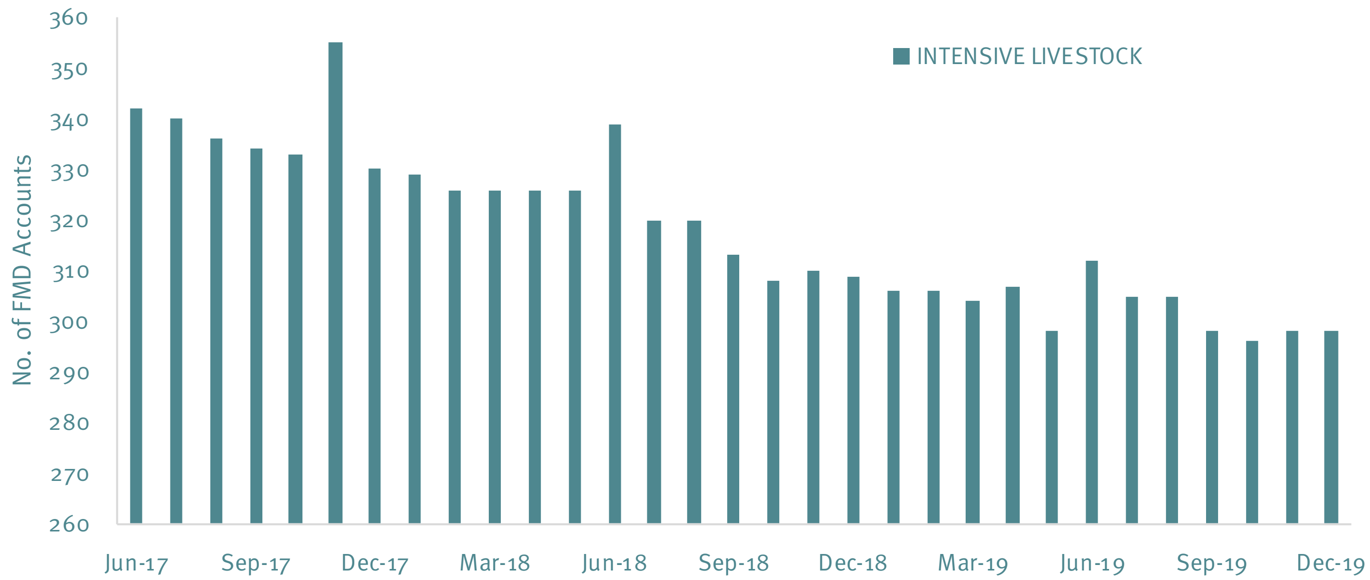


FIGURE 79: NUMBER OF INTENSIVE LIVESTOCK FMD ACCOUNTS IN QUEENSLAND

Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

- The value of FMDs for intensive livestock has increased slightly by 8.89 per cent over the 2017 to 2019 period (Figure 80). In December 2017, the value of FMDs was $30.39 million and in December 2019 they were $33.09 million.

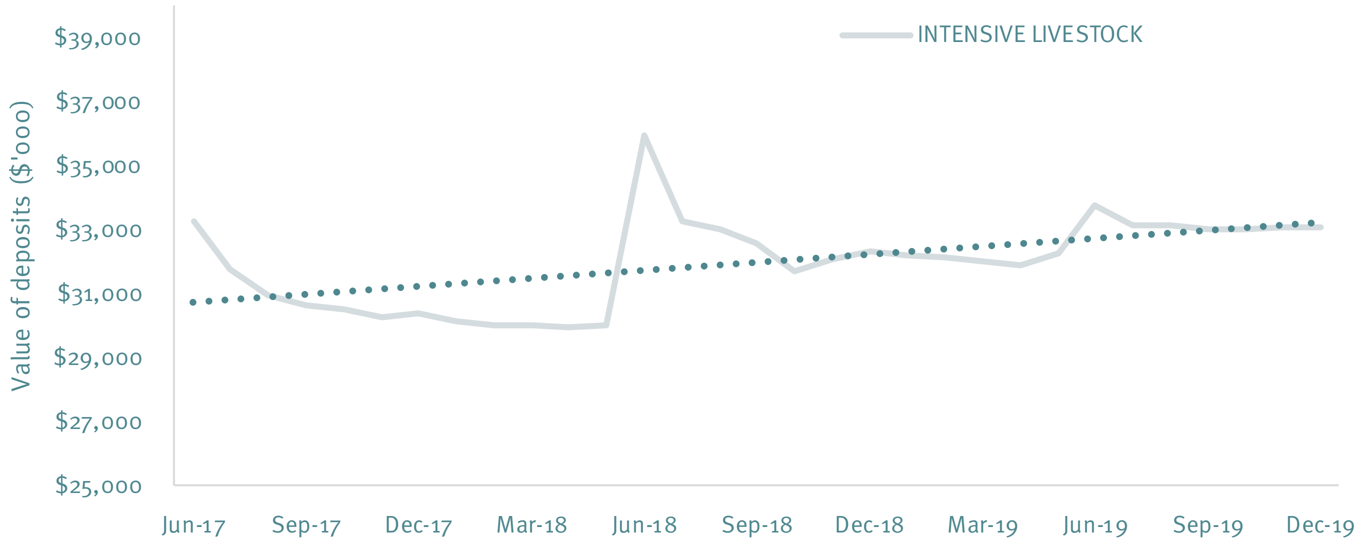


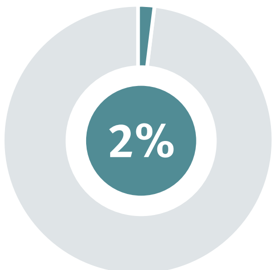
FIGURE 80: VALUE OF INTENSIVE LIVESTOCK FARM MANAGEMENT DEPOSITS ($'000) IN QUEENSLAND JULY 2017- DEC 2019

Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

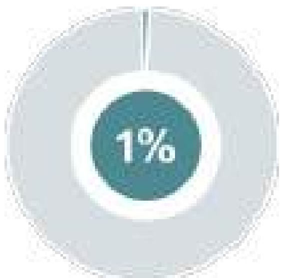
Dairy represents 1 per cent of total rural debt in 2019, up $10 million or 4 per cent in value from 2017.

The number of dairy borrowers decreased and the proportion of dairy debt rated viable (A) decreased by 8 per cent.

PERCENTAGE OF BORROWERS



PERCENTAGE OF TOTAL DEBT



Average debt per borrower

$590 thousand

DAIRY

DAIRY AT A GLANCE

TABLE 40: SUMMARY OF DAIRY DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	267,116	257,104	10,011	3.89%
Number of borrowers	453	528	-75	-14.20%
Average $ debt per borrower ($'000)	590	487	103	21.09%

3.89% increase in total debt

KEY FINDINGS

- Since 2017, the debt level for dairy has risen by 3.89 per cent or $10.01 million.
- The number of borrowers has decreased by 14.20 per cent, or 75 borrowers. The 2019 borrower level is back to those observed in 2011.
- The average debt per borrower has increased by 21.09 per cent to $589.66 thousand.
- The proportion of dairy debt has also changed (Figure 82). Most notably, viable (A) rated debt has decreased from 77.00 per cent in 2011 to 67.96 per cent in 2019. Potentially viable long-term (B) rated debt has increased from 9.24 per cent in 2017 to 17.30 per cent in 2019.
- The majority of dairy borrowers are in the viable (A) rated debt, totaling 78.37 per cent.
- Numerically, viable (A) rated debt has decreased by 8.31 per cent, however viable (A) rated debt levels are where the majority of borrowers remain. Potentially viable long-term (B+) rated debt has increased by 94.57 per cent (Table 41). Those experiencing debt servicing difficulties (B1 and B2) have had mixed results with an increase of 9.03 per cent in the top 50 per cent and a decrease of 49.25 per cent in the bottom 50 per cent.
- Non-viable (C) rated debt has increased by 94.45 per cent making up 6.42 per cent of overall debt for dairy.
- The region with the greatest amount of dairy debt for 2019 was Southern Coastal – Curtis to Moreton at almost $138.64 million (Table 42). This region makes up just over 51.90 per cent of dairy debt.

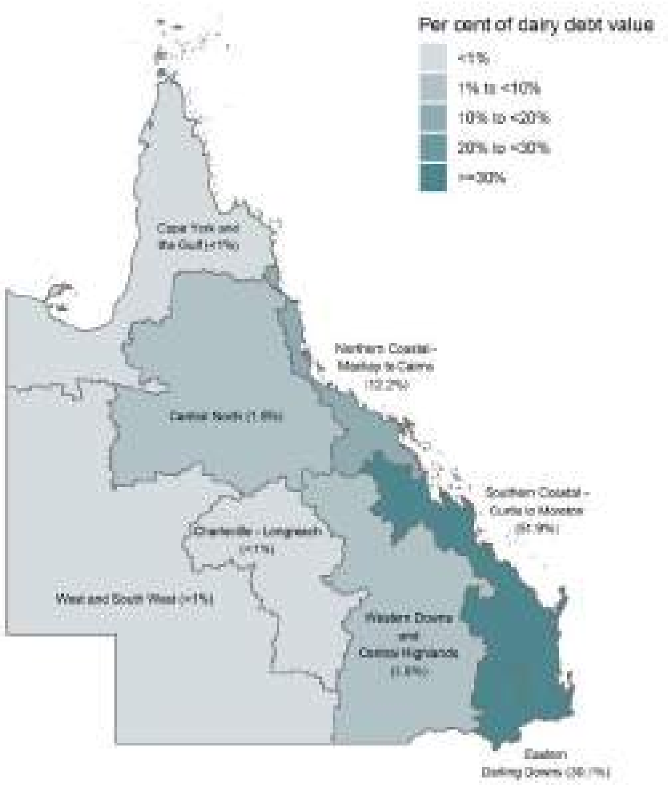


FIGURE 81: PER CENT OF DAIRY DEBT VALUE BY REGION

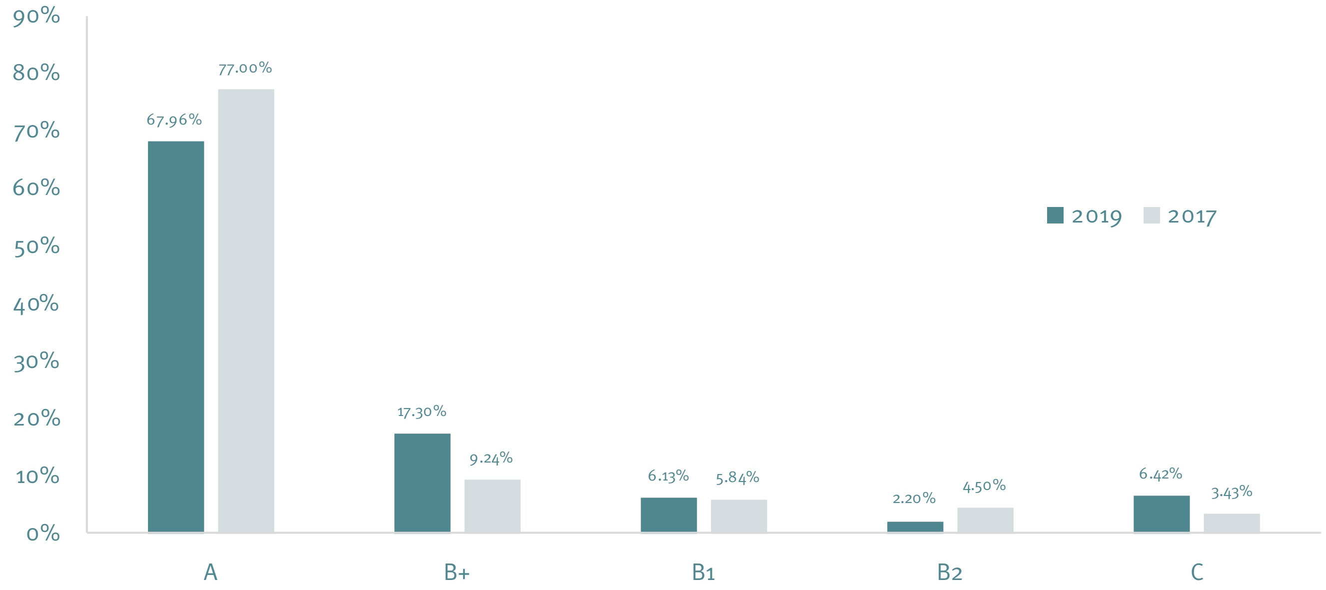


FIGURE 82: DAIRY DEBT PROPORTION BY RISK RATING

TABLE 41: DAIRY DEBT, NUMBER OF BORROWERS AND AVERAGE DEBT BY LOAN RATING

RATING	A	B+	B1	B2	C	TOTAL
2019 total debt ($'000)	181,522	46,218	16,362	5,867	17,147	267,116
Borrowers	355	55	20	8	16	453
Average debt per borrower ($'000)	511	840	818	733	1,072	590
2017 total debt ($'000)	197,965	23,754	15,007	11,561	8,818	257,104
$ movement ($'000)	-16,444	22,465	1,356	-5,694	8,329	10,011
% movement	-8.31%	94.57%	9.03%	-49.25%	94.45%	3.89%

Note: Borrower numbers do not sum exactly to total, due to variation in total reportable figures.

MOVEMENT OF DAIRY DEBT VALUE SINCE 2017 BY RATING

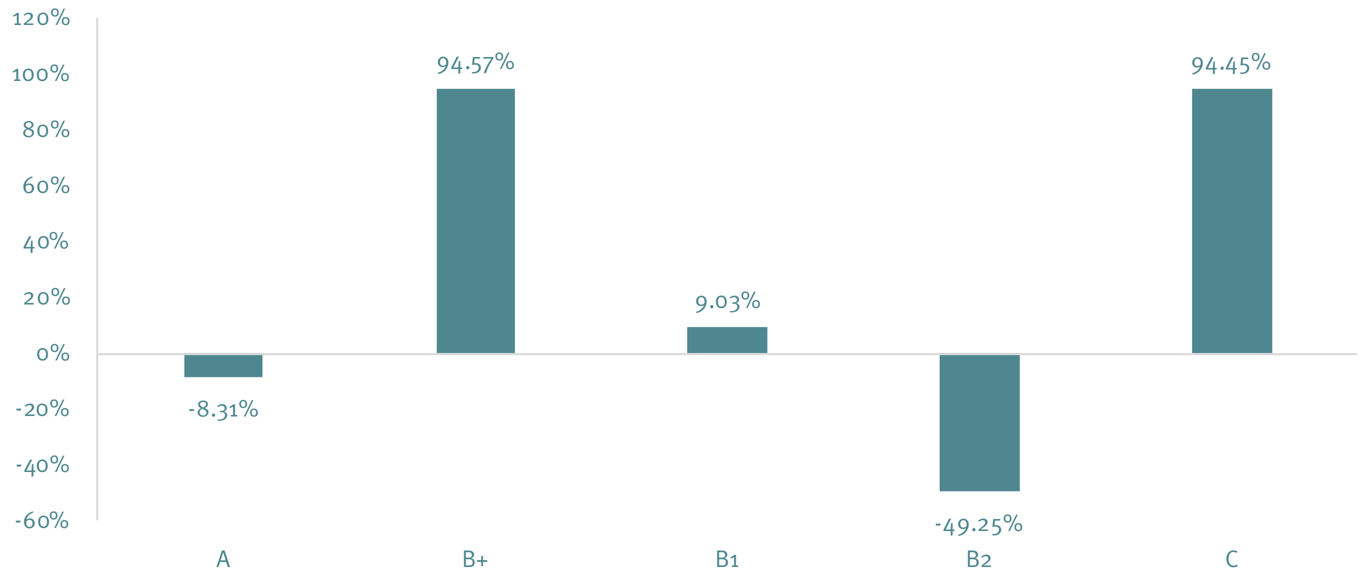


FIGURE 83: DAIRY RISK RATING MOVEMENT 2017-2019

TABLE 42: DISSECTION OF DAIRY DEBT BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT ($'000)
Cape York and the Gulf	dw		dw	dw	dw		
Central North	4,895	1.83%	9	544	3,147	1,747	55.52%
Charleville - Longreach	dw		dw	dw	dw		
Eastern Darling Downs	80,468	30.12%	156	516	85,928	-5,459	-6.35%
Northern Coastal - Mackay to Cairns	32,652	12.22%	60	544	31,875	778	2.44%
Southern Coastal - Curtis to Moreton	138,635	51.90%	210	660	124,531	14,104	11.33%
West and South West	dw		dw	dw	dw		
Western Downs and Central Highlands	10,428	3.90%	17	613	11,590	-1,162	-10.03%

INDUSTRY ENVIRONMENT

- In 2018-19, the total national dairy herd was 1.4 million, down from 1.5 million in 2016-17 (ABARES, 2020i).
- The Queensland dairy herd continues to decrease in herd size, with under 85,000 in the herd in 2019 (ABARES, 2020i).
- In 2016-17 there were 406 registered dairy farms in Queensland and in 2018-19 there were 356 (Dairy Australia, 2020). This is a 12.32 per cent decline in dairy farms in Queensland.
- According to Dairy Australia, at the end of 2018-19, Queensland produced 356.9 million litres of milk, which is just over 4 per cent of the national total (Dairy Australia, 2020a).
- As displayed in Figure 84, ABARES production of whole milk for Queensland displays a declining production of whole milk (ABARES, 2020i). Between 2017 and 2019, there was a 15.64 per cent decline in whole milk in Queensland.
- Queensland Dairy Accounting Scheme (QDAS) attributes the recent decline in production on 'reduced profitability, caused by a continuing dry seasonal conditions and high purchased feed prices, has resulted in many farmers ceasing dairying operations and milk production decreasing in Queensland' (Murphy, Warren and Bauer, 2019).
- Additionally, the production of whole milk has been declining since the late 1990s and has continued to decline along with the declining herd numbers.

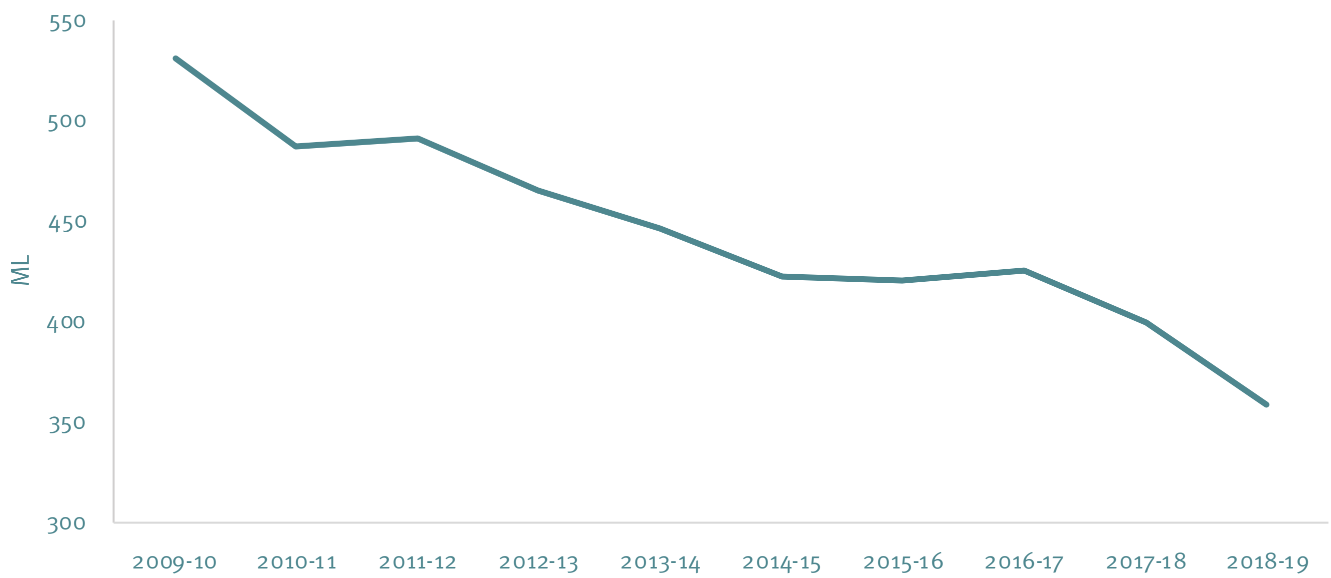


FIGURE 84: QUEENSLAND PRODUCTION OF WHOLE MILK

Note. Reprinted from *Rural commodities - dairy products*, by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2020, retrieved from https://www.agriculture.gov.au/abares/research-topics/agricultural-commodities/agricultural-commodities-trade-data#2019

- The total GVP for dairy milk in Australia in 2016-17 was $3,695 million and has since increased to $4,374 million in 2018-19 (ABS, 2020b). The returns for Queensland dairy milk was $218 million in 2018-19 (ABS, 2020b).
- As stated in the previous report, the Queensland dairy industry has been facing increased input costs for grain and hay; electricity prices have also continued to impact the industry.

FARM MANAGEMENT DEPOSITS

- In December 2017, there were 287 FMD accounts for dairy (Figure 85). In December 2019, this fell to 228. This is a 20.56 per cent decline in dairy accounts over this time.

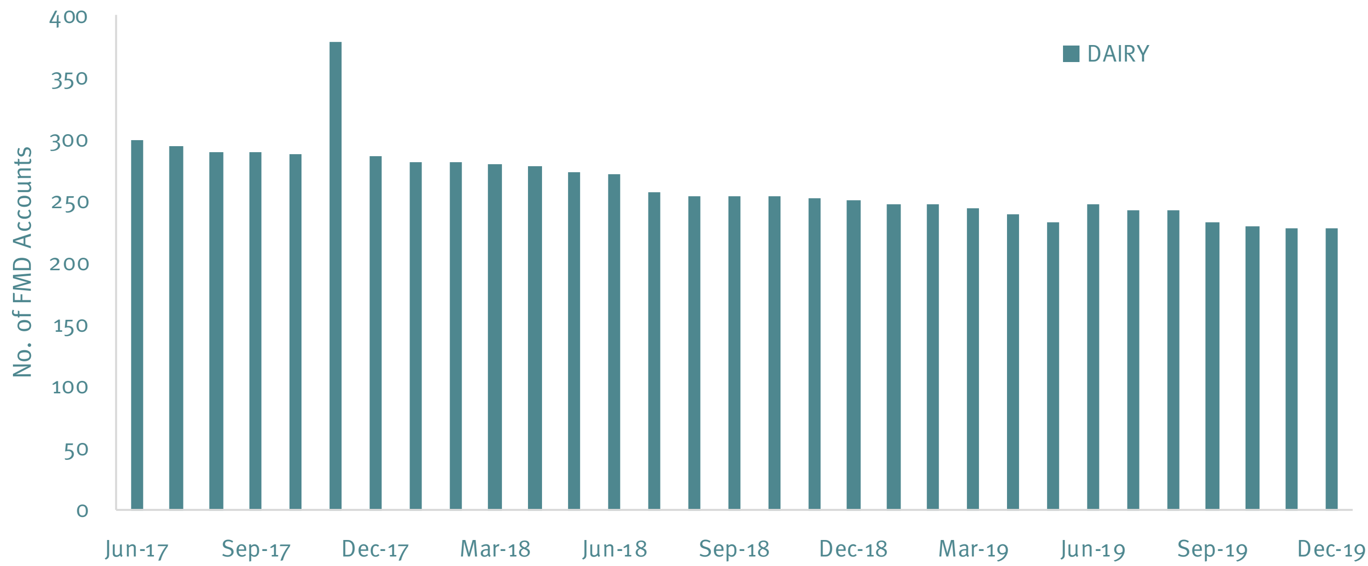


FIGURE 85: NUMBER OF DAIRY FMD ACCOUNTS IN QUEENSLAND
Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

- The value of the dairy accounts for FMDs have fallen by 10.17 per cent over the 2017 to 2019 period (Figure 86). In December 2019, the value of dairy deposits was $22.58 million and in December 2019, $20.28 million.

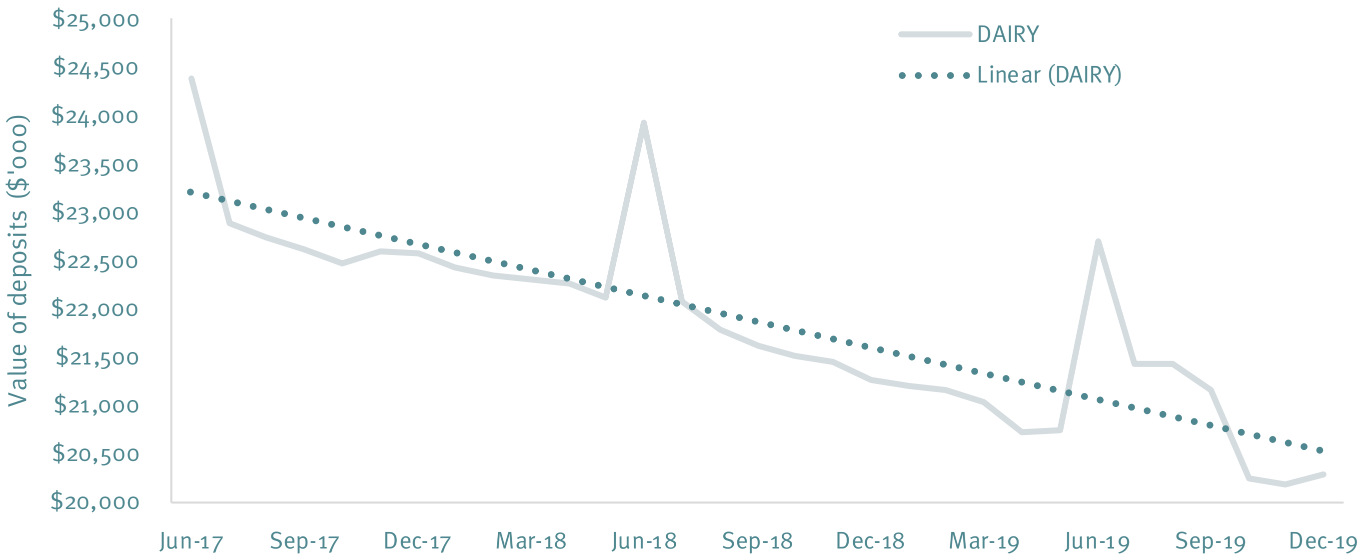
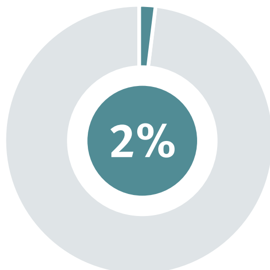


FIGURE 86: VALUE OF DAIRY FARM MANAGEMENT DEPOSITS ($'000) IN QUEENSLAND JULY 2017- DEC 2019
Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

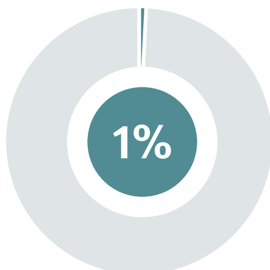
Marine represents 1 per cent of total rural debt in 2019, up $81 million or 91 per cent in value from 2017.

The number of marine borrowers rose and the proportion of marine debt rated viable (A) increased by 92 per cent.

PERCENTAGE OF BORROWERS



PERCENTAGE OF TOTAL DEBT



Average debt per borrower

$416 thousand

MARINE

MARINE AT A GLANCE

TABLE 43: SUMMARY OF MARINE DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	170,126	88,966	81,160	91.23%
Number of borrowers	409	389	20	5.14%
Average $ debt per borrower ($'000)	416	229	187	81.88%

91.23% increase in total debt

KEY FINDINGS

- Since 2017, the debt level for the marine industry has increased by 91.23 per cent, or $81.16 million. This increase in debt returns the marine industry to similar levels observed in 2011 ($140.90 million).
- The total number of borrowers has increased by 5.14 per cent, or 20 borrowers.
- Average debt per borrower has increased by 81.88 per cent to $415.96 thousand.
- Marine debt proportion by risk rating (Figure 88) has had little change since 2017.
- All loan ratings have increased in indebtedness (Table 44). Viable (A) rated debt has increased by 92.23 per cent, potentially viable long-term (B+) has increased by 67.04 per cent, those experiencing debt servicing difficulties (B1 and B2 rated debt) have increased by 658.25 and 107.02 per cent respectively and non-viable (C) rated debt has increased by 69.04 per cent.
- The majority of marine borrowers are in the viable (A) rated debt and potentially viable long-term (B+) rated debt areas, totalling 384 borrowers, or 93.89 per cent (Table 45).
- The region with the greatest level of marine debt was the Southern Coastal – Curtis to Moreton with $89.88 million of debt. This is followed by the Northern Coastal – Mackay to Cairns region with $78.17 million of debt. Together, these regions make up 98.78 per cent of debt.

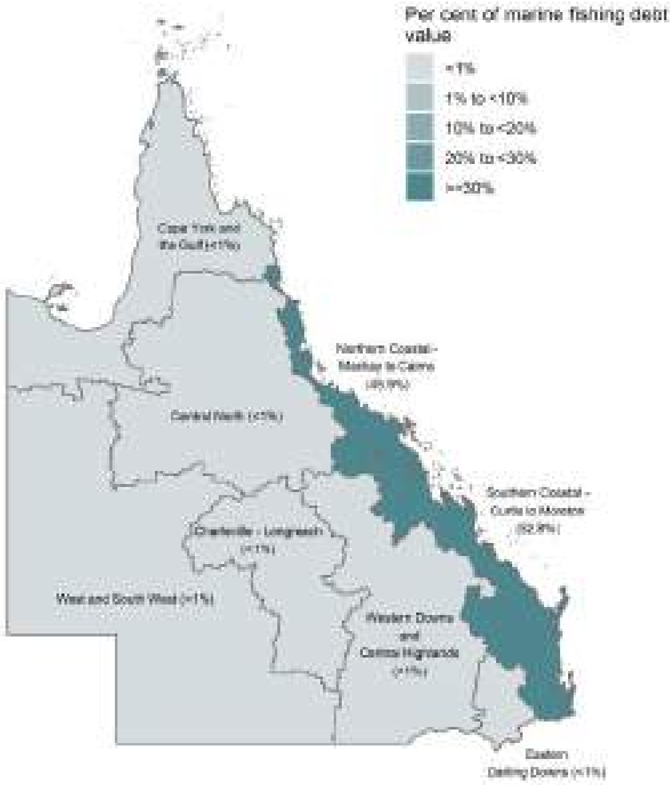


FIGURE 87: PER CENT OF MARINE DEBT VALUE BY REGION

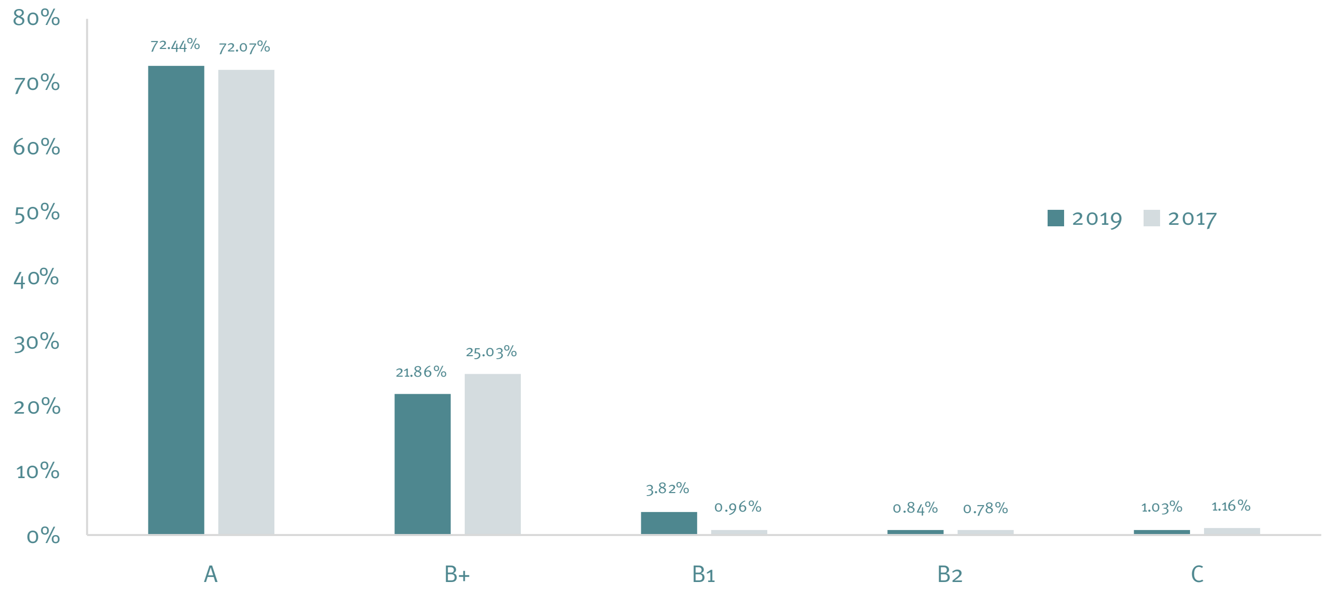


FIGURE 88: MARINE DEBT PROPORTION BY RISK RATING

TABLE 44: MARINE DEBT, NUMBER OF BORROWERS AND AVERAGE DEBT BY LOAN RATING

RATING	A	B+	B1	B2	C	TOTAL
2019 total debt ($'000)	123,245	37,194	6,503	1,434	1,751	170,126
Borrowers	332	52	12	6	8	409
Average debt per borrower ($'000)	371	715	542	239	219	416
2017 total debt ($'000)	64,113	22,266	858	693	1,036	88,966
$ movement ($'000)	59,131	14,927	5,645	741	715	81,160
% movement	92.23%	67.04%	658.25%	107.02%	69.04%	91.23%

Note: Borrower numbers do not sum exactly to total, due to variation in total reportable figures.

MOVEMENT OF MARINE DEBT VALUE SINCE 2017 BY RATING

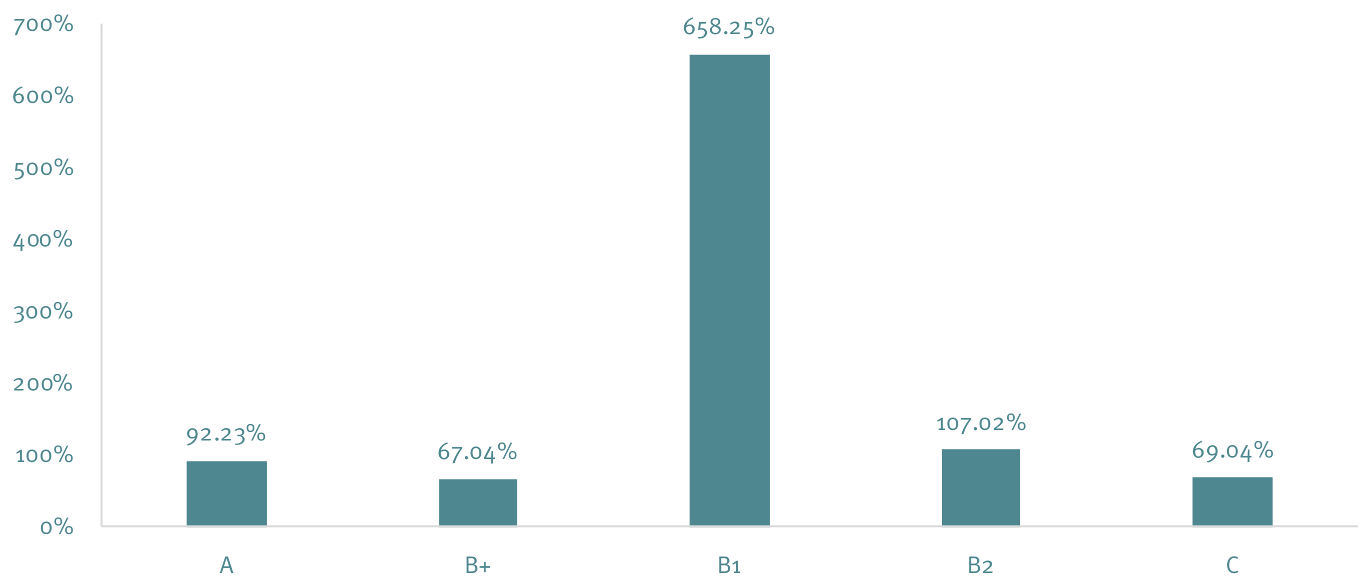


FIGURE 89: MARINE RISK RATING MOVEMENT 2017-2019

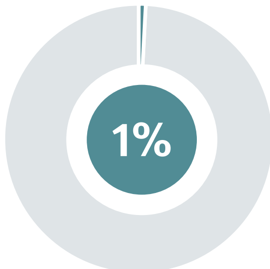
TABLE 45: DISSECTION OF MARINE DEBT BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT ($'000)
Cape York and the Gulf	448	0.26%	8	56	1,680	-1,232	-73.34%
Central North	912	0.54%	10	91	1,007	-95	-9.46%
Charleville - Longreach	dw		dw	dw	0		
Eastern Darling Downs	dw		dw	dw	dw		
Northern Coastal - Mackay to Cairns	78,166	45.95%	142	550	21,693	56,473	260.32%
Southern Coastal - Curtis to Moreton	89,875	52.83%	245	367	64,512	25,363	39.31%
West and South West	dw		dw	dw	dw		
Western Downs and Central Highlands	0	0.00%	0	0	0		

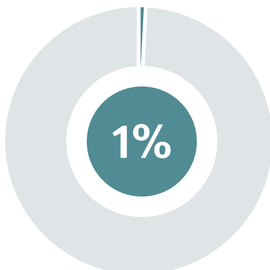
Sheep represents 1 per cent of total rural debt in 2019, up $21 million or 16 per cent in value from 2017.

The number of sheep borrowers rose and the proportion of sheep debt rated viable (A) increased by 5 per cent.

PERCENTAGE OF BORROWERS



PERCENTAGE OF TOTAL DEBT



Average debt per borrower

$622 thousand

SHEEP/WOOL

SHEEP/WOOL AT A GLANCE

TABLE 46: SUMMARY OF SHEEP/WOOL DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	152,991	131,594	21,397	16.26%
Number of borrowers	246	226	20	8.85%
Average $ debt per borrower ($'000)	622	582	40	6.81%

16.26% increase in total debt

KEY FINDINGS

- Since 2017, the total debt for sheep/wool has increased by 16.26 per cent, or $21.40 million.
- The number of borrowers has increased by 8.85 per cent, or by 20 borrowers.
- Average debt per borrower has increased by 6.81 per cent to $621.92 thousand.
- Proportionally, the sheep/wool debt by rating has had some movement (Figure 91). Viable (A) rated debt went from 78.46 per cent in 2017 to 70.72 per cent in 2019. Potentially viable long-term (B+) rated debt increased from 17.90 per cent in 2017 to 25.73 per cent in 2019. Those experiencing debt servicing difficulty and non-viable debt were indeterminable for the 2019 year.
- The majority of sheep borrowers are in the viable (A) or potentially viable long-term (B+) rated debt, totaling 95.12 per cent.
- Numerically, viable (A) rated debt increased by 4.79 per cent and potentially viable long-term (B+) increased by 67.11 per cent (Table 47).
- The region with the greatest amount of sheep debt was Charleville - Longreach with $51.24 million of debt or 33.49 per cent of sheep debt in this region. The second largest indebted region was the Western Downs and Central Highlands with $48.37 million of debt or 31.61 per cent (Table 48).
- Making up 22.71 per cent of sheep debt, the West and South West was the region with the largest increase in debt since 2017, up 66.28 per cent to $34.74 million.

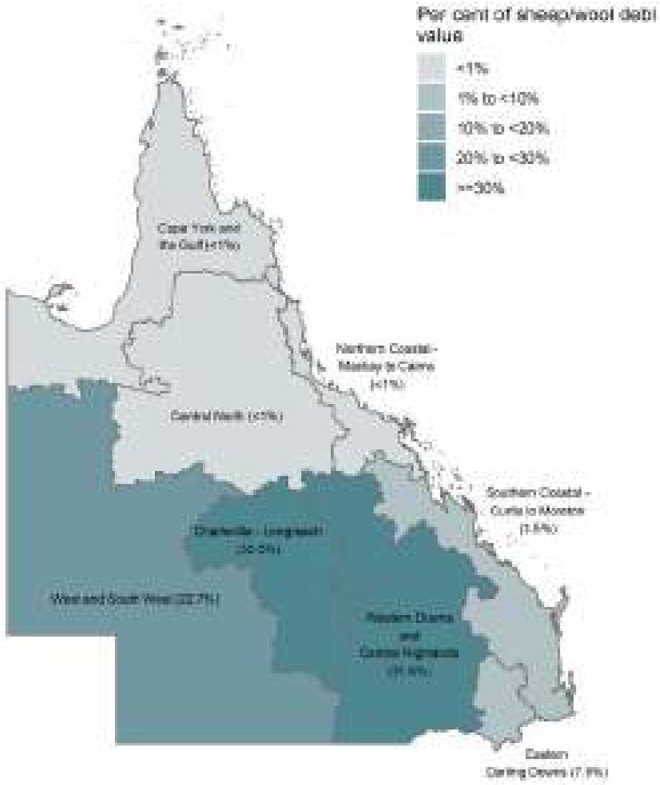


FIGURE 90: PER CENT OF TOTAL SHEEP/WOOL DEBT VALUE BY REGION

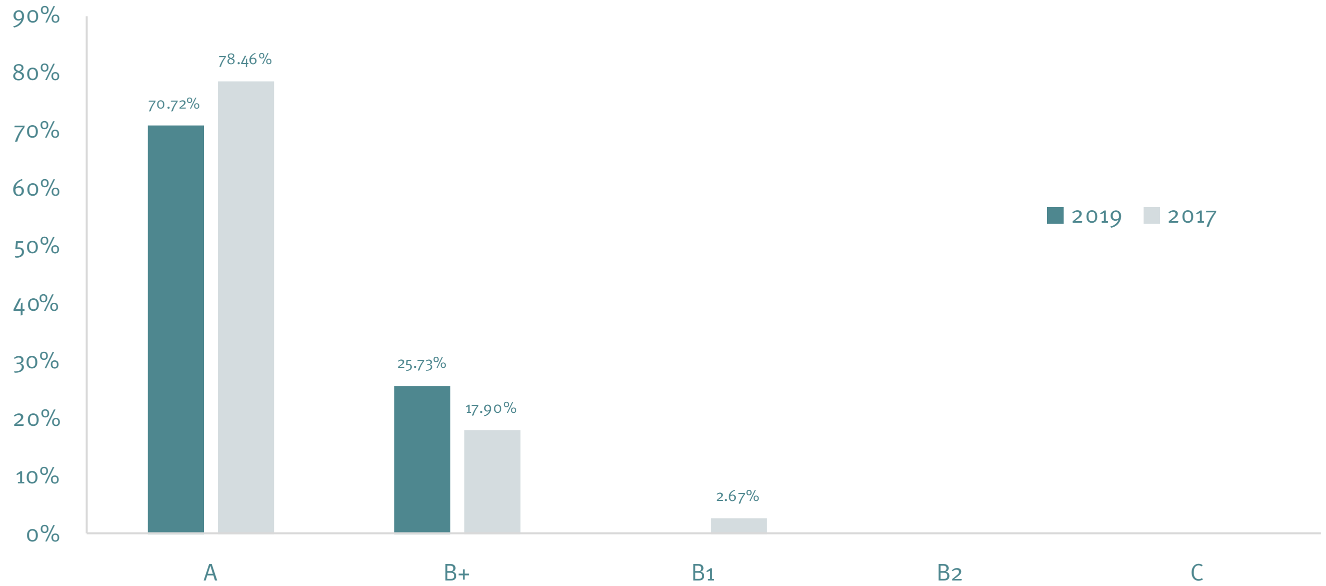


FIGURE 91: SHEEP/WOOL DEBT PROPORTION BY RISK RATING

TABLE 47: SHEEP/WOOL DEBT, NUMBER OF BORROWERS AND AVERAGE DEBT BY LOAN RATING

RATING	A	B+	B1	B2	C	TOTAL
2019 total debt ($'000)	108,192	39,364	dw	dw	dw	152,991
Borrowers	160	74	dw	dw	dw	246
Average debt per borrower ($'000)	676	532	dw	dw	dw	622
2017 total debt ($'000)	103,246	23,556	3,513	dw	dw	131,594
$ movement ($'000)	4,945	15,808	dw	dw	dw	21,397
% movement	4.79%	67.11%	dw	dw	dw	16.26%

Note: Borrower numbers do not sum exactly to total, due to variation in total reportable figures.

MOVEMENT OF SHEEP/WOOL DEBT VALUE SINCE 2017 BY RATING

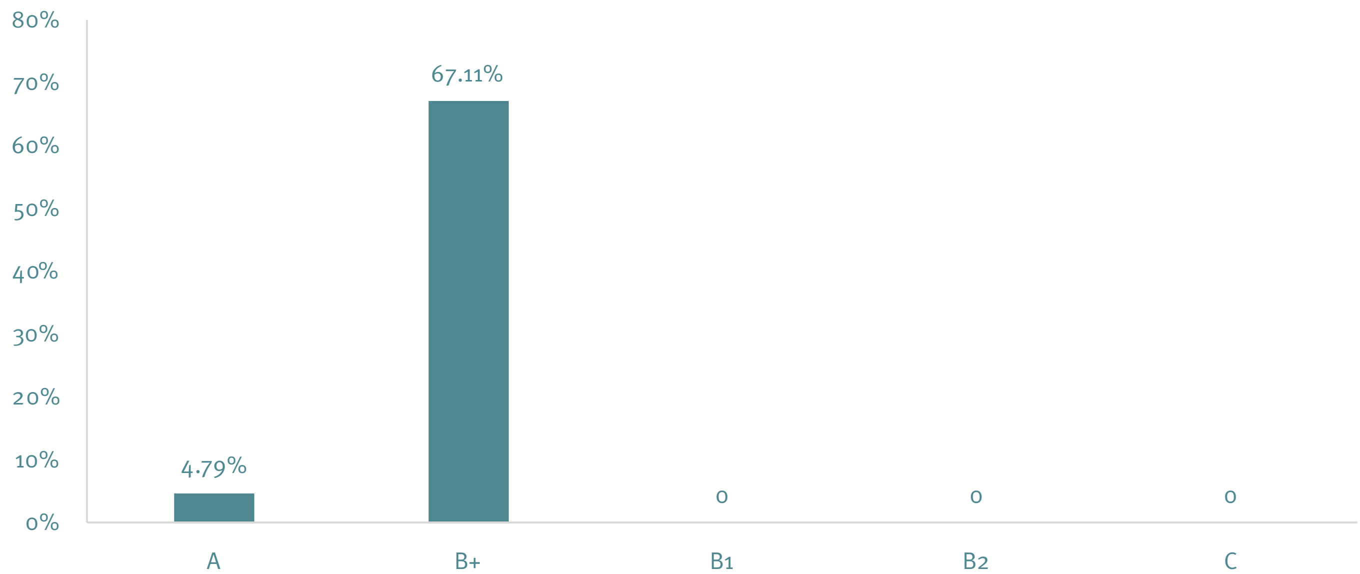


FIGURE 92: SHEEP/WOOL RISK RATING MOVEMENT 2017-2019

TABLE 48: DISSECTION OF SHEEP/WOOL DEBT BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT ($'000)
Cape York and the Gulf	0	0.00%	0	0	dw		
Central North	dw		dw	dw	dw		
Charleville - Longreach	51,237	33.49%	72	712	53,093	-1,857	-3.50%
Eastern Darling Downs	12,136	7.93%	42	289	12,115	21	0.17%
Northern Coastal - Mackay to Cairns	dw		dw	dw	dw		
Southern Coastal - Curtis to Moreton	5,364	3.51%	13	413	6,676	-1,312	-19.65%
West and South West	34,741	22.71%	52	668	20,893	13,848	66.28%
Western Downs and Central Highlands	48,365	31.61%	62	780	34,726	13,640	39.28%

INDUSTRY ENVIRONMENT

- The GVP for wool in Queensland for 2018-19 was $108 million and for sheep and lamb it was $19 million (ABS, 2020b). This is up from $77 million and $9.1 million in 2016-17 respectively.
- Commentators suggest that sheep debt has been increasing mainly due to investment in capital infrastructure such as fencing to assist with wild dog predation control.
- As depicted in Figure 93, sheep numbers have been steadily increasing since 2015, however have not seen significant increases due to the ongoing drought conditions, even though prices have been more favourable through the 2017 to 2019 period.

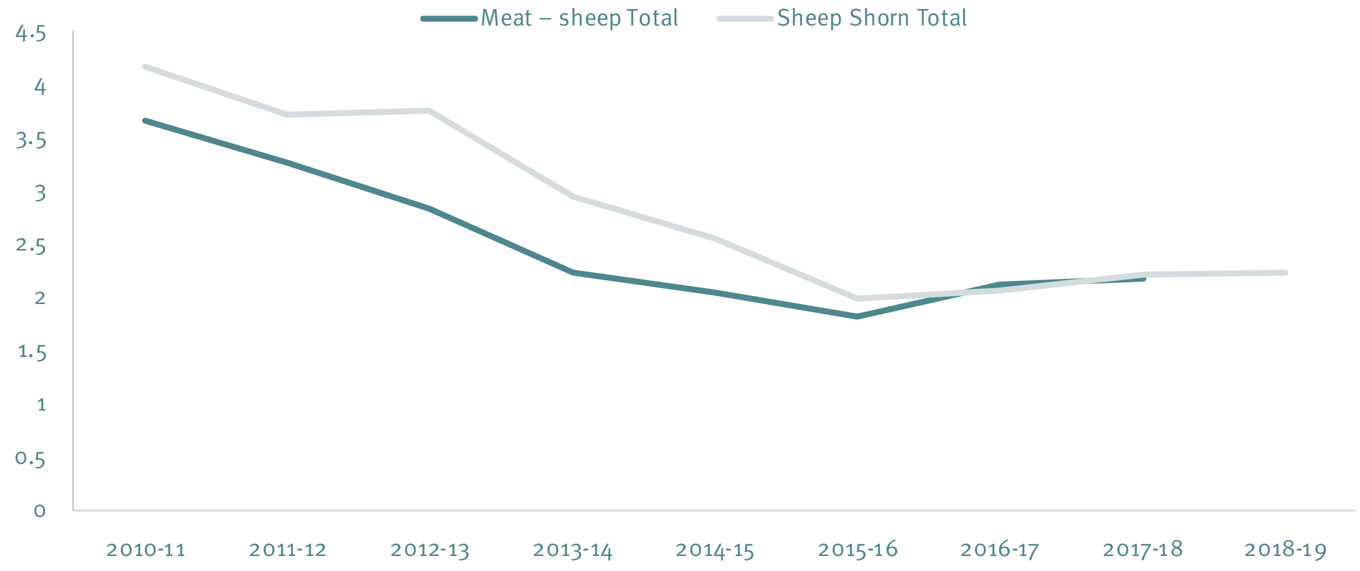


FIGURE 93: QUEENSLAND SHEEP NUMBERS

Numbers for Meat -sheep in 2018-19 have not been released.

Note. Reprinted from *Rural commodities - meat sheep total & wool tables*, by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2020, retrieved from https://www.agriculture.gov.au/abares/research-topics/agricultural-commodities/agricultural-commodities-trade-data#2019

- The Eastern Market Indicator, Figure 94, displays the increase of wool price from 2010. There has been a substantial rise in the past few years from 2015. In 2016-17, the Eastern Market Indicator was 1,406 c/kg and increased to 1,939 c/kg in 2018-19.

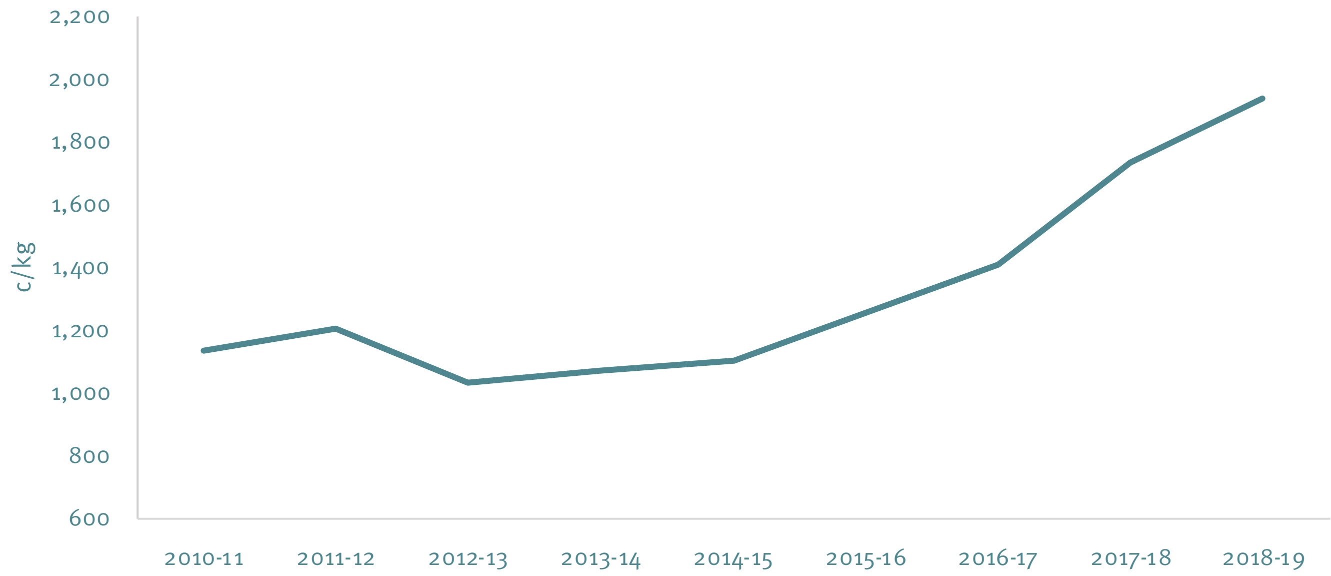


FIGURE 94: EASTERN MARKET INDICATOR, MARKET PRICES FOR AUSTRALIAN WOOL

Note. Reprinted from *Rural commodities - wool tables*, by Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), 2020, retrieved from https://www.agriculture.gov.au/abares/research-topics/agricultural-commodities/agricultural-commodities-trade-data#2019

FARM MANAGEMENT DEPOSITS

- Average farm cash income for sheep in Queensland in 2019-20 was $52,000, which was reduced on 2017 at $86,911 (ABARES, 2020c).

- FMD accounts have decreased over the 2017 to 2019 period (Figure 95). There were 120 accounts in December 2017, down 29 accounts (or down 24.16 per cent) to 91 accounts in December 2019.

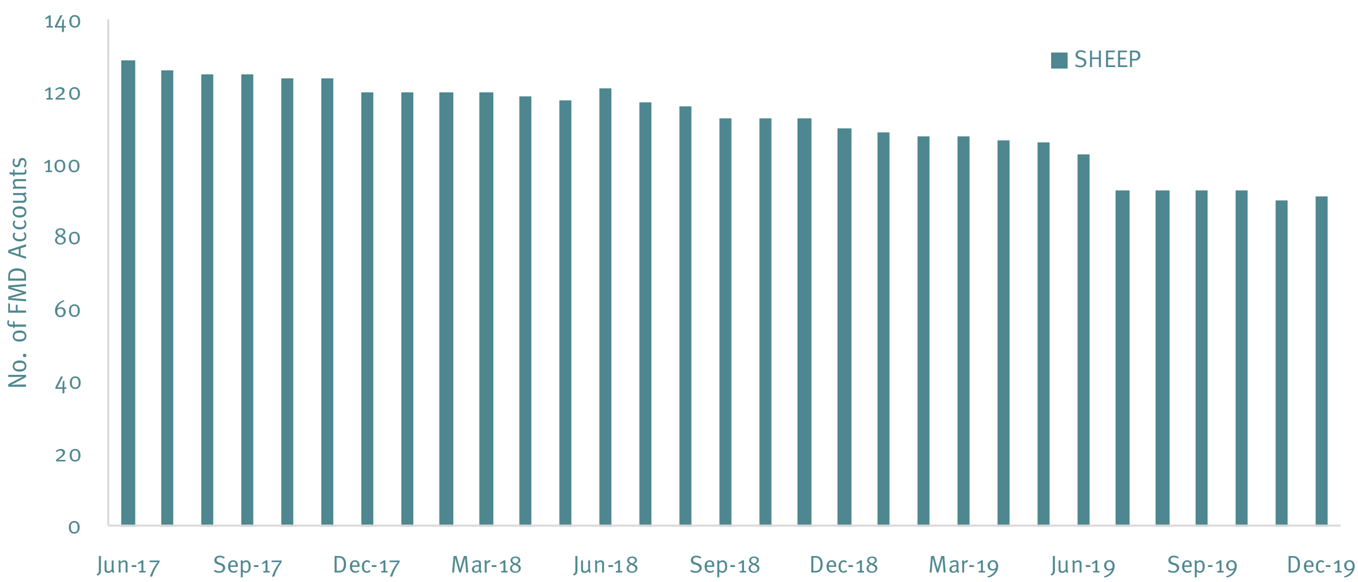


FIGURE 95: NUMBER OF SHEEP FMD ACCOUNTS IN QUEENSLAND

Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

- The value of sheep deposits has also had a 17.62 per cent decline, from $10.79 million in December 2017 down to $8.89 million (Figure 96).

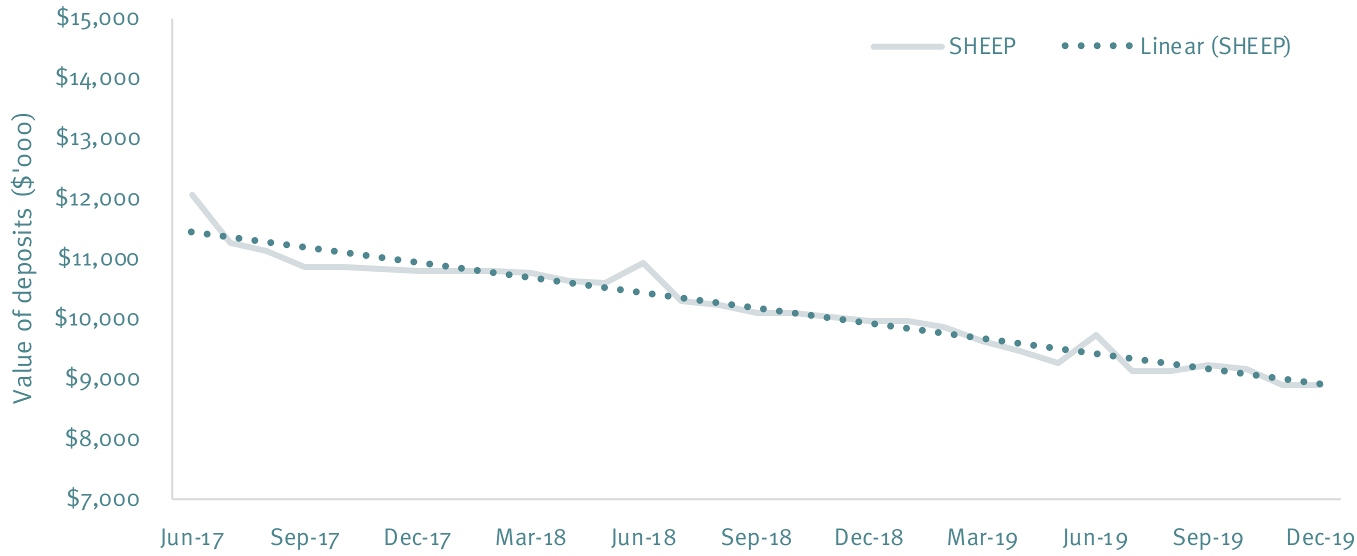


FIGURE 96: VALUE OF SHEEP FARM MANAGEMENT DEPOSITS ($'000) IN QUEENSLAND JULY 2017- DEC 2019
Note. Retrieved from *Farm Management Deposits* by Australian Government Department of Agriculture, Water and the Environment, 2020, Retrieved from https://www.agriculture.gov.au/ag-farm-food/drought/assistance/fmd

Various industries

Included in this section is a summary of Aquaculture, Forestry and Logging, Hunting and Trapping, Services to Agriculture and other industries not elsewhere covered.

VARIOUS INDUSTRIES

AQUACULTURE

TABLE 49: SUMMARY OF AQUACULTURE DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	18,234	40,124	-21,890	-54.56%
Number of borrowers	55	66	-11	-16.67%
Average $ debt per borrower ($'000)	332	608	-276	-45.47%

Average debt per borrower

$332 thousand

PERCENTAGE OF TOTAL DEBT

0.10%

PERCENTAGE OF BORROWERS

0.30%

FORESTRY AND LOGGING

TABLE 51: SUMMARY OF FORESTRY AND LOGGING DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	58,273	103,702	-45,429	-43.81%
Number of borrowers	189	154	35	22.73%
Average $ debt per borrower ($'000)	308	673	-365	-54.21%

Average debt per borrower

$308 thousand

PERCENTAGE OF TOTAL DEBT

0.31%

PERCENTAGE OF BORROWERS

1.02%

HUNTING AND TRAPPING

TABLE 53: SUMMARY OF HUNTING AND TRAPPING DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	4,106	2,249	1,858	82.60%
Number of borrowers	32	26	6	23.08%
Average $ debt per borrower ($'000)	128	86	42	48.36%

Average debt per borrower

$128 thousand

PERCENTAGE OF TOTAL DEBT

0.02%

PERCENTAGE OF BORROWERS

0.17%

TABLE 50: DISSECTION OF AQUACULTURE DEBT BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT ($'000)
Cape York and the Gulf	0	0.00%	0	0	0	0	0
Central North	dw	dw	dw	dw	dw	dw	dw
Charleville - Longreach	0	0.00%	0	0	0	0	0
Eastern Darling Downs	dw	dw	dw	dw	dw	dw	dw
Northern Coastal - Mackay to Cairns	2,865	15.71%	10	287	24,729	-21,864	-88.41%
Southern Coastal - Curtis to Moreton	13,473	73.89%	40	337	14,269	-796	-5.58%
West and South West	0	0.00%	0	0	0	0	0
Western Downs and Central Highlands	0	0.00%	0	0	dw	dw	dw

TABLE 52: DISSECTION OF FORESTRY AND LOGGING BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT ($'000)
Cape York and the Gulf	dw		dw	dw	0		
Central North	dw		dw	dw	dw		
Charleville - Longreach	dw		dw	dw	dw		
Eastern Darling Downs	3,391	5.82%	20	170	3,202	190	5.92%
Northern Coastal - Mackay to Cairns	10,607	18.20%	20	530	4,712	5,895	125.12%
Southern Coastal - Curtis to Moreton	41,743	71.63%	120	348	92,764	-51,021	-55.00%
West and South West	dw		dw	dw	dw		
Western Downs and Central Highlands	2,494	4.28%	27	92	2,543	-49	-1.92%

TABLE 54: DISSECTION OF HUNTING AND TRAPPING DEBT BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT ($'000)
Cape York and the Gulf	0	0.00%	0	0	0	0	
Central North	0	0.00%	0	0	0	0	
Charleville - Longreach	766	18.65%	6	128	471	295	62.67%
Eastern Darling Downs	dw		dw	dw	171		
Northern Coastal - Mackay to Cairns	dw		dw	dw	149		
Southern Coastal - Curtis to Moreton	2,752	67.02%	17	162	1,232	1,520	123.37%
West and South West	364	8.86%	3	121	68	296	438.73%
Western Downs and Central Highlands	dw		dw	dw	158		

SERVICES TO AGRICULTURE

TABLE 55: SUMMARY OF SERVICES TO AGRICULTURE DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	805,708	805,968	-260	-0.03%
Number of borrowers	2,069	2,173	-104	-4.79%
Average $ debt per borrower ($'000)	389	371	19	4.99%

- Services to Agriculture includes agriculture and fishing support services, cotton ginning, shearing services and other support services.
- Whilst the number of borrowers in this industry is large, the proportion of services to agricultural debt is 4.22 per cent of total rural debt.
- Given the drought conditions in the 2017 to 2019 period, it is likely that this has greatly affected the support services.

Average debt per borrower

$389 thousand

PERCENTAGE OF TOTAL DEBT

4.22%

PERCENTAGE OF BORROWERS

11.14%

OTHER - NOT COVERED ELSEWHERE

TABLE 57: SUMMARY OF OTHER DEBT

AMOUNT	2019	2017	$ MOVEMENT	% MOVEMENT
Total debt ($'000)	402,998	636,912	-233,915	-36.73%
Number of borrowers	1,093	1,508	-415	-27.52%
Average $ debt per borrower ($'000)	369	422	-54	-12.70%

- Other includes mushroom growing, other crops, beekeeping, rice growing, forestry support services and nursery and floriculture.
- The number of borrowers has reduced in this industry since 2017 and total other debt makes up just 2.11 per cent of total debt.
- Nursery and floriculture debt is included in other debt with commentators suggesting that it is not as reliant on debt due to the nature of the industry.

Average debt per borrower

$369 thousand

PERCENTAGE OF TOTAL DEBT

2.11%

PERCENTAGE OF BORROWERS

5.89%

TABLE 56: DISSECTION OF SERVICES TO AGRICULTURE DEBT BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT ($'000)
Cape York and the Gulf	1,217	0.15%	5	243	906	311	34.33%
Central North	15,456	1.92%	75	206	17,851	-2,395	-13.42%
Charleville - Longreach	9,452	1.17%	49	193	10,198	-746	-7.32%
Eastern Darling Downs	145,341	18.04%	366	397	180,009	-34,668	-19.26%
Northern Coastal - Mackay to Cairns	129,055	16.02%	455	284	128,888	167	0.13%
Southern Coastal - Curtis to Moreton	353,429	43.87%	642	551	312,167	41,262	13.22%
West and South West	9,031	1.12%	41	220	5,030	4,001	79.53%
Western Downs and Central Highlands	142,727	17.71%	438	326	150,919	-8,191	-5.43%

TABLE 58: DISSECTION OF OTHER BY REGION

ABARES REGION	2019 ($'000)	% OF TOTAL REGION DEBT	NUMBER OF BORROWERS	AVERAGE DEBT PER BORROWER ($'000)	2017 ($'000)	$ MOVEMENT ($'000)	% MOVEMENT ($'000)
Cape York and the Gulf	dw		dw	dw	dw		
Central North	15,301	3.80%	43	356	46,421	-31,120	-67.04%
Charleville - Longreach	dw		dw	dw	dw		
Eastern Darling Downs	95,926	23.80%	177	542	159,069	-63,143	-39.70%
Northern Coastal - Mackay to Cairns	69,714	17.30%	198	352	68,273	1,441	2.11%
Southern Coastal - Curtis to Moreton	173,321	43.01%	522	332	252,137	-78,817	-31.26%
West and South West	499	0.12%	5	100	5,377	-4,878	-90.72%
Western Downs and Central Highlands	44,598	11.07%	142	314	101,982	-57,385	-56.27%

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APPENDIX

APPENDIX I: FARM DEBT SERVICES

FARM BUSINESS DEBT MEDIATION IN QUEENSLAND

As of July 2017, Farm Business Debt Mediation (FBDM) became mandatory in Queensland and is overseen by the Queensland Rural and Industry Development Authority (QRIDA). FBDM provides an efficient and equitable way for farmers and mortgagees to attempt to resolve matters relating to farm business debts.

This program, part of the *Farm Business Debt Mediation Act 2017* (Qld), aims to protect the interests of both primary producers and their lenders, by requiring them to undergo a formal, impartial mediation process to resolve disputes before foreclosure can take place. To assist in the process QRIDA currently has a panel of 28 accredited mediators from whom the farmer and lender can agree to engage to conduct the mediation.

Since the implementation of this program to 31 December 2019, over 185 mediation matters were initiated, representing a broad cross section of farming industry and Local Government Areas.

FARM DEBT RESTRUCTURE OFFICE

On 1 January 2018, the Farm Debt Restructure Office (FDRO), and the associated Farm Business Analysis Assistance program commenced operations to assist farmers in times of financial distress under the *Rural and Regional Adjustment Act 1994* (Qld).

The Office, administered and overseen by QRIDA ,is located regionally in Roma. Since commencement, to 31 December 2019, 42 applications for assistance under the Farm Business Analysis Assistance program have been received across a broad range of industries.

The FDRO helps primary producers in financial difficulty by providing access to an unbiased, no-cost, no-obligation assessment of their position from an independent farm debt restructuring specialist.

This program has managed applications worth over $131 million in liabilities, resulting in $2.1 million of direct interest savings and professional fees for primary producers.

APPENDIX II: TOTAL DEBT BY ABARES REGION BY LOAN RATING

ABARES REGION		A	B+	B1	B2	C	TOTAL
Cape York & the Gulf	$	91,606,273	6,876,733	dw	0	dw	**100,921,835**
	%	0.6	0.2	dw	0.0	dw	**0.5**
Central North	$	1,171,997,298	273,215,513	107,440,861	19,030,946	65,142,568	**1,636,827,186**
	%	7.9	9.3	15.9	8.2	16.3	**8.6**
Charleville - Longreach	$	1,033,838,587	182,067,150	40,459,878	9,218,963	13,454,951	**1,279,039,529**
	%	7.0	6.2	6.0	4.0	3.4	**6.7**
Eastern Darling Downs	$	1,949,512,888	434,469,724	106,484,012	40,974,803	62,400,801	**2,593,842,228**
	%	13.1	14.8	15.8	17.6	15.6	**13.6**
Northern Coastal - Mackay to Cairns	$	1,740,218,578	272,972,085	65,615,798	24,365,860	41,099,312	**2,144,271,633**
	%	11.7	9.3	9.7	10.5	10.3	**11.2**
Southern Coastal - Curtis to Moreton	$	3,267,994,465	814,366,089	174,839,878	59,738,011	138,001,139	**4,454,939,582**
	%	22.0	27.8	25.9	25.6	34.6	**23.3**
West & South West	$	441,265,293	120,901,691	dw	6,087,824	dw	**612,431,203**
	%	3.0	4.1	dw	2.6	dw	**3.2**
Western Downs & Central Highlands	$	5,165,180,825	821,584,082	140,375,860	73,510,652	73,407,271	**6,274,058,690**
	%	34.8	28.1	20.8	31.6	18.4	**32.9**
TOTAL	$	**14,861,614,207**	**2,926,453,067**	**675,948,892**	**232,927,059**	**399,388,661**	**19,096,331,886**
	%	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**

Note: Some rows and columns may not sum exactly as 'total' amounts include data withheld figures, or are capturing the total reportable amount.

APPENDIX III - TOTAL DEBT BY INDUSTRY BY ABARES REGION

INDUSTRY		CAPE YORK & THE GULF	CENTRAL NORTH	CHARLEVILLE - LONGREACH	EASTERN DARLING DOWNS	NORTHERN COASTAL - MACKAY TO CAIRNS	SOUTHERN COASTAL - CURTIS TO MORETON	WEST AND SOUTH WEST	WESTERN DOWNS AND CENTRAL HIGHLANDS	TOTAL
Aquaculture	$	0	dw	0	dw	2,865,174	13,473,395	0	0	**18,234,010**
	%	0.0	dw	0.0	dw	0.1	0.3	0.0	0.0	**0.1**
Beef	$	98,488,929	1,446,843,676	1,200,333,086	830,945,872	429,070,457	2,321,715,569	547,633,416	3,797,424,939	**10,672,455,944**
	%	97.6	88.4	93.8	32.0	20.0	52.1	89.4	60.5	**55.9**
Cotton	$	0	0	0	343,707,211	dw	73,521,948	dw	684,968,002	**1,102,906,970**
	%	0.0	0.0	0.0	13.3	dw	1.7	dw	10.9	**5.8**
Dairy	$	dw	4,894,512	dw	80,468,344	32,652,444	138,634,829	dw	10,427,602	**267,115,703**
	%	dw	0.3	dw	3.1	1.5	3.1	dw	0.2	**1.4**
Forestry and Logging	$	dw	dw	dw	3,391,496	10,606,776	41,742,987	dw	2,494,184	**58,272,871**
	%	dw	dw	dw	0.1	0.5	0.9	dw	0.0	**0.3**
Grain (summer and winter)	$	dw	12,984,565	dw	590,806,421	14,581,567	103,691,850	dw	557,576,921	**1,280,806,796**
	%	dw	0.8	dw	22.8	0.7	2.3	dw	8.9	**6.7**
Grain/ Grazing (Sheep and/ or Cattle)	$	dw	dw	10,751,447	198,309,103	11,321,438	118,713,121	10,352,383	843,056,834	**1,196,808,919**
	%	dw	dw	0.8	7.6	0.5	2.7	1.7	13.4	**6.3**
Horticulture - Tree crops (mangoes, pawpaws, bananas, citrus etc.)	$	dw	91,883,369	0	69,526,815	250,927,404	408,964,002	dw	30,454,802	**851,999,346**
	%	dw	5.6	0.0	2.7	11.7	9.2	dw	0.5	**4.5**
Horticulture - Vegetables	$	dw	16,384,929	0	69,806,891	117,588,317	328,286,216	0	dw	**537,126,987**
	%	dw	1.0	0.0	2.7	5.5	7.4	0.0	dw	**2.8**
Hunting and Trapping	$	0	0	765,992	dw	dw	2,752,146	363,682	dw	**4,106,265**
	%	0.0	0.0	0.1	dw	dw	0.1	0.1	dw	**0.0**
Intensive Livestock (pigs, poultry etc.)	$	0	15,123,626	3,087,633	153,117,902	10,531,434	170,383,091	8,167,614	106,971,481	**467,382,781**
	%	0.0	0.9	0.2	5.9	0.5	3.8	1.3	1.7	**2.4**
Marine Fishing	$	447,883	912,059	dw	dw	78,166,346	89,874,530	dw	0	**170,126,329**
	%	0.4	0.1	dw	dw	3.6	2.0	dw	0.0	**0.9**
Services to Agriculture	$	1,216,797	15,455,663	9,452,356	145,340,633	129,054,893	353,429,245	9,030,965	142,727,329	**805,707,881**
	%	1.2	0.9	0.7	5.6	6.0	7.9	1.5	2.3	**4.2**
Sheep/Wool	$	0	dw	51,236,812	12,135,527	dw	5,364,485	34,740,978	48,365,283	**152,991,145**
	%	0.0	dw	4.0	0.5	dw	0.1	5.7	0.8	**0.8**
Sugar	$	0	dw	0	dw	986,453,488	111,071,578	0	0	**1,107,292,166**
	%	0.0	dw	0.0	dw	46.1	2.5	0.0	0.0	**5.8**
Other	$	dw	15,300,812	dw	95,925,840	69,713,835	173,320,590	498,949	44,597,606	**402,997,773**
		dw	0.9	dw	3.7	3.3	3.9	0.1	0.7	**2.1**
TOTAL	$	**100,921,835**	**1,636,827,186**	**1,279,039,529**	**2,593,842,228**	**2,144,271,633**	**4,454,939,582**	**612,431,203**	**6,274,058,690**	**19,096,331,886**
	%	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**

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APPENDIX IV: TOTAL DEBT BY INDUSTRY BY LOAN RATING

INDUSTRY		A	B+	B1	B2	C	TOTAL
Aquaculture	$	13,518,744	2,222,216	dw	dw	1,833,738	**18,234,010**
	%	0.1	0.1	dw	dw	0.5	**0.1**
Beef	$	8,498,455,152	1,530,822,908	357,831,777	84,588,328	200,757,779	**10,672,455,944**
	%	57.2	52.3	52.9	36.3	50.3	**55.9**
Cotton	$	968,454,759	73,528,148	16,379,112	19,122,339	25,422,612	**1,102,906,970**
	%	6.5	2.5	2.4	8.2	6.4	**5.8**
Dairy	$	181,521,534	46,218,248	16,362,078	5,866,705	17,147,138	**267,115,703**
	%	1.2	1.6	2.4	2.5	4.3	**1.4**
Forestry and Logging	$	29,160,133	23,868,936	4,209,484	dw	dw	**58,272,871**
	%	0.2	0.8	0.6	dw	dw	**0.3**
Grain (summer and winter)	$	1,028,794,534	170,608,002	40,364,143	17,753,657	23,286,460	**1,280,806,796**
	%	6.9	5.8	6.0	7.6	5.8	**6.7**
Grain/Grazing (Sheep and/or Cattle)	$	820,462,615	291,152,453	45,899,123	29,414,715	9,880,013	**1,196,808,919**
	%	5.5	9.9	6.8	12.6	2.5	**6.3**
Horticulture - Tree crops (mangoes, pawpaws, bananas, citrus etc.)	$	696,787,711	110,870,296	22,014,031	9,861,139	12,466,169	**851,999,346**
	%	4.7	3.8	3.3	4.2	3.1	**4.5**
Horticulture - Vegetables	$	396,008,086	75,898,506	5,606,928	18,437,760	41,175,707	**537,126,987**
	%	2.7	2.6	0.8	7.9	10.3	**2.8**
Hunting and Trapping	$	1,026,347	1,083,706	1,996,212	0	0	**4,106,265**
	%	0.0	0.0	0.3	0.0	0.0	**0.0**
Intensive Livestock (pigs, poultry etc.)	$	363,601,202	28,108,407	42,988,297	14,389,013	18,295,862	**467,382,781**
	%	2.4	1.0	6.4	6.2	4.6	**2.4**
Marine Fishing	$	123,244,718	37,193,844	6,502,622	1,433,912	1,751,233	**170,126,329**
	%	0.8	1.3	1.0	0.6	0.4	**0.9**
Services to Agriculture	$	472,316,560	240,408,641	53,889,674	17,342,760	21,750,246	**805,707,881**
	%	3.2	8.2	8.0	7.4	5.4	**4.2**
Sheep/Wool	$	108,191,510	39,363,915	dw	dw	dw	**152,991,145**
	%	0.7	1.3	dw	dw	dw	**0.8**
Sugar	$	871,447,244	168,953,346	44,111,722	9,662,928	13,116,926	**1,107,292,166**
	%	5.9	5.8	6.5	4.1	3.3	**5.8**
Other	$	288,623,358	86,151,495	14,471,165	2,998,292	10,753,463	**402,997,773**
	%	1.9	2.9	2.1	1.3	2.7	**2.1**
TOTAL	**$**	**14,861,614,207**	**2,926,453,067**	**675,948,892**	**232,927,059**	**399,388,661**	**19,096,331,886**
	%	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**

Note: Some rows and columns may not sum exactly as 'total' amounts include data withheld figures, or are capturing the total reportable amount.

APPENDIX V: REPORT ASSUMPTIONS, DEFINITIONS AND METHODOLOGY

ATTRIBUTION

To attribute, cite Queensland Rural and Industry Development Authority, *2019 Queensland Rural Debt Survey*.

ACRONYMS

ACRONYM	DEFINITION
ABARES	Australian Bureau of Agriculture and Resource Economics and Sciences
ABS	Australian Bureau of Statistics
ANZSIC	Australian and New Zealand Standard Industrial Classification
BOM	Bureau of Meteorology
DW	Data withheld
FMD	Farm Management Deposit
GVP	Gross Value of Production
QGSO	Queensland Government Statisticians Office
QRIDA	Queensland Rural and Industry Development Authority
RBA	Reserve Bank of Australia
TC	Tropical Cyclone

ASSUMPTIONS

LENDING INSTITUTIONS

Lending institutions were requested to provide their ratings of debt based on their own assumptions to conform with the ratings requested.

ABARES DATA

Where data has been provided by ABARES, it must be noted that this is a statistical figure derived from a series of surveys that has been extrapolated.

ROUNDING

Figures, numbers and percentages displayed within the tables have been rounded to two decimal places where possible and may not sum exactly.

TABLES AND DATA OUTPUTS

Please note, some table rows and columns may not sum exactly to total figures due to variances in total reportable figure amounts or the inclusion of ‘dw’ figures.

WHOLE NUMBERS

Where possible, whole numbers have been used in calculations prior to rounding them. This may have caused a variation to the calculated figures presented.

BORROWERS

Some rural borrowers may have more than one source of finance or a loan from an institution that was not defined in this survey. Individual totals (e.g. industry borrowers) may not equate to total overall borrowers due to some borrowers farming more than one commodity.

FARM MANAGEMENT DEPOSITS

It is not detailed by which classification that FMDs use for industry results, thus some variation may occur between the Rural Debt Groupings and the FMD Groupings.

Additionally, Farm Management Deposit data, states:

The total number of accounts does not indicate the number of primary producers participating in the FMD Scheme as a primary producer may hold multiple FMD accounts. In addition, the value of deposits reported may be greater than the actual level of FMDs as primary producers may choose not to claim a tax deduction for all deposits held in FMD accounts.

DEFINITIONS

To ensure a consistent delivery, the definitions for the 2019 survey align with previous surveys.

dw - data withheld - to ensure confidentiality of results but included in total where applicable.

FARMING BUSINESS is defined as an agricultural, apicultural, dairy farming, horticultural, land-based acquacultural, pastoral, poultry keeping or viticultural business; or another business that involves cultivating the soil, gathering crops or rearing livestock; or a business that involves cutting timber for sale; or another business prescribed by regulation to be a farming business and includes a business under a share farming agreement and providing land for a business.

INDUSTRY CLASSIFICATIONS align with the Australian and New Zealand Standards Industrial Classifications (ANZSIC) 2006. The participating lending institutions were requested to supply their information in line with these classifications.

RISK CATEGORIES

- A: Considered viable under most/all circumstances
- B+: Experienced debt servicing difficulties under present circumstances – potentially viable long term
- B1: Experiencing debt servicing difficulties under present circumstances – debt situation deteriorating and in danger of becoming non-viable will continue to receive support of lender (top 50% of category)
- B2: Experiencing debt servicing difficulties under present circumstances – debt situation deteriorating and in danger of becoming non-viable (bottom 50% of category)
- C: Considered non-viable

RURAL DEBT is defined as the total indebtedness of all farmers/rural enterprises throughout Queensland, where the servicing of the rural debt relies primarily on rural generated income. This includes term debt, commercial bills, equipment/asset finance, and overdrafts/working capital facilities. Elements of rural debt specifically excluded:

- vendor financing of rural property purchases
- personal and intra-family loans
- borrowings for farm investment purposes, by persons/business whose principal occupation is other than primary production, enabling debt servicing from other income streams.

TERMS OF REFERENCE

The 2019 Queensland Rural Debt Survey sought to, as at 31 December 2019, identify the extent, nature and size of, and trends in the total rural indebtedness in Queensland with respect to:

- Queensland at a state level
- average per borrower
- Queensland by region and industry
- total by risk rating categories
- comparison on previous survey.

REQUESTED INFORMATION

Financial institutions were requested to provide the following details, as at 31 December 2019, for each rural loan:

- a unique customer identification number, allowing for the identification of customers with multiple records
- the postcode of the physical location of the business activity associated with each loan
- the shire/city of the physical location of the business activity associated with each loan
- the industry classification where the majority of the borrowing occurs for each loan
- the viability rating of each loan
- the total value of each loan.

METHODOLOGY

SURVEY METHOD

- The data fields requested included postcode, shire/city of business, industry, loan rating and total value of the loan.
- Secure File Transfer: Financial institutions were requested to return the loan information that they had compiled using the Queensland Treasury secure file transfer system Kiteworks. Financial institutions, once ready to transfer information to QGSO, were provided with a link which provided individual, password protected, access to the secure system. Once uploaded QGSO transferred the information into a secure data folder.
- The final data table summary was provided to QRIDA.
- QRIDA undertook an analysis to compare 2019 data to the 2017 survey utilising the QGSO data provided in 2017.
- Further commentary was collated throughout the survey analysis with assistance from agricultural linked organisations as well as publicly available databases.
- The information provided from lending institutions, previous survey data and industry commentary were all collated into the final report.
- An additional Rural Debt Survey Overview document was also created alongside the report.

SURVEY EVALUATION

DATA QUERIES

During the processing of the data, several financial institutions were contacted to discuss a small number of specific data queries (e.g. truncated records, duplicates, address fields). In all cases, the financial institutions were able to provide clarification on the specific issues and where necessary, provide amended data.

DATA STANDARDISATION

QGSO standardised the data received to ensure consistent reporting.

INDUSTRY

Financial institutions largely provided four digit ANZSIC industry class codes as requested in the Approved Form. However, a small number of loan records were provided using rural debt industry groupings, ANZSIC descriptions or an internal system used by the financial institution. Short consultations with these institutions either led to the reissuing of data or the provision of a concordance file to support the recoding of relevant records.

CUSTOMER FARM PROPERTY ADDRESS

It was necessary for QGSO to use multiple strategies to geocode records as financial institutions provided a variety of address information, including full address, only suburb and postcode, mailing address and longitude and latitudes.

LOAN RATING

Where appropriate, consultation of internal rating system was utilised where required and follow up discussion resulted in an agreed approach to align these records with the preferred system.

USE OF DERIVED VARIABLES

For the purpose of generating results to meet the objectives of this survey:

- address information was used to derive: ABARES regions, Statistical Area 4 regions, Local Government Areas
- unique customer IDs were used to calculate: the number of borrowers and average debt per borrower.

ABARES REGIONS

ABARES regions for 2017 and 2019 were the same.

ABARES REGIONS
Cape York and the Gulf
Central North
Charleville - Longreach
Eastern Darling Downs
Northern Coastal - Mackay to Cairns
Southern Coastal - Curtis to Moreton
West and South West
Western Downs and Central Highlands

'INDUSTRY' AND ANZSIC CLASSIFICATIONS 2017 AND 2019

RURAL DEBT INDUSTRY	ANZSIC CLASSIFICATION 2017 AND 2019 SURVEY
Beef	Class 0142 Beef Cattle Farming (Specialised) Class 0143 Beef Cattle Feedlots (Specialised) Class 0144 Sheep-Beef Cattle Farming
Cotton	Class 0152 Cotton Growing
Dairy	Group 016 Dairy Cattle Farming
Grain (summer and winter)	Class 0149 Other Grain Growing
Grain/Grazing (sheep and/or cattle)	Class 0145 Grain-Sheep or Grain-Beef Cattle Farming
Horticulture – Vegetables	Class 0122 Vegetable Growing (Under Cover) Class 0123 Vegetable Growing (Outdoors)
Horticulture – Tree crops (mangoes, paw-paws, bananas, citrus etc.)	Group 013 Fruit and Tree Nut Growing Class 0131 Grape Growing Class 0132 Kiwifruit Growing Class 0133 Berry Fruit Growing Class 0134 Apple and Pear Growing Class 0135 Stone Fruit Growing Class 0136 Citrus Fruit Growing Class 0137 Olive Growing Class 0139 Other Fruit and Tree Nut Growing
Intensive Livestock (pigs, poultry etc.)	Group 017 Poultry Farming Class 0171 Poultry Farming (Meat) Class 0172 Poultry Farming (Eggs) Group 019 Other Livestock Farming Class 0180 Deer Farming Class 0191 Horse Farming Class 0192 Pig Farming Class 0199 Other Livestock Farming n.e.c.
Sheep/Wool	Class 0141 Sheep Farming (Specialised)
Sugar	Class 0151 Sugar Cane Growing
Services to Agriculture	Group 052 Agriculture and Fishing Support Services Class 0521 Cotton Ginning Class 0522 Shearing Services Class 0529 Other Agriculture and Fishing Support Services
Marine Fishing	Group 041 Fishing Class 0411 Rock Lobster and Crab Potting Class 0412 Prawn Fishing Class 0413 Line Fishing Class 0414 Fish Trawling, Seining and Netting Class 0419 Other Fishing
Forestry and Logging	Group 030 Forestry and Logging Class 0301 Forestry Class 0302 Logging
Aquaculture	Group 020 Aquaculture Class 0201 Offshore Longline and Rack Aquaculture Class 0202 Offshore Caged Aquaculture Class 0203 Onshore Aquaculture
Hunting and Trapping	Group 042 Hunting and Trapping Class 0420 Hunting and Trapping
Other (not elsewhere covered)	Class 0121 Mushroom Growing Class 0159 Other Crop Growing n.e.c. Class 0193 Beekeeping Class 0416 Rice Growing Group 051 Forestry Support Services Class 0510 Forestry Support Services Class 011 Nursery and Floriculture

MORE INFORMATION:
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